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Foreword

This Economic Survey was prepared by Claudia Ramírez Bulos and Dimitris Mavridis, under the supervision of Aida Caldera Sánchez. Research assistance was provided by Véronique Gindrey, administrative and editorial assistance by Gemma Martinez, and Rosario Hernando Cruz and communication assistance by Laura Fortin and François Iglesias.

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Basic statistics of Spain, 2024

(Numbers in parentheses refer to the OECD average)

LAND, PEOPLE AND ELECTORAL CYCLE					
Population (million)	48.8		Population density per km²	97.7	(39.6)
Under 15 (%)	12.9	(16.7)	Life expectancy at birth (years, 2023)	84.0	(81.2)
Over 65 (%)	21.1	(18.6)	Men (2023)	81.3	(78.6)
International migrant stock (% of population)	18.5	(15.7)	Women (2023)	86.7	(83.8)
Latest 5-year average growth (%)	0.7	(0.5)	Latest general election	July 2023	
ECONOMY					
Gross domestic product (GDP)			Value added shares (%)		
In current prices (billion USD)	1 724.5		Agriculture, forestry and fishing	2.8	(2.5)
In current prices (billion EUR)	1 594.3		Industry including construction	21.4	(25.3)
Latest 5-year average real growth (%)	1.4	(1.7)	Services	75.8	(72.2)
Per capita (thousand USD PPP, 2023)[1]	57.0	(59.0)			
GENERAL GOVERNMENT Per cent of GDP					
Expenditure	45.5	(43.7)	Gross financial debt (OECD: 2023)	108.9	(110.4)
Revenue	42.3	(38.8)	Net financial debt (OECD: 2023)	77.9	(67.1)
EXTERNAL ACCOUNTS					
Exchange rate (EUR per USD)	0.92		Main exports (% of total merchandise exports)		
PPP exchange rate (USA = 1)	0.57		Transportation	17.2	
In per cent of GDP			Chemicals	12.7	
Exports of goods and services	37.1	(30.4)	Machinery and electronics	12.3	
Imports of goods and services	32.9	(30.0)	Main imports (% of total merchandise imports)		
Current account balance	3.2	(-0.4)	Machinery and electronics	17.5	
Net international investment position	-39.4		Fuels	13.3	
			Chemicals	12.1	
LABOUR MARKET, SKILLS AND INNOVATION					
Employment rate (aged 15 and over, %)	51.4	(58.0)	Unemployment rate, Labour Force Survey (aged 15 and over, %)	11.3	(4.9)
Men	56.6	(65.4)	Youth (aged 15-24, %)	26.5	(11.1)
Women	46.5	(51.0)	Long-term unemployed (1 year and over, %)	3.8	(1.0)
Participation rate (aged 15 and over, %)	58.0	(61.0)	Tertiary educational attainment (aged 25-64, %)	42.3	(41.2)
Average hours worked per year	1 634	(1 736)	Gross domestic expenditure on R&D (% of GDP, 2022)	1.4	(3.0)
ENVIRONMENT					
Total primary energy supply per capita (toe, 2023)	2.3	(3.7)	CO_2 emissions from fuel combustion per capita (tonnes)	4.2	(7.5)
Renewables (%, 2023)	18.8	(12.5)	Water abstractions per capita (1 000 m³, 2020)	0.6	
Exposure to air pollution (more than 10 µg/m³ of $PM_{2.5}$, % of population, 2020)	39.6	(56.5)	Municipal waste per capita (tonnes, 2023)	0.5	(0.6)
SOCIETY					
Income inequality (Gini coefficient, 2022, OECD: latest available)	0.316	(0.317)	Education outcomes (PISA 2022 score)		
Relative poverty rate (%, 2022)	13.7	(11.5)	Reading	474	(476)
Median disposable household income (thousand USD PPP, 2022)	32.2	(31.7)	Mathematics	473	(472)
Public and private spending (% of GDP)			Science	485	(485)
Health care	9.2	(9.3)	Share of women in parliament (%)	44.3	(33.3)
Pensions (2021)	12.7	(9.9)	Net official development assistance (% of GNI)	0.3	(0.4)
Education (total spending, 2020)	5.0	(5.1)			

Note: The year is indicated in parenthesis if it deviates from the year in the main title of this table. Where the OECD aggregate is not provided in the source database, a simple OECD average of latest available data is calculated where data exist for at least 80% of member countries.

1. OECD aggregate refers to weighted average.

Source: Calculations based on data extracted from databases of the following organisations: OECD, International Energy Agency, International Labour Organisation, International Monetary Fund, United Nations, World Bank.

Executive summary

Key messages

- Fiscal consolidation and structural reforms are key to sustaining growth and to continue putting the debt-to-GDP ratio on a firmly declining path, including by addressing the rise in pension spending, rebalancing tax revenues and setting growth-enhancing spending priorities.
- Boosting productivity growth and facilitating the scale up of SMEs is vital to achieve sustained income convergence with best performing OECD countries, and can be supported by improving access to finance, easing regulatory burdens, and promoting advanced digital tools, innovation, and skills investment.
- Strengthening incentives for older workers to remain in employment including by reforming the non-contributory unemployment assistance, scaling up adult learning while improving the labour market performance of migrants can expand labour supply to meet demographic challenges.
- Climate change mitigation and adaptation efforts need to be maintained to meet emission reduction targets and reduce climate related risks. Priorities should include continuing to increase grid investment, improving water-use efficiency and facilitating further transport decarbonisation.

Growth has been steady and resilient amid rising global risks

The Spanish economy has shown resilient and steady GDP growth in the last years, surpassing European peers. Economic growth has been robust across sectors, driven by strong private consumption on the back of a growing labour force, a recovery in the tourism sector, investments from the EU Recovery and Resilience Funds, and increased government spending. However, income convergence with most advanced countries remains limited. A rapidly ageing population, increasing but still low employment rates, low productivity growth, and the climate transition call for medium-term strategies to support growth and to strengthen fiscal sustainability.

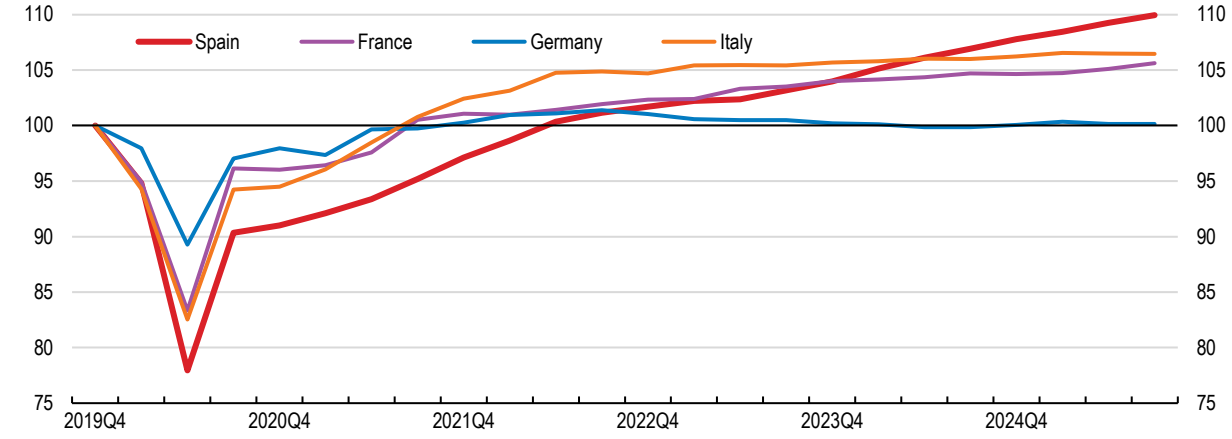
The Spanish economy has held up remarkably well, posting GDP growth above other European countries and most economic projections. After a slow recovery following the pandemic, the Spanish economy has shown a balanced, resilient and steady economic growth in the last years (Figure 1). Compared to previous recovery periods, the post-pandemic period has seen broad-based job creation, increased productivity, and reducing reliance on foreign capital. This has been accompanied by lower-than-expected inflationary pressures that have supported real income gains. The external sector holds firm amid trade uncertainty, with a steady widening of the current account surplus supported by strong services exports. GDP per capita, however, has expanded at more moderate rates, largely as a result of a strong population growth driven by migration flows. Migration has contributed positively by boosting labour supply and supporting key sectors, contributing around 0.7 percentage points to annual GDP per capita growth between 2022 to 2024.

Spain's labour market has shown impressive strength in recent years, but it faces deep rooted structural challenges. Job creation has been robust, boosted particularly by migrant workers. The unemployment and the share of temporary jobs have declined to historically low levels. However, despite recently increasing, Spain's overall employment rates, remain below the OECD averages and unemployment, at 10.5%, is the highest among European peers. Continuing to enhance active labour market policies, strengthening regional employment offices and the quality of the training system would help raise employment and lower unemployment rates. Also, as in other countries, temporary sick leave has increased but Spain has experienced a sharp rise in long-duration and repeat cases of 52% since 2018. Boosting healthcare staffing and quality by expanding capacity and tightening oversight could lower absenteeism.

Structural reforms are needed to lift GDP per capita and strengthen fiscal sustainability. Fostering the use of more advanced digital tools, promoting innovation, further strengthening skills and labour supply are central. Reforms should also focus on expanding housing supply and implementing cost-effective climate policies.

Figure 1. GDP growth has surpassed European peers

Gross domestic product, volume, seasonally and calendar adjusted data, index 2019Q4 = 100



Source: Eurostat.

StatLink https://stat.link/43ahkf

Growth will moderate but remain robust

GDP growth is projected to reach 2.9% in 2025, 2.2% in 2026 and 1.8% in 2027. Domestic demand will remain the key driver of growth, while mild fiscal consolidation is expected in the coming years. Rising geopolitical tensions, higher trade uncertainty and tariffs have lowered external demand and pose downside risks to the outlook.

Domestic demand will support growth. Disbursements of the Recovery, Transformation and Resilience Plan (RTRP) funds and lower interest rates will boost investment. Consumption will be underpinned by a solid labour market and real income gains, with inflation reaching 2.3% in 2026 and 1.8% in 2027. Export growth will slow, reflecting weak demand in trading partners as a result of increases in trade uncertainty and in tariffs (Table 1).

Downside risks remain elevated. Heightened geopolitical tensions and global trade fragmentation could weaken export growth. Increased uncertainty, and tighter global financial conditions could dampen confidence, affecting private consumption and business investment, weighing on economic growth.

Financial risks are low but continued close monitoring is needed. Private sector financial health has improved, while lending to both households and non-financial firms has resumed moderate growth. Banks remain well capitalised and profitable despite tighter financial conditions. The Bank of Spain has introduced a positive countercyclical capital buffer (CCyB) of 0.5% effective in October 2025, increasing to 1% the following year, which is welcome. Continued close monitoring and encouraging prudent provisioning are essential to strengthen further financial resilience.

Spain's housing market faces structural challenges. Persistent supply bottlenecks in high-demand areas, combined with rising housing demand, are driving upward pressure on prices. Further increasing the supply of affordable housing remains central. Accelerating land development procedures and expanding investment in social housing beyond what is currently planned by leveraging for- profit and non-profit actors could help expand social housing faster and at a lower fiscal cost.

Table 1. Growth will remain robust but moderating

Annual percentage change unless specified, volume (2020 prices)

	2024	2025	2026	2027
Gross domestic product	3.5	2.9	2.2	1.8
Private consumption	3.1	3.4	2.7	2.1
Government consumption	2.9	1.7	1.3	1.2
Gross fixed capital formation	3.6	5.6	4.0	2.2
Exports	3.2	3.6	1.7	2.0
Imports	2.9	5.7	3.2	2.2
Unemployment rate (%)	11.3	10.6	10.1	9.8
Consumer price index	2.9	2.6	2.3	1.8
Current account balance, % of GDP	3.2	2.9	2.8	2.8
General government fiscal balance, % of GDP	-3.2	-2.5	-2.3	-2.3
General government fiscal primary balance, % of GDP	-1.6	-0.7	-0.9	-0.3
General government gross debt (Maastricht), % of GDP	101.6	99.4	97.9	97.0

Source: OECD Economic Outlook database.

Securing fiscal sustainability is key amidst long-term spending pressures

Spain's public finances have improved with public debt decreasing since 2021, yet it remains elevated. Looking ahead, long-term fiscal pressures are projected to rise, driven primarily by population ageing and rising pension costs, along with climate-related expenditures and increased defence spending. To navigate these pressures without compromising growth, it is essential to maintain a credible medium term fiscal policy while creating room for growth-enhancing spending combined with policies to foster potential growth.

Mild fiscal consolidation continues. The fiscal deficit and public-debt-to-GDP declined to 3.2% of GDP and 101.8% GDP in 2024, respectively. Given the strong growth momentum, accelerating the pace of deficit reduction would allow Spain to faster rebuild fiscal buffers to respond effectively to future shocks or downturns.

Public debt is set to increase in the medium term in the absence of reforms. The government's medium term fiscal plan outlines a gradual consolidation path to reduce the fiscal deficit to 0.8% by 2031 and bring public debt to 90.6% by 2031. However, the government plan could include more detail on the concrete policy measures to achieve these goals. Moreover, under current policies, the debt to GDP ratio would significantly increase in the 2040s amid high ageing related costs (Figure 2). Placing debt on a firmly declining path requires addressing the rise in pension spending, reducing inefficient spending and improving tax revenues.

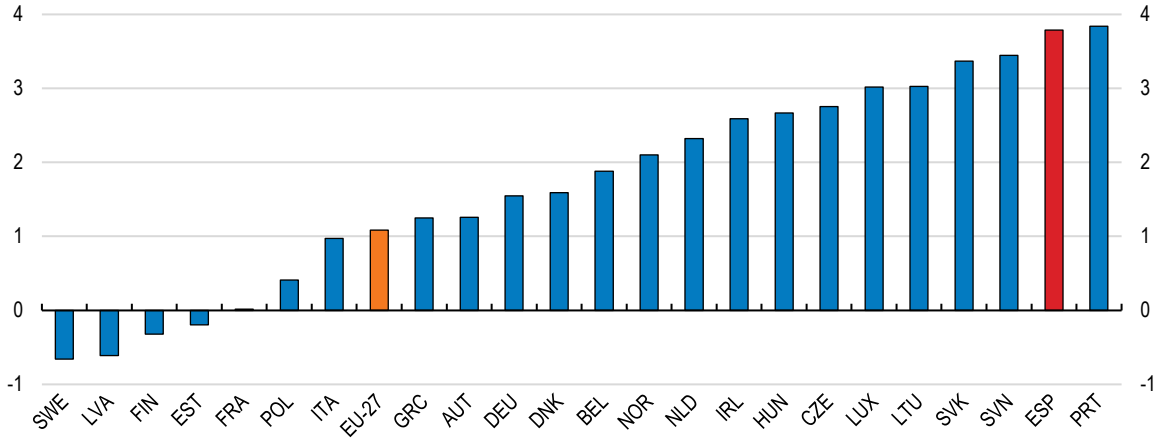
Additional measures are needed to address fiscal pressures from rising future pension expenditures. According to Spain's independent fiscal council, pension spending alone is projected to rise by 3.2 percentage points of GDP from 2023 to 2050, while ageing-related spending could increase by up to 5.2 percentage points, slightly below previously forecasted. Despite recent reforms, including increases in the legal retirement age, the extension of the contributory period, the Intergenerational Equity Mechanism (IEM) and the reform to the special scheme for self-employed workers, the gap between pension expenditure and revenues is projected to widen over the coming decades. Additional increases in social security contributions would further raise the labour tax wedge and could hurt employment. A balanced set of reform options should be considered including establishing a life expectancy adjustment, extending the reference period for the computation of pension rights or similar mechanisms. Ensuring regular, dynamic and forward-looking monitoring of pension spending pressures is also key.

A detailed medium-term fiscal strategy and enhanced spending prioritization are also essential. Revising the national fiscal rules to mirror the EU framework and ensure consistency of criteria, would support credibility and the implementation of the medium-term fiscal plan. Aligning spending with long-term growth priorities, supported by spending reviews and robust cost-benefit analysis, would further help fiscal consolidation.

There is room to rebalance the tax mix towards less distortionary taxes. Spain's tax-to-GDP ratio at 37.3% of GDP in 2023 is higher than the OECD average of 33.9%. However, it places a high burden on labour taxes potentially discouraging employment and job creation, while collecting less from consumption than EU and OECD peers. A more comprehensive tax reform that rebalances the tax mix towards less distortionary taxes could improve equity and efficiency while raising revenue. Options include harmonising VAT rates and reducing exemptions, equalizing diesel and gasoline excise duties, and strengthening energy and vehicle taxation, combined with reducing tax wedges for low-income families.

Figure 2. Fiscal pressures will increase from rising future ageing expenditures

Projected change in ageing-related costs over 2024-2044, percentage points of GDP



Note: Updating the Ageing Report projections for Spain using the observed GDP data for 2022 and 2023 leads to ageing-related costs of 3.2% of GDP from 2023 to 2050 according to (AIREF, 2025[1]).
Source: EC (2024), The Ageing Report: Economic and Budgetary Projections for the EU Member States (2022-2070), European Commission.

StatLink https://stat.link/0rx2e5

Higher productivity growth requires strengthening the performance of small and medium-sized enterprises

Spain has shown a positive performance in hourly labour productivity since 2022. However, it still maintains a significant gap with the European Union (Figure 3, Panel A). SMEs, which represent 99% of all firms and employ most of the workforce, mainly in services, tend to be significantly less productive than large firms (Figure 3, Panel B) owing to limited access to external finance and skilled labour, as well as lower innovation adoption and weaker advanced digital uptake.

Improving access to finance and reducing administrative burden is critical for SMEs growth. Promoting the use of market-based financing among SMEs by encouraging public-private cooperation to connect high growth potential SMEs with capital market participants can expand access to financing for SMEs, which heavily rely on bank loans. Regulatory complexity and tax compliance costs disproportionally affect smaller firms. Reviewing and streamlining these regulations, especially at the subnational level, can remove growth disincentives.

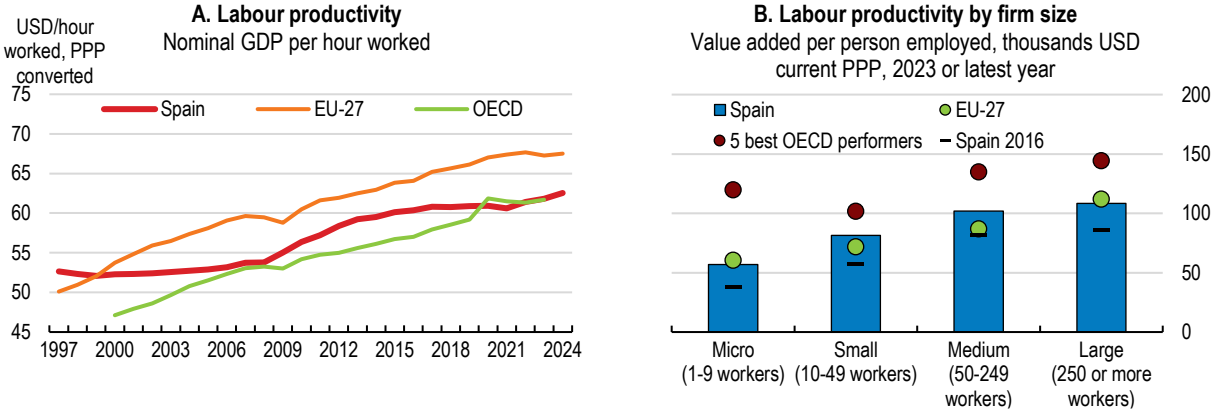
Increasing the use of more advanced digital tools among SMEs is essential to boost productivity

growth. Spain has made important strides in digitalisation, but adoption of advanced digital technologies, such as data analytics, cloud computing and process automation has been slower outside large firms. To promote uptake among SMEs, Spain should fully leverage the Recovery and Resilience Plan funding to expand targeted digital advisory and training tailored to SMEs.

Innovation activity is dominated by a small number of large firms, with limited participation from SMEs. Many smaller firms face information gaps about public support programmes, complex administration procedures and weak links with innovation systems. Raising awareness of public innovation support, facilitating access to it, and strengthening collaboration between SMEs and research institutions can significantly boost innovation.

Addressing skills mismatches and encouraging workforce upskilling is key to supporting firm productivity. Two thirds of SMEs report difficulty hiring workers with the right skills, while many lack resources to develop and implement training strategies. Despite significant progress in SMEs' participation in vocational education and dual training models since a recent reform, many SMEs aren't yet taking full advantage of these programmes. Streamlining access to subsidized training by simplifying procedures and improving outreach to SMEs could increase uptake.

Figure 3. Despite recent improvements, labour productivity is low, particularly among micro firms



Note: 5 best performers for large firms excludes Ireland and Norway where labour productivity exceeds USD 416,000 in 2023.
Source: OECD Productivity levels Statistics; OECD Structural Business Statistics.

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Harnessing the potential of older workers and migrants would help with the ageing challenge

An ageing population and low employment rates among older workers risk reducing labour supply, slowing potential growth, and increasing fiscal pressures, despite supportive tailwinds from rising migration in recent years. Recent reforms have taken steps to address these challenges by promoting longer working lives through more flexible retirement pathways and improving the integration of migrants via expanded legal channels and streamlined regularisation. Building on these reforms, further efforts are needed to strengthen incentives for older workers to remain active, promote upskilling and lifelong learning, and better align migration and skills policies with evolving labour needs.

Population ageing is advancing faster in Spain than in most OECD countries. By 2054 there will be a 41-percentage point increase of the ratio of older people over working population compared to 2024 according to OECD data (Figure 4, Panel A). This demographic shift will reduce labour supply, slow potential output growth and place growing pressures on public finances. Further tapping the employment

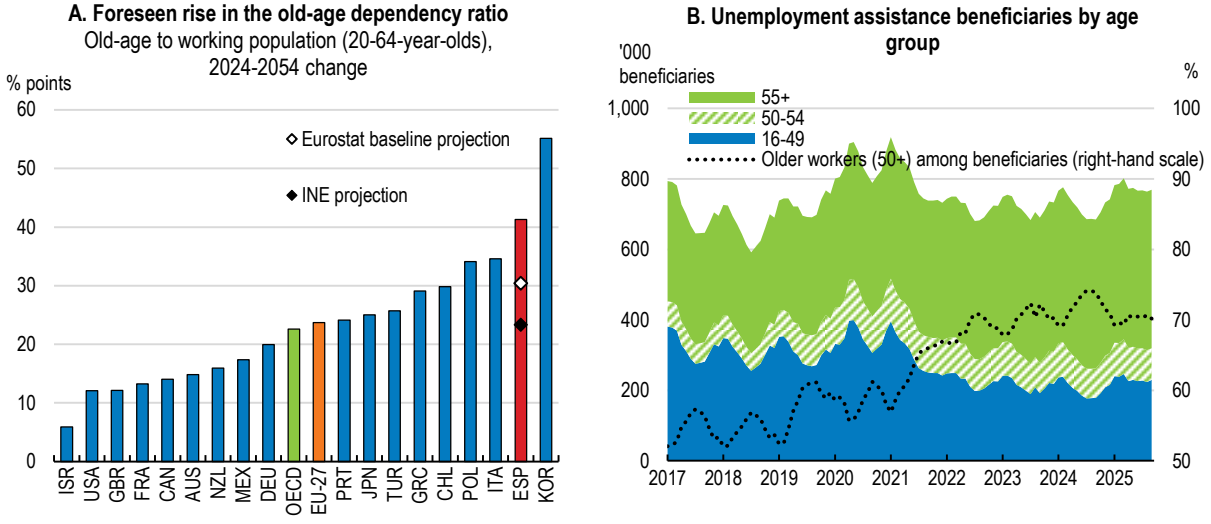
potential from older workers and migrants can partially offset some of the demographic drag and support sectors facing current and projected labour shortages.

The employment rate of older workers has risen over the past two decades but remains low. Older workers represent a growing share of the population, yet their employment rate lags OECD levels and falls sharply after 55 due to early retirement, skill obsolescence, and limited workplace adaptability. Gradually extending the effective age of labour market exit by incentivizing later retirement, while expanding flexible work arrangements options have been steps in the right direction. However, the design of non-contributory unemployment assistance for workers above 52 still deters working incentives (Figure 4, Panel B) and should be reformed. Introducing individual training vouchers for older workers, focused on sectors with labour shortages or technological change can help increase participation in lifelong learning among this group.

Migrants' labour market integration shows both strengths and structural gaps. Spain has increasingly attracted more skilled migrant workers, mostly of working age and often finding jobs quickly upon arrival. Despite recent improvements, many still face low job quality, informality and weak social mobility. Recent reforms expanded legal migration pathways and regularisation, but efforts are needed to scale up early integration support in language training, job search assistance and vocational orientation, as well as ensuring early and successful integration of second-generation youth.

Enhancing the strategic responsiveness of the migration system could attract more talented foreign workers. Spain's migration system has historically had limited alignment to actual labour shortages and often has been reactive. Simplifying pre-arrival work visa procedures, increasing bilateral labour agreements, streamlining and accelerating degree recognition through digitalisation, clear timelines, and increased staff capacity could attract more skilled migrants and help ease labour shortages, especially as the baby boom generation retires. Promoting more effective use of EU-level mechanisms to attract talent can also be useful.

Figure 4. Population ageing will put pressure on Spain's labour market



Note: Panel A: the calculation of the old-age dependency ratio is based on UN projections (OECD estimates) and INE projections (Eurostat estimates).
Panel B: unemployment benefit refers to assistance and excludes contributory unemployment benefit.
Source: OECD Pensions at a glance; Eurostat; INE; Servicio Publico de Empleo

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Spain needs to strengthen climate resilience, advance decarbonisation, and continue addressing energy security

Spain is among the European countries most exposed to climate change, experiencing some of the most severe human and economic losses (Figure 5). Rising temperatures, frequent and intense droughts, floods, heatwaves, and wildfires increasingly threaten the country's future growth, environment, and public health. Enhancing resilience will require targeted adaptation investments, and robust infrastructure. Spain is a frontrunner in the expansion of renewable electricity generation. Decarbonisation policies must continue to prioritise streamlining permitting processes and accelerating investment in grid infrastructure while supporting investment in storage and developing measures to encourage demand-side responses.

Climate-related disasters have increasing economic costs. Despite advances in disaster risk reduction and climate change adaptation, losses from disasters are increasing. Spain's disaster financing framework is regarded a solid model thanks to the strong performance of the *Consorcio de Compensación de Seguros* (CCS). However, disaster frequency and severity are increasing, highlighting the need to maintain the long-term financial sustainability of the CCS. The increased duration and frequency of heatwaves is raising health risks and reducing productivity especially in cities, raising the need for further integrating heat adaptation into urban planning and building codes.

Flooding, one of Spain's most damaging natural hazards, is intensified by the urbanisation of high-risk areas. Restricting new development in high-risk flood zones, discouraging further exposure, and expanding flood protection infrastructure through streamlined regulatory processes can significantly mitigate economic and human impacts.

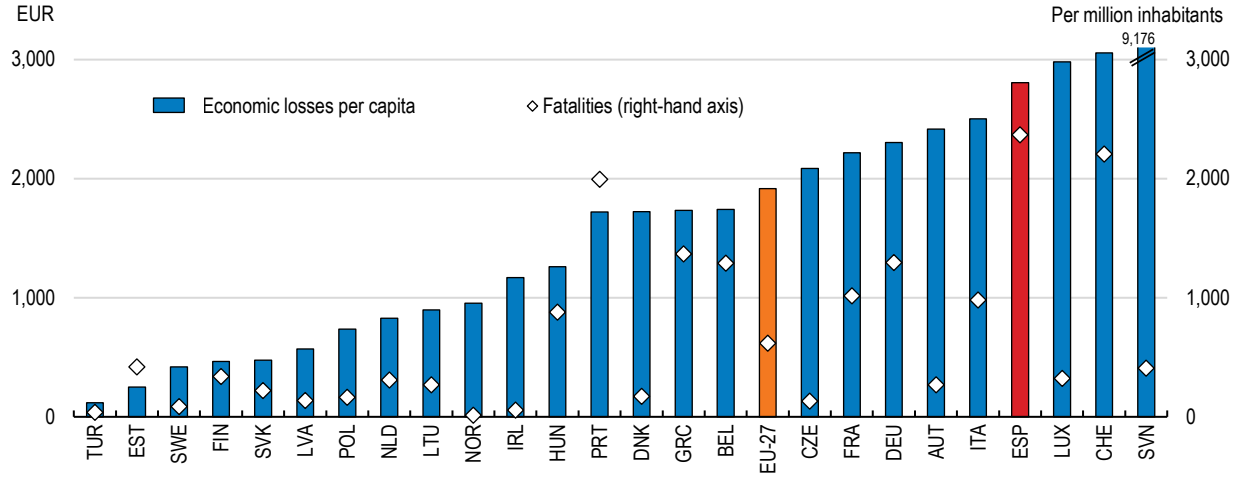
Water scarcity poses chronic challenges, aggravated by underpriced water and inadequate incentive structures for conservation. Spain should reinforce demand-based measures, including water allocation reviews in the hydrological planning process for water conservation, reform water pricing to reflect full cost recovery, including environmental externalities and scarcity. Exploring long-term marginal water pricing in agriculture and tradable water rights could help improve efficiency and resilience, while supporting conservation efforts.

In Spain, renewable electricity has significantly expanded, with solar and wind power now supplying over half of its annual generation — keeping the country on track to meet its decarbonisation goals. However, electricity demand is projected to rise by more than 40% by 2030. This growth reinforces the need to continue expanding investments in grid infrastructure, interconnections, and storage, while implementing measures to face curtailment and grid congestion.

Transport-related emissions account for almost one-third of Spain's emissions. Rising vehicle ownership and mobility demand, along with weak price signals to switch to cleaner alternatives have partially offset efficiency gains. A cost-effective decarbonisation path requires higher diesel excise, removal of freight fuel rebates alongside congestion charging, with revenue recycled into rapid-charging corridors and high-capacity public transport. Spain's current rail freight share (4%) is among the lowest in Europe, and fragmented infrastructure and limited electrification hinder its competitiveness. Interoperable and electrified rail freight corridors with enhanced rail-ports and logistic hubs connections are key to decarbonising logistics and alleviating pressure on road networks.

Figure 5. Climate related economic losses and fatalities are among the highest in Europe

Economic losses per capita and fatalities per million inhabitants over the period 1980-2024



Note: EU-27 refers to a population-weighted average and excludes Malta. Economic losses presented in constant 2024 EUR.
Source: European Environmental Agency.

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Main findings and key recommendations

MAIN FINDINGS	KEY RECOMMENDATIONS
Sustaining growth and achieving fiscal sustainability	
The fiscal deficit and public debt have fallen, yet the underlying structural deficit remains barely unchanged and public debt is still high. There is a strong growth momentum, an almost closed output gap, support from NGEU grants and monetary policy easing. Risks are titled to the downside.	Accelerate the pace of deficit reduction to faster rebuild fiscal buffers to respond effectively to future shocks or downturns.
Spain has committed to reduce the fiscal deficit to 0.8% by 2031 and bring debt to 90.6% by 2031. However, there are currently no detailed plans on how to achieve these targets. Moreover, there are rising long term aging expenditures.	Provide more detail on the medium-term fiscal strategy to reduce further public debt while strengthening tax revenues, enhancing spending efficiency, containing ageing-related expenditures and prioritising growth enhancing investment.
Ageing will increase pension, health and long-term care expenditures. Despite recent pension reforms, pension expenditure will raise creating a growing stock of implicit liabilities that are not provisioned for today. Pensions indexation to inflation and the lack of automatic adjustment for increasing life expectancy escalate system costs.	Consider establishing a life expectancy adjustment, extending the reference period for the computation of pension rights or similar mechanisms to ensure the financial sustainability of the pension system.
Spain faces a housing shortage in high demand areas due to persistent supply-side bottlenecks, including limited buildable land, slow administrative approvals, and weak incentives for affordable housing development.	Accelerate land development procedures by streamlining and digitalizing planning and permitting processes to unlock buildable land, particularly in high-demand urban areas.
Despite improvements in the legal framework, perceived corruption remains high, and enforcement gaps persist. Spain has recently introduced a new integrity and anti-corruption plan which should address key weaknesses. Spain's enforcement of foreign bribery laws remains an issue.	Ensure adoption and effective implementation of the new anti-corruption plan, including full regulation of lobbying activities, enforcement mechanisms and clear accountability of results and strengthen the enforcement of the OECD Anti-Bribery Convention.
Fostering productivity growth in small and medium-sized enterprises	
Limited access to finance continues to constrain investment and growth among SMEs, with a heavy reliance on bank loans and poor access to market-based financing.	Promote the use of market-based financing among SMEs by encouraging public-private cooperation to connect SMEs with capital market participants.
Investment in R&D remains concentrated among a small number of large firms, as elsewhere, while most SMEs contribute little or nothing to innovation activity. Generous R&D tax credits are a central element of Spain's innovation support system, but access is perceived as complex and administratively burdensome.	Simplify application and refund procedures to public R&D support through a "one-stop-shop" digital platform and speed up refund processing times.
Despite available training offered by SEPE, investment in training remains low in SMEs due to lack of information, high administrative burden and high costs.	Streamline access to subsidized training by simplifying procedures and improving outreach to SMEs.
Better harnessing the labour market potential of older workers and migrants	
Unemployment is a de-facto early route to retirement for many older workers. Despite recent reforms to the unemployment benefit scheme, for those 52 and older, re-employment is discouraged by benefits from unemployment assistance that are unlimited in time, not targeted to poor households, pension rights continue to accrue after expiry of unemployment insurance entitlements, and exceed those earned in low wage jobs.	Reform the non-contributory unemployment assistance so that workers of all ages receive equal support, restricting pension accrual to the unemployment insurance phase only, introducing household means-testing, gradually tapering benefit levels, limiting duration, and enforcing active job search requirements.
Recent reforms to the training system were introduced, yet participation in lifelong learning among older workers remains low, particularly for the low skilled, due to limited incentives, accessibility and relevance of training offers.	Introduce individual training vouchers for older workers, co-funded with employers and focused on sectors with labour shortages or technological change.
Many well-educated migrants work in low-skilled jobs due to lengthy, uncertain, and burdensome procedures to recognise foreign qualifications.	Simplify and accelerate degree recognition through digitalisation, clear timelines, and increased staff capacity.
Strengthening Spain's climate resilience, decarbonisation and energy security	
Current water pricing does not reflect the true costs of water provision, scarcity, and the opportunity cost of use. Prices differ significantly between sectors. Agricultural users pay less, face low to zero marginal cost of usage, undermining incentives for efficient water usage.	Align water prices across sectors to strengthen price signals to reflect scarcity, and for agriculture users, explore long-term marginal pricing and tradable water rights to allocate resources efficiently and reinforce demand-based measures, including water allocation reviews in the hydrological planning process.
Floods are one of Spain's most damaging natural hazards, exacerbated by urbanization in high-risk areas. The disaster financing framework provides rapid, universal protection, thanks to the strong performance of the *Consorcio de Compensación de Seguros* (CCS), but exposure and frequency of climate events is rising. Flood risk management plans face implementation delays due to administrative complexity and reluctance toward necessary structural	Improve the Risk-Adjusted Flood-Resilience Framework to (a) restrict new development in high-risk flood zones; (b) maintain the long-term financial sustainability of the CCS; and (c) accelerate permitting for cost effective structural flood defences.

solutions. Municipalities are incentivized to develop flood-prone areas due to implicit economic incentives.	
More frequent and long heatwaves are raising health risks are reducing productivity, especially in cities, among vulnerable groups and outdoor workers. Current efforts are focused on health and lack enough coverage of urban exposure, occupational risks, and heat-related incident tracking.	Integrate heat adaptation into urban planning and building codes, prioritising green solutions based on cost-benefit analysis.
Spain has significantly increased renewable electricity generation, which accounted for over 50% of the mix in 2023. To keep on track with renewable targets, measures are being implemented to face curtailment, grid congestion and delays in permitting.	Continue streamlining permitting processes and accelerate investment in grid infrastructure, including interconnections, to address congestion and enable continued renewable deployment.
Transport is Spain's largest GHG-source. Despite a 16 % fall since 2007, rising mobility, an ageing diesel-dominated fleet and inconsistent price signals keep the sector off-track for the 2030 target. Diesel rebates undermine cost-effectiveness and delay the shift to cleaner modes. Insufficient investment in rapid chargers, rail freight and urban transit limits modal shift.	Increase public spending on low-carbon transport infrastructure—rapid charging networks, interoperable and electrified rail freight corridors with enhanced rail-ports and logistic hubs connections, inter-city rail and urban mass transit and simultaneously phase out diesel rebates by aligning all fuel taxes with their carbon content.


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1 Sustaining growth and achieving fiscal sustainability

Claudia Ramírez Bulos, OECD

The Spanish economy has shown resilient and steady economic growth in the last years, surpassing European peers. Economic growth accelerated in 2024, driven by strong private consumption partly due to a growing labour force, the recovery in the tourism sector, and investments from the EU recovery and resilience funds and increased government spending. The rebound in economic activity was accompanied by lower inflationary pressures. Growth is expected to remain robust but moderating in the coming years amid increased external risks. The housing sector is under stress and policy actions are needed to unlock residential investment. Public finances have improved in Spain amid a declining fiscal deficit, while public debt remains high despite its downward trend since 2021. Complying with fiscal rules while addressing long-term fiscal pressures requires continued efforts to increase public spending efficiency, tax reforms to enhance revenue, and strengthening the fiscal framework.

1.1. Growth has been robust amid rising risks

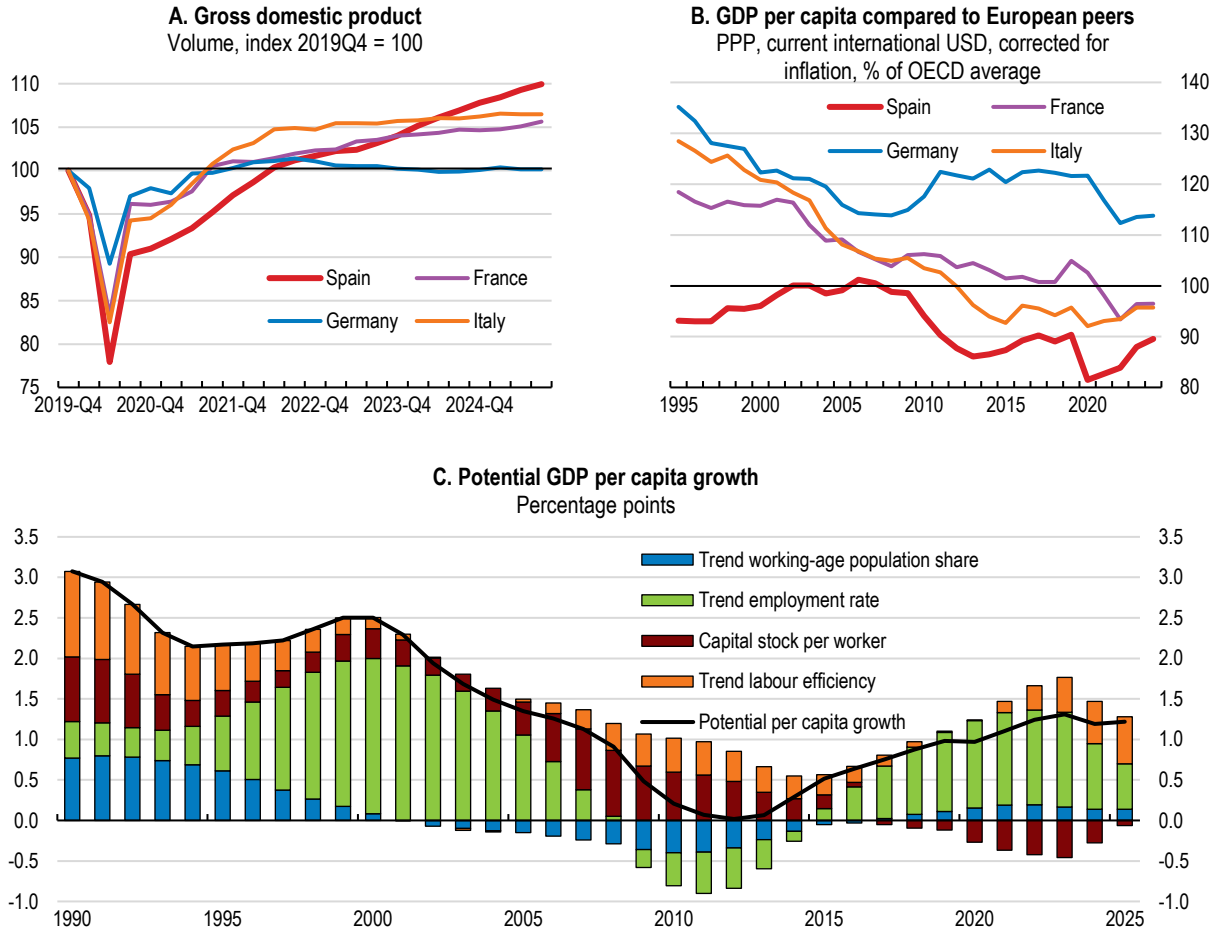
After a slow recovery following the pandemic, the Spanish economy has performed strongly in the last few years, with a growth rate of 3.5% in 2024, surpassing European peers (Figure 1.1, Panel A). Spain's post-COVID recovery has been more balanced than previous recoveries, and growth is less dependent on foreign capital, with a positive current account, lowering external vulnerabilities. Job creation has been strong across both services and industry sectors, accompanied by labour and total factor productivity gains. Between 2022 and 2024 net migration reached record levels, contributing significantly to employment and GDP growth. Robust economic activity has been accompanied by steady disinflation and declining unemployment, even if unemployment remains the highest in the OECD. GDP growth will remain robust, but gradually moderate to 2.9% in 2025 and 2.2% in 2026 and 1.8% in 2027. Since 2021, Spain's per capita GDP growth has exceeded 9% cumulatively, which is more than two and a half times the growth rate of the Eurozone, however Spain's GDP per person still has not caught up to the level of peer countries (Figure 1.1, Panel B). This lack of convergence reflects weak labour productivity growth, even if productivity per hour has improved since the pandemic, largely explained by secular sluggish total factor productivity growth and capital stock per worker (Figure 1.1, Panel C). The employment rate remains below peer countries and the population is rapidly aging. Public debt is still high and ensuring fiscal sustainability will become more challenging amid growing spending on pensions, health, climate adaptation and mitigation, and defence. Strengthening the fiscal framework and advancing structural reforms that raise the still low employment rate (Chapter 3) accelerate investment, and boost productivity growth (Chapter 2) are needed to ensure fiscal sustainability and lift long-term growth.

1.1.1. Growth rebounded in 2024 and is projected to moderate in the coming years

The Spanish economy has held up remarkably well. After growing 2.5% in 2023, the Spanish economy expanded by 3.5% in 2024, driven by strong private consumption —on the back of a growing labour force, — the post-Covid recovery in the tourism sector, investments from the EU recovery and resilience funds and increased government spending (Figure 1.2, Panel A). Economic activity remains strong in 2025, driven by robust gross capital formation and private consumption. A strong labour market and wage growth are supporting steady gains in real disposable income and consumption (Figure 1.2, Panel B). Housing credit to households and credit to firms is growing healthy, supported by monetary easing.

High international uncertainty and rising trade costs—driven by weakening external demand—took a toll on business confidence in early 2025. However, PMI indicators have recovered since June and signal expansion, after trending downward in early 2025 both in services and manufacturing, and the economic sentiment indicator has recently recovered (Figure 1.3, Panels A and B). Meanwhile, turnover among Spanish firms dipped slightly from March to June, but increased slightly between July and September, according to the Bank of Spain's Business Activity Survey, pointing towards steady growth.

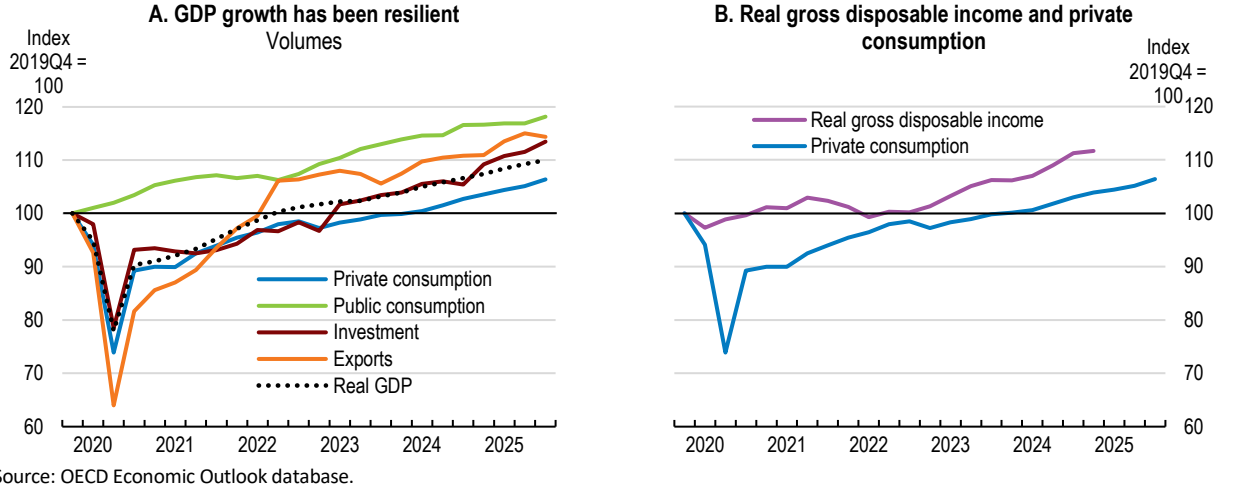
Figure 1.1. GDP growth has accelerated, but GDP per capita convergence remains a challenge



Note: Panel A: seasonally and calendar adjusted data. Panel B: EU-27 and OECD refer to simple averages of 27 and 38 countries respectively throughout the period.
Source: Eurostat; World Bank WDI; OECD Economic Outlook database.

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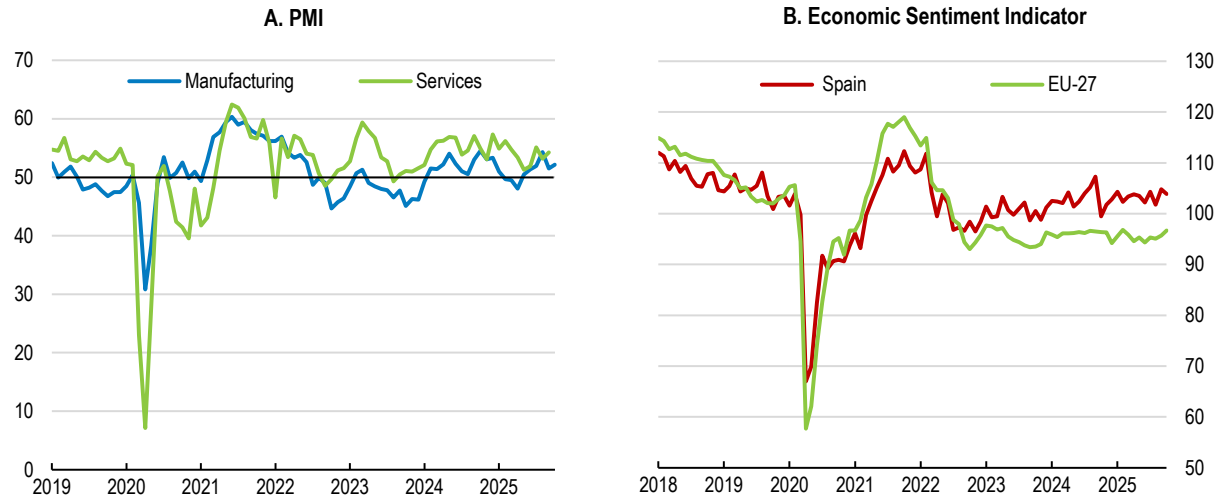
Figure 1.2. GDP growth has been robust while gains in disposable income have supported consumption



Source: OECD Economic Outlook database.

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Figure 1.3. Confidence indicators lost some momentum in early 2025 but are recovering



Note: Panel A: S&P Global Spain Purchasing Managers' Index; values above 50 indicate expansion.
Source: S&P Global; Eurostat.

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1.1.2. The labour market is strong, but structural challenges remain

The labour market continued to perform strongly through 2024 and 2025. Employment grew by 2.2% year on year in Q3 2025 (Figure 1.4, Panel A), supported in large part by sustained migration. Foreign workers now make up 14.4% of total employment accounting for 44% of new jobs in 2025, with a relatively high employment rate of the foreign-born population, though their skills could be better used (Chapter 3). The unemployment rate continued falling to 10.5% in September 2025, while this is a notable improvement, it remains well above the European Union average of 6% and the OECD at 5% (Figure 1.4, Panel B) and with notable regional disparities. Increasing job vacancy rates, combined with strong economic growth and falling unemployment, may be showing signs of labour market tightness. At the same time temporary employment declined notably to around 16% in 2024, closer to the EU average, from 25.4% at the end of 2021, thanks the 2021 labour market reform (Box 1.1).

The minimum wage has risen sharply, reaching EUR 1,184 per month in 2025, a 4.4% increase since 2024. Since 2018, the minimum wage has grown by 60.9% in nominal terms and 30.2% in real terms helping to protect low-income workers purchasing power (Figure 1.4, Panel C). However, this pace outstrips inflation and productivity growth. Previous evidence suggests limited or unclear effects on employment. Yet, as the minimum wage in Spain's has significantly increased, negative effects on employment may begin to emerge. Thus, future increases should be carefully calibrated to avoid unintended negative effects on employment, particularly for vulnerable groups such as low-skilled, youth, and older workers, as recommended in the 2023 OECD Economic Survey of Spain. Strengthening the independence and the technical capacity of the Minimum Wage Commission, as recommended in previous Surveys (OECD, 2021[1]) (OECD, 2023[2]), by giving it a mandate to advice on minimum wage changes in line with labour market conditions and productivity could help ensure minimum wage setting mechanisms reflect economic conditions, productivity and labour market disparities. For this, it is essential to continue strengthening the Minimum Wage Commission's resources, while ensuring that both trade unions and employers take part. Improved data systems are also needed to track individual workers' wages in real time (OECD, 2024[3]).

Despite recent reforms and improvements (Box 1.1), labour market challenges continue and reducing Spain's unemployment and raising employment should be a priority. Unemployment remains significantly above the OECD average (Figure 1.4, Panel B), with youth and women disproportionally affected and there are signs that remaining unemployment is mostly structural. Spain's employment rate for 15-64-year-olds at 66% in 2024 persists well below that in peer countries. Despite stronger growth since 2020, employment remains lower

among youth and women (Figure 1.4, Panels D and E). Average earnings are low compared to other OECD countries (Figure 1.4, Panel F), reflecting weak firm productivity, low skills and skills mismatches (See Chapter 2). High unemployment largely reflects structural issues, including low incentives to return to work for the unemployed, skill mismatches and active labour market policies that have yet to achieve their full potential, concerns raised in past OECD Economic Surveys of Spain. Furthermore, Spain has exhibited important regional disparities in labour market outcomes, with the gap between the best- and worst-performing regions in terms of unemployment and employment ranking among the highest in the OECD. Northern and central regions continue to benefit from lower unemployment and higher job quality, reflecting more diversified and industrialized economies, while southern regions lag behind, with tourism and hospitality dominating economic activity.

Box 1.1. Recent and on-going labour market reforms

The government has introduced several reforms aimed at addressing structural weaknesses in the labour market. These include:

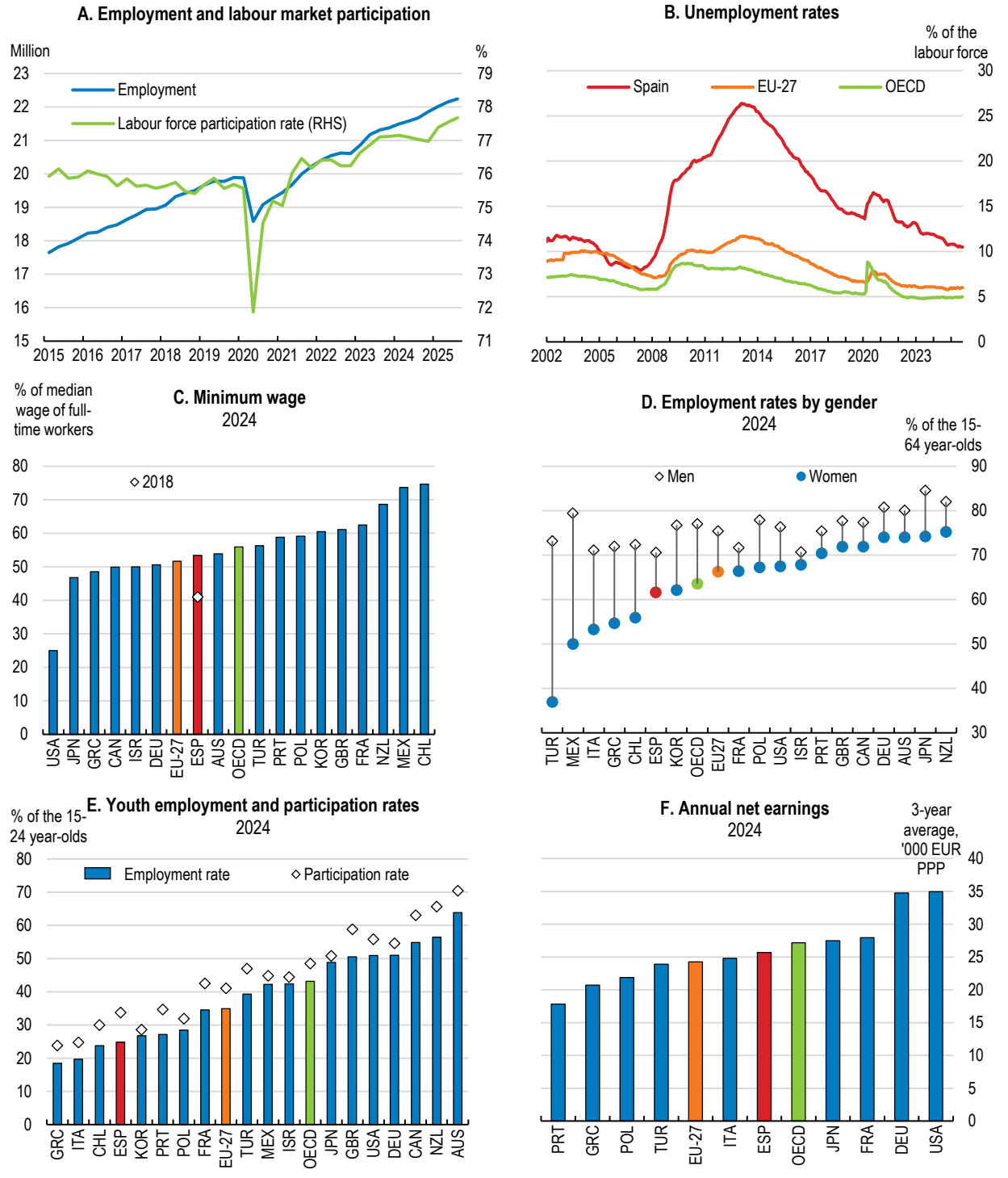
- **The 2021 labour market reform:** restricts the use of temporary contracts and shrinks the menu of employment contracts. It also modifies the framework for collective bargaining and simplifies the procedure for companies to take advantage of the ERTE short-time work scheme. In addition, the new RED Mechanism for Employment Flexibility and Stabilisation will allow companies to cut working hours in case of cyclical downturn or difficulties specific to their sector.
- **The 2022 VET reform:** introduced a unified, flexible, and modular system designed to modernize training and link it more closely to job market needs. The work-based component has been reinforced, and adult VET is now fully integrated into the national qualifications system, with recognition and validation of prior learning playing a central role.
- **The 2023 employment law:** seeks to provide personalized support and guaranteed services in favour of re-employment, and upskilling and reskilling programmes as part of the Recovery, Transformation and Resilience Plan (RTRP).
- **The 2023 Royal Decree-Law on hiring incentives:** aims to support employment via reductions in social security contributions or other instruments, with a focus on hiring vulnerable unemployed persons or those with low employability, and to encourage the transformation of permanent part-time and permanent discontinuous contracts into full-time and permanent ordinary contracts.
- **The May 2024 unemployment benefit system reform**: The reform increases the monthly unemployment benefit to EUR 570, extending eligibility to previously excluded groups (such as individuals under 45 without family responsibilities). It also allows recipients to combine unemployment benefits with employment income for up to 180 days, provided their salary does not exceed EUR 2,250 per month. Additionally, the reform eliminated the mandatory one-month waiting period after exhausting contributory benefits and prohibited automatic dismissal due to permanent disability. The reform started to be implemented in April 2025.

Reforms under discussion:

- **Mandatory digital time tracking and right to disconnect:** From 2025, companies are required to implement digital systems for tracking employee working hours, instead of using manual methods. Additionally, the right to digital disconnection has been reinforced, ensuring employees are not contacted outside working hours.
- **Reform of occupational risk prevention law:** The reform is aimed at adapting regulations to intensify the prevention of risks associated with the use of technologies, exposure to chemical substances, high temperatures, climate related risks, and psychosocial risks to ensure a safer and healthier work environment for all employees.

Source: Ministry of Labour and Social Economy.

Figure 1.4. Despite recent dynamism in the labour market, structural challenges persist



Note: Panel B: unemployment rates are calendar and seaonally adjusted.
Source: OECD Economic Outlook database; OECD Labour force statistics; OECD Employment protection legislation database, 2020 edition.

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The recent reform of the unemployment benefit system improved the scheme's generosity and beneficiaries' work incentives by reducing the benefit amount over time, making benefit receipt temporarily compatible with work, and establishing personalised activation itineraries. This is a positive step towards improving re-employment prospects, in line with recommendations in the 2023 Economic Survey of Spain. Strengthening activation requirements for recipients and extending the period where work income can be combined with the unemployment benefit receipt beyond the current 6 months, can further encourage a return to work and enhance job matching.

Spain is implementing several initiatives to improve active labour market policies and strengthen the public employment service system, including through reforms and investments under the RTRP, which also seek to increase coordination and promote the exchange of good practices. The aim of these initiatives is to provide better job search assistance, career guidance, work-experience programmes, and up-skilling and re-skilling support (OECD, 2025[4]). However, a key challenge is to consolidate and scale these approaches across the territory. Digital tools to support guidance, such as the Send@ platform, are also being developed. Nevertheless, more counsellors are needed at the public employment service, which are often understaffed, and they must be well trained to guide jobseekers effectively towards offers and policies adapted to their situation. While the 2021 labour market reform addressed excessive use of temporary contracts, the OECD has long recommended that dismissal procedures for permanent contracts be streamlined and clarified, particularly for small firms, to reduce hiring risks and encourage more permanent job creation (OECD, 2021[1]) (OECD, 2023[2]).

Increasing access to quality childcare, especially for vulnerable children, could boost female employment. To reduce persistently high youth unemployment and increase employment, Spain should keep strengthening vocational education and training, and improving the effectiveness of active labour market policies targeted at young people, as highlighted in previous OECD surveys. Efforts in recent years are already showing results in expanding work-based learning opportunities (Box 1.1). Following the 2022 reform, the VET system is now rolling out a fully dual model—where over 35% of training occurs on the job and early indicators show raising employer engagement and improving training alignment to labour market needs. Sustaining the growth in employment among older workers should continue to be a priority, as discussed in Chapter 3.

1.1.3. Health-related inactivity has risen sharply

The sharp rise in temporary sick leave (*incapacidad temporal*, IT) in Spain poses growing economic and policy challenges (Figure 1.5, Panels A and B). In 2023 alone, over 369 million workdays were lost to sick leave, equivalent to more than one million workers absent each day, according to estimates by the *Instituto Valenciano de Investigaciones Económicas* (IVIE, 2025[5]). This represents a 52% increase since 2018 and the annual economic cost of absenteeism is estimated at EUR 81.6 billion in 2023, equivalent to 5.4% of GDP, up from 4% in 2018. Much of the increase took place over 2023 and 2024 and is due to the sharp rise in long-duration cases (over 365 days), which doubled over the period and now account for more than a third of total low workdays, despite representing less than 3% of cases. A small group, about 7 %, accounts for half the sick-leave processes. If left unaddressed, the issue risks becoming more entrenched and costly, particularly as Spain's population continues to age and the prevalence of chronic and mental health conditions rises. Without action, sick leave could weigh even more heavily on productivity, public finances, and labour market participation in the coming years.

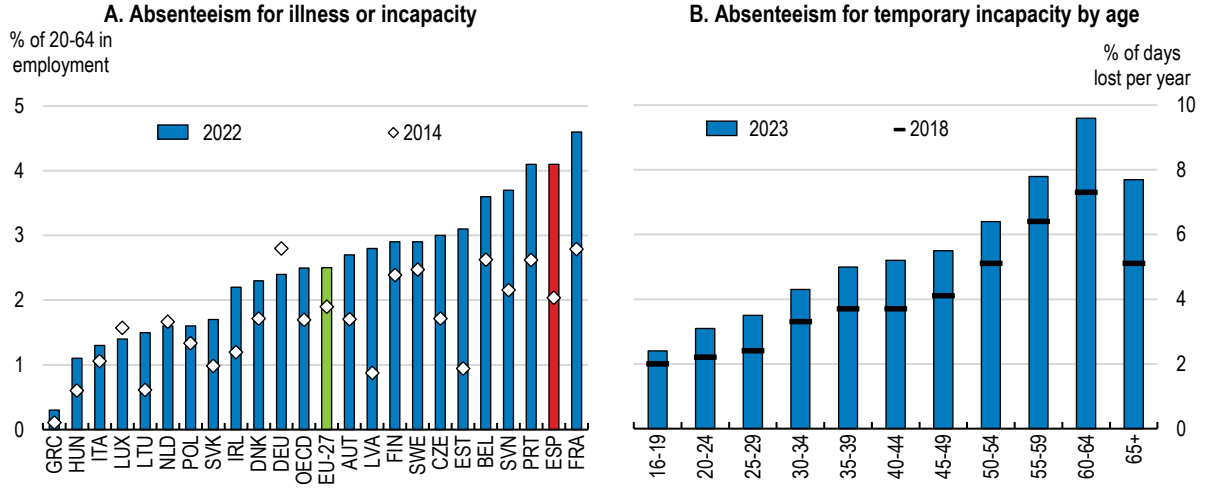
The increase in temporary sick leave is broad-based, affecting all age groups, regions and sectors, but is pronounced among younger workers and in long-duration and repeat cases. Mental health and musculoskeletal conditions now account for more than half of all lost workdays, with mental health–related leave rising by 111% over five years. Long-term cases (over 365 days) have doubled, and more than half of absent workers in 2023 experienced multiple episodes during the year.

This trend, as in many other OECD countries, is driven by several structural and institutional factors. First, the public health system constraints have worsened since the pandemic: while Spain's population has grown

significantly since 2019, the number of primary and specialist care physicians has not kept pace. Delays in appointments and referrals have lengthened sick leave durations, as certificates are often extended while workers wait for diagnosis or treatment. Regulatory changes in 2023 made sick leave automatically renewable at 365 days, in part to manage bottlenecks, while extensions up to 730 were already in place before 2023. Second, many collective agreements require employers to top up sick pay to 100% of wages from day one, well above the 60% based covered by the Social Security, raising costs and weakening return-to-work incentives. Third, fragmented governance, split between regional health services and the national Social Security administration, combined with limited oversight capacity, especially from INSS inspectors, has further reduced the system's ability to manage and contain sick leave effectively. In response, the Ministry of Social Security has established a roundtable to coordinate reforms, and since July 2024, mutual insurance funds (*mutuas*), which oversee work-related injuries, have begun participating in the evaluation of non-occupational sick leave cases. Additionally, the Government asked the fiscal council to examine the causes of the evolution of temporary disability spending in the second phase of the 2022-2026 Spending Review.

Addressing the rise in temporary sick leave will require a comprehensive strategy to strengthen oversight, medical capacity, and coordination. A first priority is to expand both healthcare and inspection capacity by hiring more primary care doctors, particularly in mental health, and increasing the number of INSS medical inspectors. Pay scales for inspectors should be made more competitive to attract talent, and the lengthy process for recognising foreign medical degrees, currently taking up to four years, should be fast-tracked. Although these measures imply fiscal costs, they are likely to be outweighed by the economic savings from reducing unnecessary or prolonged sick leave. Second, consideration could be given to further extending the role of the mutual insurance funds (*mutuas*) which could take more responsibility in evaluating and issuing discharges for sickness absences for common contingencies, making use of their existing infrastructure and extending their role to cases of longer-term temporary incapacity (i.e., absences of one year or longer) where appropriate. Finally, supervisory processes should be reformed so that the INSS begins case reviews much earlier—well before the current 12-month threshold—and adopts proactive tools such as automatic control letters. Routine extensions of sick leave should be limited unless medically justified, to ensure that resources are targeted where truly needed and return-to-work is encouraged.

Figure 1.5. Absenteeism for illness or incapacity has increased



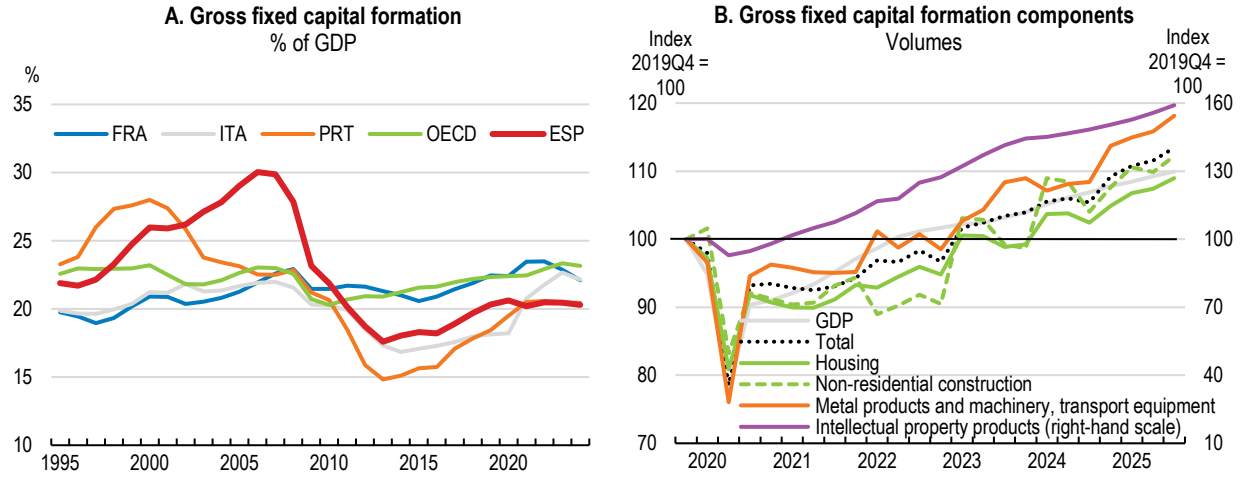
Note: Break in the series in 2021 in Panel A. Data in panel B refer to the general regime.
Source: Eurostat; Umivale Activa and Instituto Valenciano de Investigaciones Económicas, Estudio socioeconómico de la evolución de la incapacidad temporal y la siniestralidad en España, June 2025.

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1.1.4. Investment is recovering

Spain's investment levels have stabilized at around 20% of GDP, lower than the OECD and peer countries levels, but closer to those observed before the extraordinary investment surge of the 2000s driven by the housing boom (Figure 1.6, Panel A). Gross fixed capital formation returned to its pre-pandemic level by early 2023 (Figure 1.6, Panel B), along with the strong real GDP growth and the implementation of the of EU Next Generation (NGEU). Investment in machinery and equipment returned to 2007 levels, while spending on intellectual property has significantly expanded, reflecting a shift toward knowledge-intensive assets (Figure 1.6, Panel B).

Figure 1.6. Investment has recovered, particularly in machinery and equipment



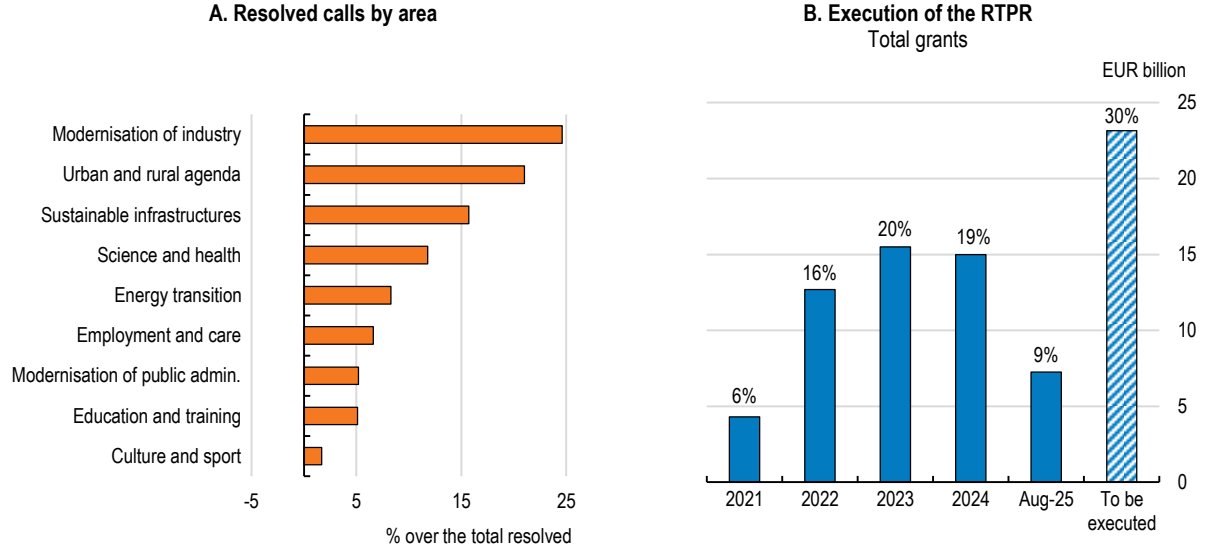
Source: OECD Economic Outlook database; INE.

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Spain's Recovery, Transformation, and Resilience Plan (RTRP) has supported near term growth and helped crowd in private investment, particularly in digital and green sectors (Figure 1.7, Panel A). Spain has implemented most of the Plan's reforms and 69% of the funds had been disbursed by August 2025 (Figure 1.7, Panel B). Furthermore, survey data suggests that nearly half of participating firms would not have invested without EU funds (Bank of Spain, 2025[6]). Additionally, Spain has requested up to EUR 84 billion in loans aiming to support investment in the green transition, digitalization, housing, and regional development. However, only 15% of investment-linked objectives, particularly in sustainable mobility and digitalization, have been met so far and updated ECB projections suggest a smaller impact on potential growth than initially expected. The gains from reforms and investments included in the RTRP would lead to 1.2% and 1.4% additional GDP growth by 2026, the final year of the programme, with positive effects persisting beyond 2026, ranging from 0.7% to 1.4% by 2031 (Bańkowski, 2024[7]), below previous calculations of around 3% by 2026 (Bańkowski, 2022[8]). This underscores the importance of not only absorbing and deploying the large volume of funds by 2026 but also addressing deep-rooted impediments to investment, including administrative bottlenecks.

Looking ahead strengthening investment will depend on improving the business environment, by streamlining regulation, improving administrative efficiency and strengthening intergovernmental coordination and boosting the capacity, especially of SMEs, to innovate and grow (Chapter 2). Faster RTRP project execution and sustained reform momentum will be essential to convert one off stimulus into lasting gains.

Figure 1.7. Timely deploying remaining RTPR funds could further boost economic growth



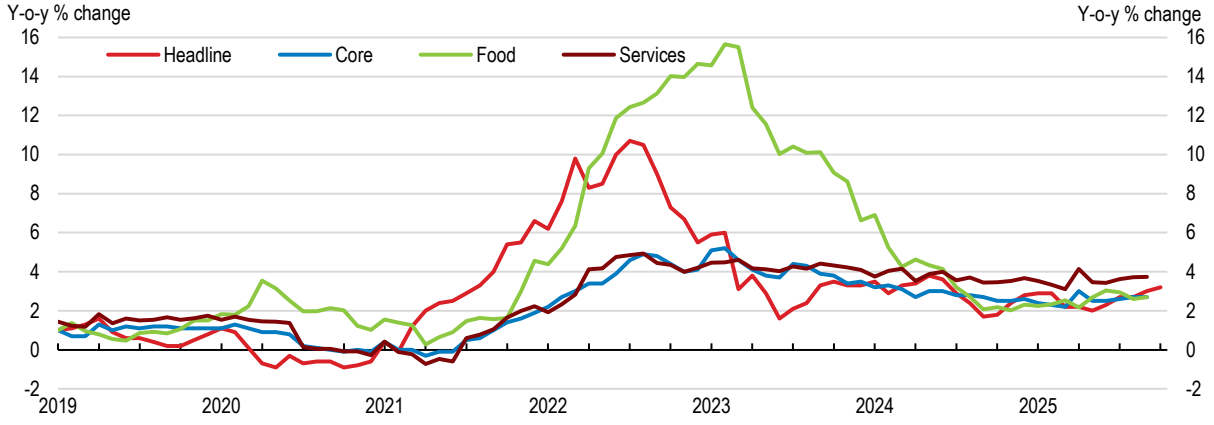
Source: ELISA portal, Government of Spain, August 2025.

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1.1.5. Inflation is low and will continue to decline

Despite an uptick toward the end of 2024, disinflation continued for both headline and core inflation in the first half of 2025, before picking up slightly in the third quarter. Headline inflation fell steadily through 2024, largely reflecting lower energy prices. By September 2024 inflation reached a low of 1.7%, ticking up temporarily to 2.8% by December (Figure 1.8), driven by rising fuel costs and the gradual phase out of temporary government subsidies introduced in 2022 to shield households from the inflationary shock. As energy prices stabilized, most measures were gradually phased out throughout 2024—including the reduced VAT on electricity and gas, and the zero VAT on essential food items—while public transport subsidies were reduced and targeted to benefit younger users until the end of 2025. Spain's harmonised inflation rate was 3.2% in October 2025, and average headline inflation is expected gradually decline to 2.3% in 2026 and 1.8% in 2027.

Figure 1.8. Inflation has declined



Source: Eurostat.

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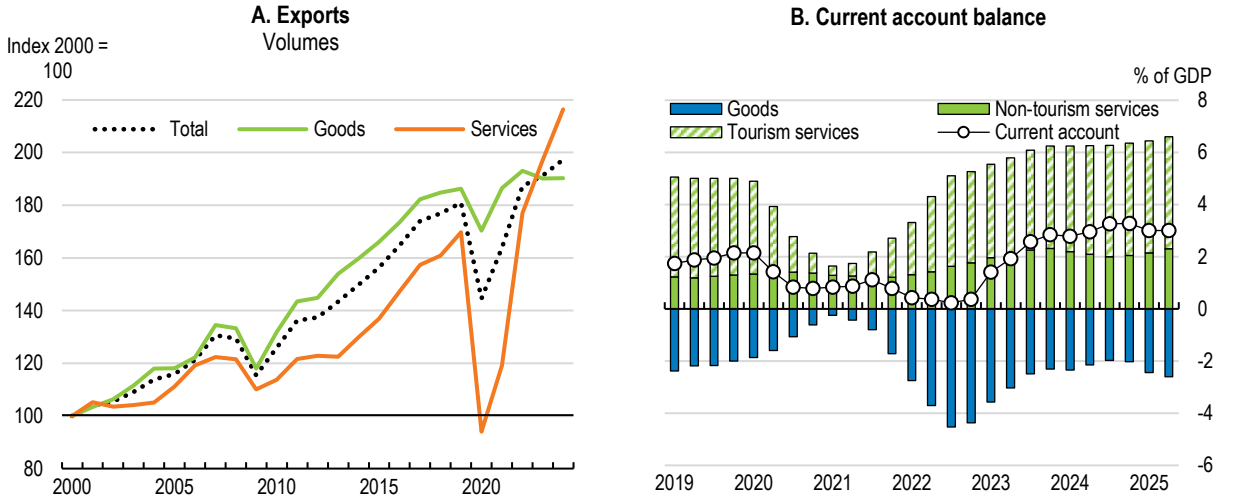
Core inflation has slowly declined since September 2023, reaching 2.7% in September 2025. Even if the nominal wage growth averaged 5.0% in 2024, outpacing inflation, second round effects on inflation have remained contained. The 2023 tripartite agreement on collective bargaining supported moderate salary

increases in 2023-2025, containing wage pressures. Business surveys suggest that firms still anticipate further price increases in the short run, both in services and industry. Nevertheless, core inflation is expected to continue to recede slowly in 2026 and 2027 reaching 1.8% on average in 2027.

1.1.6. The external sector holds firm amid raising tariffs and uncertainty

Despite modest growth among Spain's main EU trading partners, the external sector was resilient in 2023 and 2024 (Figure 1.9, Panel A). The current account surplus rose further from 2.7 of GDP in 2023 to 3.2% in 2024. Stable imports and rising exports increased the current account, with a strong momentum in service exports. Tourist arrivals and spending reached record highs, with revenues rising by 15.9%, outpacing the 10% increase in tourist arrivals, suggesting high average spending. Non-travel service exports, including business services, transport, telecommunications, and IT also expanded robustly (Figure 1.9, Panel B). The trade deficit narrowed due to a sharp decline in energy import prices.

Figure 1.9. Exports have expanded and the current account is in surplus



Source: OECD Economic Outlook database; Bank of Spain.

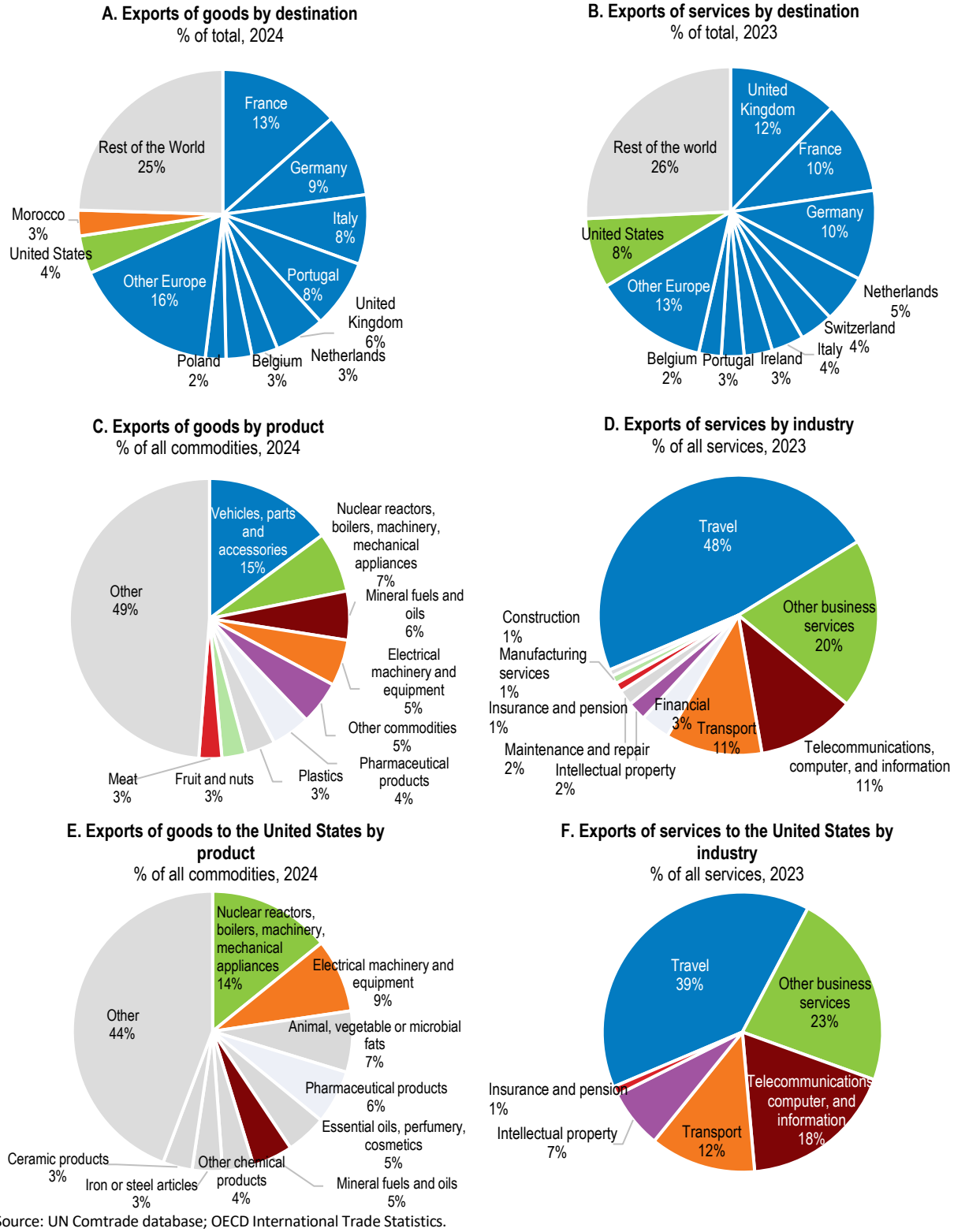
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Spain's direct exposure to U.S. tariffs is limited, as its exports are mostly diversified and directed toward Europe (Figure 1.10, Panels A, B, C and D). Bilateral goods trade with the United States accounts for less than 5% of exports and around 1% of GDP in 2024, resulting in a moderate economic impact of the increased US tariffs. However, higher uncertainty can further affect business confidence, while some sectors such as agri-food, chemicals, and machinery and transport equipment may be more affected (Figure 1.10, Panels E and F). Spain's integration into global value chains, means that the indirect effects could be somewhat greater. Some Spanish components are used in goods exported by other EU countries to the U.S. and tariffs can reduce demand for Spanish intermediate goods. Overall, export growth is expected to slow in the next two years due to weak demand in key trading partners, as discussed below.

In response to heighted global trade tensions, the government announced a *Trade Response and Relaunch Plan* worth EUR 14.1 billion (0.9% of GDP) in April 2025 to protect workers and companies affected by the rise in tariffs, reorient their production capacity and boost their presence in new markets. The plan includes guaranteed credit lines through the Official Credit Institute (ICO), loans via the industrial investment fund, the use of RTRP funds, as approved by the European Commission, and the possibility for companies to request the implementation of labour flexibility measures to maintain employment (RED). Support measures should be temporary, targeted, and well-designed, if higher tariffs are permanent, firms will need to adapt to the new trade environment and permanent support can be counterproductive and dampen incentives for firms to adapt. Moreover, the government has announced it will seek new trade agreements, prioritising the

ratification of the agreement with Mercosur, as well as reinforcement with strategic partners to diversify export markets.

Figure 1.10. Exports are diversified and direct exposure to the US is limited



Source: UN Comtrade database; OECD International Trade Statistics.

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1.1.7. Growth will remain strong but will moderate

GDP growth is expected to reach 2.9% in 2025, 2.2% in 2026 and 1.8% in 2027. Domestic demand will remain the key driver of growth, amid weakened external demand (Table 1.1). Private consumption will be supported by a robust labour market, real income gains and falling headline inflation. Investment is expected to rise over 2025-2026 underpinned by lower financing costs and the continued implementation of the Recovery, Transformation and Resilience Plan. Export growth is projected to slow, reflecting weak demand from key trading partners and the imposition of an effective U.S. tariff of over 16% on Spanish goods.

The outlook is overshadowed by significant uncertainties and downside risks, both external and domestic. On the external side, as in most OECD countries, risks largely stem from escalating trade measures globally, which could further dampen external demand for Spanish exports, increase uncertainty and delay investments globally and in Spain. A decline in global risk appetite could raise financial markets' volatility and financing costs for Spanish firms, tightening credit conditions and weighing on investment and growth. An intensification of regional conflicts could increase commodity prices, leading to a negative terms-of-trade shock, higher inflation, and a worsening of the current account balance.

Domestically, political fragmentation could complicate the timely implementation of needed structural reforms and fiscal measures and hinder the effectiveness of fiscal policy if Spain's deficit reduction fails to meet its targets or if investor concerns about sovereign risk arises. Additionally, weak investment remains a risk, potentially driven by ongoing supply constraints in construction, prolonged uncertainty at both national and global levels, or delays in the implementation of NGEU funds. On the upside, a more rapid and efficient implementation of RTRP funds could boost investment, and an unwinding of the high savings rate could lead to stronger consumption. Finally, several large potential shocks could alter the economic outlook (Table 1.1). For example, climate-related shocks, such as the floods in Valencia in October 2024, that had a significant impact at the local level, can pose a serious threat to Spain's economy. More frequent and intense weather events, such as droughts, floods, and heatwaves can also affect labour productivity (Costa, H. et al., 2024[9]), disrupt agriculture, damage infrastructure and strain water systems (see Chapter 4). These events can also trigger inflationary pressures and weigh on tourism and transport.

Table 1.1. Events that could lead to major changes in the outlook

Shock	Possible impact
Sharp escalation of trade tensions globally leading to abrupt global slowdown or recession accompanied by financial market disruptions.	A global recession would dampen external demand for Spanish goods, while prolonged uncertainty and financial market disruptions could tighten financial conditions, lower confidence, hamper investment and weaken Spain's growth.
A large-scale cyberattack.	Disruption of business operations. Shutdown of vital domestic infrastructure.
Political fragmentation.	Political fragmentation could hinder effective fiscal policy and the implementation of structural reforms. Sovereign spreads could increase if fiscal targets are not met.
Extreme weather events caused by climate change, such as heatwaves, wildfires, floods, or severe droughts.	Lower production in agriculture and temporary and local drop in output due to induced disruptions. Pressure on public finances, as physical infrastructure is replaced.

Table 1.2. Macroeconomic indicators and projections

Annual percentage change unless specified, volume (2020 prices)

	2021 Current prices (EUR billion)	2022	2023	2024	2025	2026	2027
Gross domestic product (GDP)	1,235.5	6.4	2.5	3.5	2.9	2.2	1.8
Private consumption	693.6	4.9	1.8	3.1	3.4	2.7	2.1
Government consumption	259.4	0.8	4.5	2.9	1.7	1.3	1.2
Gross fixed capital formation	249.6	4.2	5.9	3.6	5.6	4.0	2.2
Housing	69.3	9.0	0.8	2.1	4.8	3.7	3.5
Final domestic demand	1,202.6	3.9	3.2	3.2	3.5	2.7	1.9
Stock building (contribution to changes in real GDP)	20.7	0.3	-1.5	0.3	0.1	0.1	0.0
Total domestic demand	1,223.2	4.1	1.6	3.4	3.6	2.8	1.9
Exports of goods and services	417.1	14.2	2.2	3.2	3.6	1.7	2.0
Imports of goods and services	404.8	7.7	0.0	2.9	5.7	3.2	2.2
Net exports (contribution to changes in real GDP)	12.2	2.3	0.9	0.2	-0.6	-0.4	0.0
Memorandum items							
Potential GDP		1.9	2.3	2.4	2.2	2.0	1.8
Output gap (% of potential GDP)		-2.3	-2.1	-1.2	-0.5	-0.2	-0.1
Employment		3.6	3.1	2.2	2.5	1.9	1.6
Unemployment rate (% of the labour force)		13.0	12.2	11.3	10.6	10.1	9.8
GDP deflator		4.7	6.2	2.9	2.4	2.0	1.8
Consumer price index		8.3	3.4	2.9	2.6	2.3	1.8
Core consumer price index		3.8	4.1	2.8	2.5	2.2	1.8
Household saving ratio, net (% of household disposable income)		5.0	8.0	9.2	8.8	8.8	9.2
Current account balance (% of GDP)		0.4	2.7	3.2	2.9	2.8	2.8
General government fiscal balance (% of GDP)		-4.6	-3.3	-3.2	-2.5	-2.3	-2.3
Underlying general government fiscal balance (% of potential GDP)		-3.9	-2.9	-3.3	-2.6	-2.8	-2.2
Underlying government primary fiscal balance (% of potential GDP)		-1.8	-1.1	-1.6	-0.7	-0.9	-0.3
General government gross debt (Maastricht) (% of GDP)		109.3	105.2	101.6	99.4	97.9	97.0
General government net debt (% of GDP)		81.8	80.0	77.9	75.6	74.1	73.3
Three-month money market rate, average		0.3	3.4	3.6	2.2	2.0	2.0
Ten-year government bond yield, average		2.2	3.5	3.2	3.2	3.3	3.4

Source: OECD (2025), OECD Economic Outlook database.

1.2. The financial system remains resilient

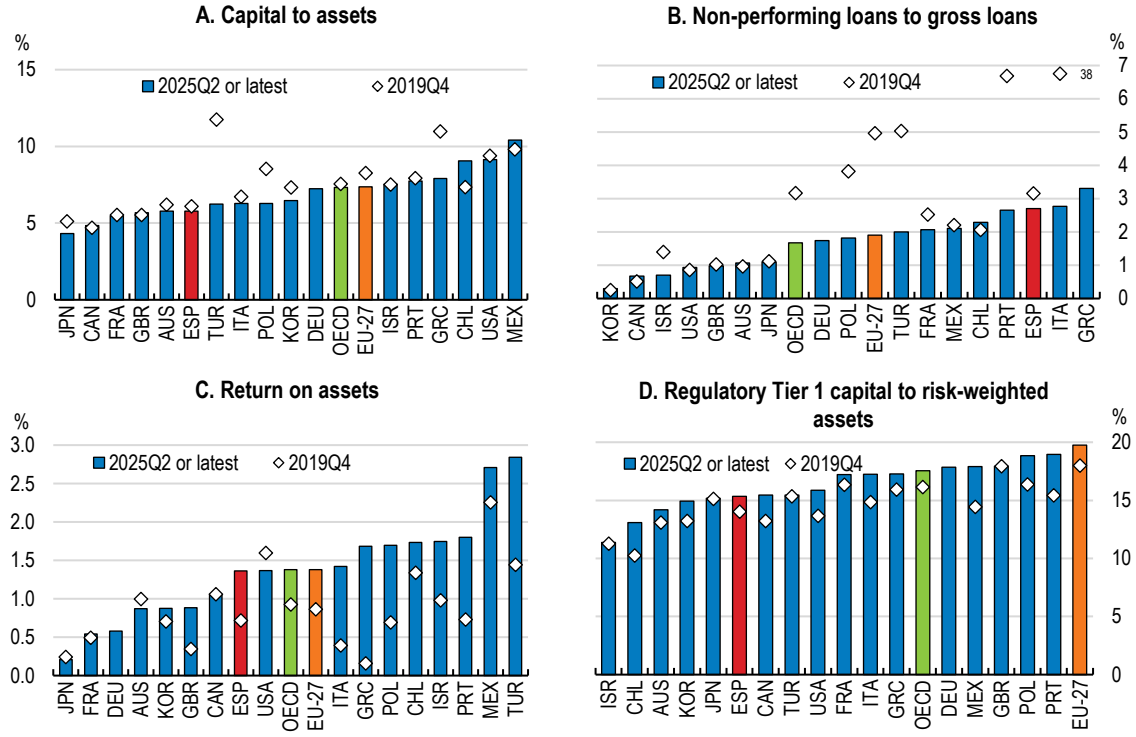
1.2.1. Banking system resilience has strengthened

Spanish banks remain well capitalised with higher levels of solvency than before the pandemic and lower NPL ratios (Figure 1.11, Panel A and B). Bank profitability has improved significantly, with a noticeable increase of net interest income in the domestic market (Figure 1.11, Panel C). However, this strong profitability has not translated into a large improvement in their Tier-1 ratio, which is above minimum requirements, but below the OECD average (Figure 1.11, Panel D). This partly reflects that excess capital has been managed mostly via shareholder distributions, such as dividends and share buybacks, suggesting that there is space for strengthening banks' capital position.

While overall financial stability risks are contained, the uncertain global environment and potential shifts in financial conditions call for a cautious approach. According to the Bank of Spain and the IMF stress tests, the banking sector is well-positioned to withstand severe and prolonged global shocks, however, the impact varies across banks and could result in a significant contraction in credit (Bank of Spain, 2025[10]) (IMF, 2025[11]). The Bank of Spain has acted proactively by introducing a countercyclical capital buffer (CCyB) of 0.5% of risk-

weighted assets for exposures located in Spain in the fourth quarter of 2024, effective by October 2025. This will increase to 1% the following year. Given current capital levels and profitability, banks are expected to meet the buffer without reducing credit supply. Authorities should continue encouraging prudent provisioning, retention of earnings and moderate dividend policies to proactively strengthen buffers.

Figure 1.11. Risks in the financial sector remain low



Note: EU-27 excludes Bulgaria, Croatia, Cyprus, Germany, Malta, and Romania.
Source: IMF Financial Soundness Indicators Database.

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1.2.2. Integrating climate related risks into financial supervision

Extreme climate related weather events are frequent in Spain (Chapter 4), posing risks to financial stability that should be systematically assessed and integrated into routine supervisory practices. Spanish financial authorities recognize climate change as a major challenge and are committed to a low-carbon transition by aligning with NGFS guidelines and incorporating climate risks into financial oversight frameworks. They are also developing tools to better identify and monitor these risks, including stress tests. To evaluate both transition and physical risks, Spain's macroprudential authority (AMCESFI) published its first report on climate-related financial risks in 2023 (AMCESFI, 2023[12]). While the report found only moderate short-term impacts on the banking sector, risks are unevenly distributed and expected to grow with further climate disruption. In parallel, the Bank of Spain has issued clear expectations for credit institutions to embed climate and environmental risks into their strategies, governance, risk management, and disclosures—aligned with European Central Bank guidance (Bank of Spain, 2025[13]). These steps and commitments are important and welcome. Going forward, efforts should focus on continuing to monitor and assess climate risks while ensuring that climate risk oversight is gradually integrated into routine supervisory processes.

1.2.3. Private sector balance sheets are sound

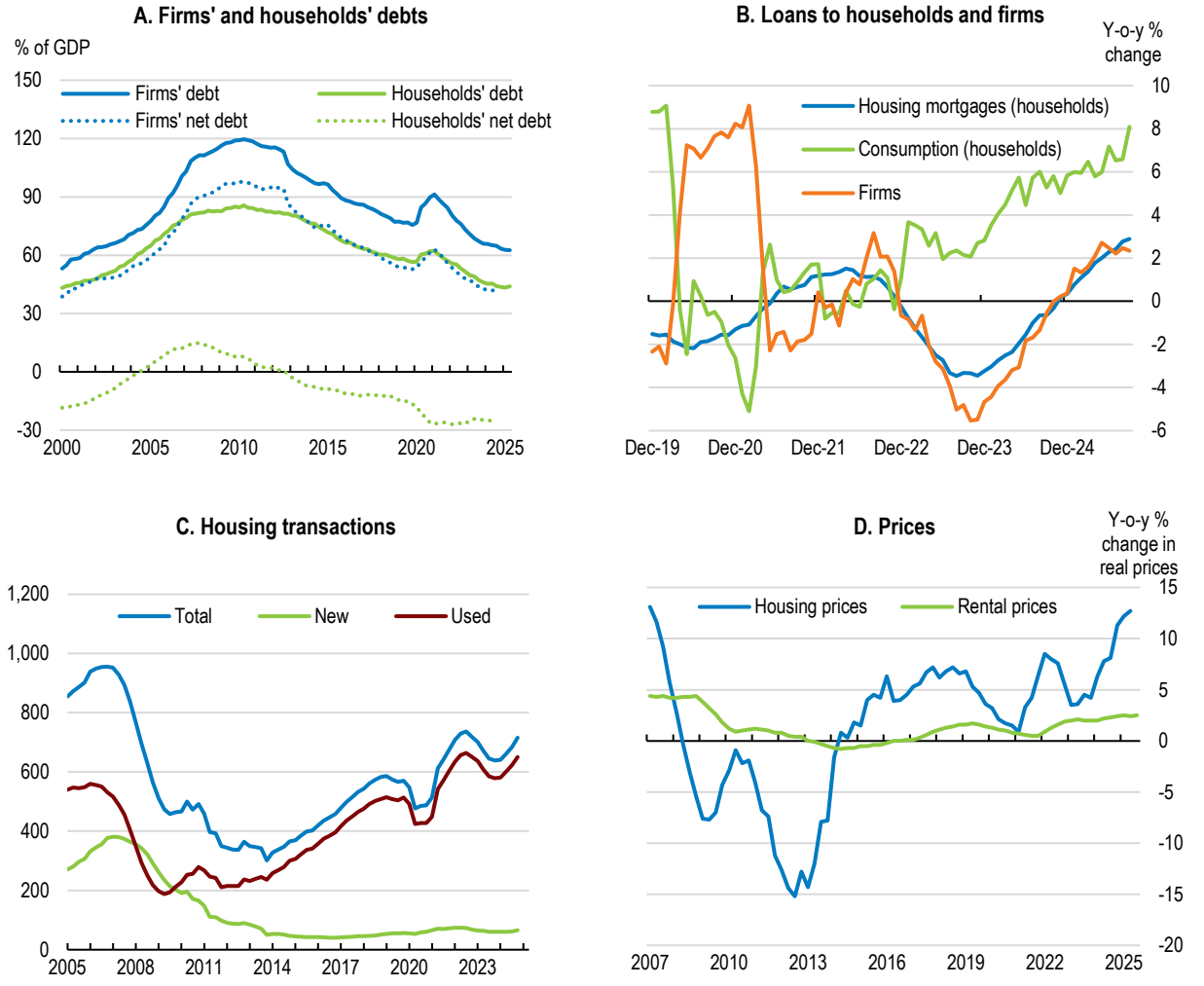
The financial health of the non-bank private sector has improved, supported by the robust performance of the economy, job creation, and deleveraging. Households have reduced their debt levels while benefiting from job creation, robust real income growth, and excess savings accumulated since the pandemic. Corporate liquidity and profitability have increased, and firms' debt repayment capacity has returned to pre-pandemic levels contributing to continued deleveraging (Figure 1.12, Panel A). By the end of 2024, lending to both households and non-financial firms had resumed moderate growth (Figure 1.12, Panel B).

Despite these positive trends, some areas warrant monitoring and surveillance. The share of private sector loans requiring special surveillance decreased in 2024, but non-performing loans in consumer credit increased by 3.9% (Bank of Spain, 2025[10]). Individual insolvency filings are growing, reflecting the new proceedings following the insolvency law enacted in September 2022, including the new special insolvency procedure for small businesses (aimed at making these procedures more attractive for such businesses), though corporate insolvencies remain low. These developments do not signal systemic risks but highlight the importance of cautious lending practices. Also, continuous evaluation of the evolution of insolvencies across agents is required, as currently done by the Bank of Spain.

1.2.4. Housing market developments require ongoing monitoring

While rapid housing price growth does not point to overheating and financial stability risks, a sustained easing of financial conditions could fuel stronger housing demand and further price pressures warranting close monitoring. The housing market has gained momentum since mid-2024. In 2024, housing transactions reached their highest level since 2007 supported by lower interest rates, strong job creation and growing population. This has led to a recovery in housing purchases and new mortgages, with house prices rising by 12.7% year-on-year growth in Q2 2025 alongside rental price increases (Figure 1.12, Panel C and D). Mortgage lending remains cautious, following strengthened prudential oversight of the housing market since the global financial crisis, which has helped contain credit risks and enhance the resilience of the financial system. Nevertheless, the high share of variable rate mortgages (about 70% of the stock), exposes households to interest rate volatility. In recent years most new mortgages have been granted at fixed rates, helping reduce risk overtime. Loan-to-income (LTI) and loan service-to-income (LSTI) ratios held relatively stable in 2024 (Bank of Spain, 2025[10]). Continued monitoring of lending standards is essential to avoid the build-up of vulnerabilities. Banks apply lending criteria, typically limiting LTV to 80% for residents and 60–70% for non-residents. Pre-emptive borrower-based measures, such as stricter loan-to-value (LTV) and debt-to-income (DTI) ratio caps for mortgages, which would be more binding in more stressed regional markets, could be considered if signs of easing lending standards emerge, as these take time to affect lending behaviour. Also, enhancing monitoring by strengthening data collection on regional price dynamics, rental markets, and non-bank lending to identify emerging risks could be helpful.

Figure 1.12. Despite declines in households' and firms' debt, the housing market requires continued surveillance



Note: Panel A: data on firms' debt refer to consolidated debt.
Source: Bank of Spain; Ministry of Housing and Urban Agenda; Eurostat.

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Table 1.3. Past OECD recommendations to improve macroeconomic policies

Past OECD recommendations	Action taken since last Survey (Sep 2023)
End the support measures that were put in place to alleviate the impact of high energy and food prices.	Most support measures were phased out throughout 2024, with public transportation subsidies expected to expire in December 2025.
Supervisory authorities should closely monitor banks and encourage prudent provisioning and adequate capital policies.	Bank of Spain activated the CCyB at 0.5% of risk-weighted assets for exposures located in Spain, effective by October 2025.

1.3. The housing market faces structural challenges

Many people struggle to access affordable housing in Spain. Sustained housing demand pressures are not being matched by an adequate increase in housing supply. Only 345 000 construction permits were issued from 2022 to 2024 well below net household creation of 604 000 (Figure 1.13, Panel A). The housing shortage, estimated by the Bank of Spain at around 600,000 units in 2022–2025 has been driven largely by migration, and rising household formation in urban and tourist areas both of which have intensified demand (Figure 1.13, Panels A and D).

The rental market is particularly strained. Rental demand has surged, notably in urban and tourist areas, while rental prices have outpaced the incomes of many lower-income households. Homeownership remains high at 75%, but the share of renters has grown significantly since 2015, especially among youth and foreign-born residents. The number of years required to save for a home has risen to over 20 years. Traditionally in Spain, social housing, has been intended for owner-occupiers and social rental housing remains limited at just 3% of the housing stock (Figure 1.13, Panel B), far below OECD and EU averages. While ownership is high, many low-income households face difficulty servicing mortgage payments. These dynamics, among other factors, have contributed to Spain having one of the highest rates of housing-related poverty risk in the euro area (Figure 1.13, Panel C).

Supply has failed to respond adequately due to three main barriers. First, there is limited availability of buildable land in high-demand areas (Bank of Spain, 2024[14]). For land to become buildable, it must go through urban planning processes, and local authorities must approve land use changes, development plans, and infrastructure provisions. Even when land is designated for development, the conversion process is slow and uncertain, involving multiple administrative layers and legal approvals. Obtaining permits can take up to two years, as developers must navigate a complex approval process involving municipal, regional, and national authorities. In some regions, land scarcity is not physical, instead, it is linked to lengthy urban planning procedures, lack of transparency and unpredictable outcomes that reduce investor appetite and raise costs (Alves et al., 2023[15]). Decentralised competencies and limited coordination between regional and local governments delay project deadlines and disincentivize investment. As of 2024, there have been no significant urban developments in recent years that have substantially increased the supply of build-ready land in large cities (Bank of Spain, 2025[16]). Second, productivity in the construction sector has fallen over the past decade. Coupled with large increases in material and labour costs and labour shortages, this has undermined viability of many projects, particularly in affordable and rental housing segments, and reduces incentives to develop in complex environments particularly for affordable segments with low expected returns. Moreover, lending standards for real estate and construction loans are tight (Figure 1.13, Panel E). Third, there are weak incentives for affordable housing supply, such as low profitability due to high land and construction costs, as well as legal and policy uncertainty due to frequent changes in housing regulations that create an unpredictable investment environment. Despite legal mandates, such as minimum social housing shares in new developments, limited public investment and weak private returns deter long-term commitments from developers, stifling supply growth, while overall gross fixed capital formation in construction remains subdued (Figure 1.13, Panel F).

Over the past few years, the Spanish government has taken a proactive approach to addressing housing challenges adopting a mix of demand and supply side policies (Box 1.2). On the supply side, the government has proposed the reform of the Law on Land and Urban Rehabilitation with the aim to streamline and accelerate urban development processes, which are currently lengthy and complex due to multilayered administrative procedures. The draft reform aims to simplify planning approvals, clarify land classification to determine what land is “developable,” and reduce bureaucratic bottlenecks, key barriers that have constrained housing supply, but is still pending. Also, the government launched programmes to promote industrialised or off-site building of houses that are expected to reduce construction times by up to 60% and lower costs, aiming to build 15,000 homes annually in the next decade intended for social or affordable rental units. It also committed to expand the stock of social and affordable housing and unveiled the Social Housing Promotion Facility Plan, aiming to build 43,000 social and affordable rental homes (Table 1.4). While these are welcome intentions, the scale appears insufficient. To reach the EU average, Spain would need roughly 1.5 million social rental units, which means building or converting over 850,000 additional units (213,000 new or converted units per year over the next 4 years). Despite these efforts, affordability pressures persist, highlighting the need for further action.

On the demand side, initiatives include the 2023 Law on the Right to Housing, which introduced rent caps in stressed areas, strengthened rental protection and expanded eligibility to rental support. While these demand side policies are well intentioned, their effectiveness is often limited without an increase in housing supply, as suggested by international experiences from the US (Susin, 2002[17]) the UK (Gibbons and Manning, 2006[18]),

and France (Fack, 2006[19]). Evidence from Barcelona's earlier rent freeze (2020) suggests that rent caps reduced rental supply with some landlords withdrawing properties or shifting to short term rentals (Monràs and García-Montalvo, 2022[20]).

A balanced long-term strategy is needed that tackles both supply constraints and demand pressures, while improving coordination across government levels, in particular between regional governments and city councils. Further increasing the supply of affordable housing remain central. Priority should be given to advancing the Land and Urban Rehabilitation Law and to streamlining and digitalising land development procedures to unlock buildable land, especially in high demand areas and to ensure predictable zoning and legal certainty to make land buildable to attract investment. Efforts to streamline procedures should be complemented by promoting a more widespread adoption of digital services to improve processing time and efficiency. Such reforms take time to show an effect on supply and may not address the needs of vulnerable households in the short term. Spain should therefore also expand investment in social housing beyond what is currently planning.

Leveraging for- profit and non-profit actors could help expand social and affordable housing more sustainably and at a lower fiscal cost. Spain lacks a tradition of limited profit housing providers, which play a crucial role in other OECD countries (Box 1.3). Setting up such schemes at scale would, however, take a long time. To broaden supply and reduce reliance on public social housing construction in the longer term, Spain could explore developing a sustainable governance model for affordable housing that ensures financial self-sufficiency, transparency, and accountability in managing resources while promoting long-term planning. In particular, Spain could pilot revolving funds, e.g., by setting up a scheme as a "proof of concept." While the design of such schemes varies, they can include a share of the revenues generated from rental income which are reinvested to finance new social rental housing, sometimes coupled with low-interest public loans rather than direct subsidies. Such schemes, have proven successful to develop affordable housing in several OECD countries, limiting reliance on public funds over the long term. Spain's new public housing agency could also play a central role in managing and expanding the affordable rental stock.

Spain has also proposed a tax on vacant homes and new taxes on property purchases by non-EU buyers to address housing pressures, particularly in tourist-heavy areas. Currently, there is an estimated 3.8 million empty properties, but these are mostly located in places where people do not want to live due to limited job prospects or because they are located far from services and amenities, with 33% of all properties in towns with less than 1000 inhabitants, and only 18% of empty homes in middle or large cities where 53% of the population lives. Moreover, while well intentioned, such measures are complex to implement. Portugal's experience with the tax on vacant homes shows that enforcement challenges and limited local capacity can weaken effectiveness. Spain can learn from Portugal's experience by clearly defining vacancy, and adopting a tax system that increases based on the duration of the vacancy and the location, allowing municipalities to define urban pressure zones and adjust tax rates accordingly to ensure measures are tailored to local housing market conditions. To strengthen enforcement and accurately identify vacant properties, utility consumption data and property registries can help.

With the stock of social housing still limited and only gradually expanding, housing allowances can play an important role in helping low- and middle-income households afford rental payments. However, Spain currently provides limited rental assistance often through regionally provided programmes, and the system remains fragmented, underfunded and poorly targeted. A more effective system would consolidate existing programmes into a national housing allowance scheme that is means tested and linked to local rents. This would ensure better targeting, improve equity and reduce distortions. Any expansion of housing allowances should be coordinated with measures to boost housing supply, as poorly targeted subsidies in a tight housing market risk driving up house prices and rents, disproportionally benefitting landlords who capture a significant share of the subsidy through increased rents (Chapelle, Arumi and Gobbi, 2023[21]).

Table 1.4. Previous recommendations on housing policies

Recommendation	Action taken since last Survey (Sep 2023)
Encourage additional rental supply in tense areas by increasing the stock of social rental housing, relaxing rent controls, and making taxation less distortive (e.g., by updating property values more regularly and reducing property transfer taxes).	The government launched a plan to promote modern off-site construction, aimed to build 15,000social housing units annually over the next decade and 43,000 social and affordable rental homes. Law on the Right to Housing (2023) introduced rent caps in stressed housing markets and a new rent index to replace CPI adjustments from 2025.
Use regular means testing to allocate rental housing and regularly assess eligibility for continued access to social rental housing.	No action taken.
Ensure that the implementation of new housing tax measures have clear eligibility criteria and include feasible monitoring mechanisms.	No action taken.

Box 1.2. Recent government initiatives to address housing affordability

Law on the Right to Housing (2023): Built on existing tenant protections by introducing rent caps in stressed housing markets, a new rent index to replace CPI adjustments from 2025, and stricter rules for large landlords (defined as owning more than 10 residential units) such as lower cap rent and higher vacant property penalties than for small landlords. The law mandates that landlords bear agency fees, extended eviction notice periods for vulnerable tenants and promoted the expansion of social and affordable housing by preventing the reclassification of subsidised housing to ensure they remain in the subsidised sector for longer and increasing land reserves for affordable housing.

Amendments to the Law on Land and Urban Rehabilitation (*Ley del Suelo y Rehabilitacion Urbana*-pending): The amendments aim to simplify and accelerate urban planning and land development procedures to make more land buildable. It also aims at strengthening legal certainty by clarifying competencies across levels of government. Third, it aims at promoting energy efficient and sustainable building practices, especially in urban renewal projects.

Social Housing Promotion Facility Plan (2024)*:* Aims to build 43,000 affordable rental homes through public-private partnerships, financed by EUR 6 billion in government loans and guarantees. The plan supports projects that expand the stock of energy-efficient, socially rented housing, including financing for land and construction, with a guaranteed scheme covering up to 50% of eligible loans to incentivize investment.

PERTE for Industrialised Housing (2025): Allocated EUR 1.3 billion over the next decade to promote off-site construction methods for social housing, targeting 15,000 new social homes per year.

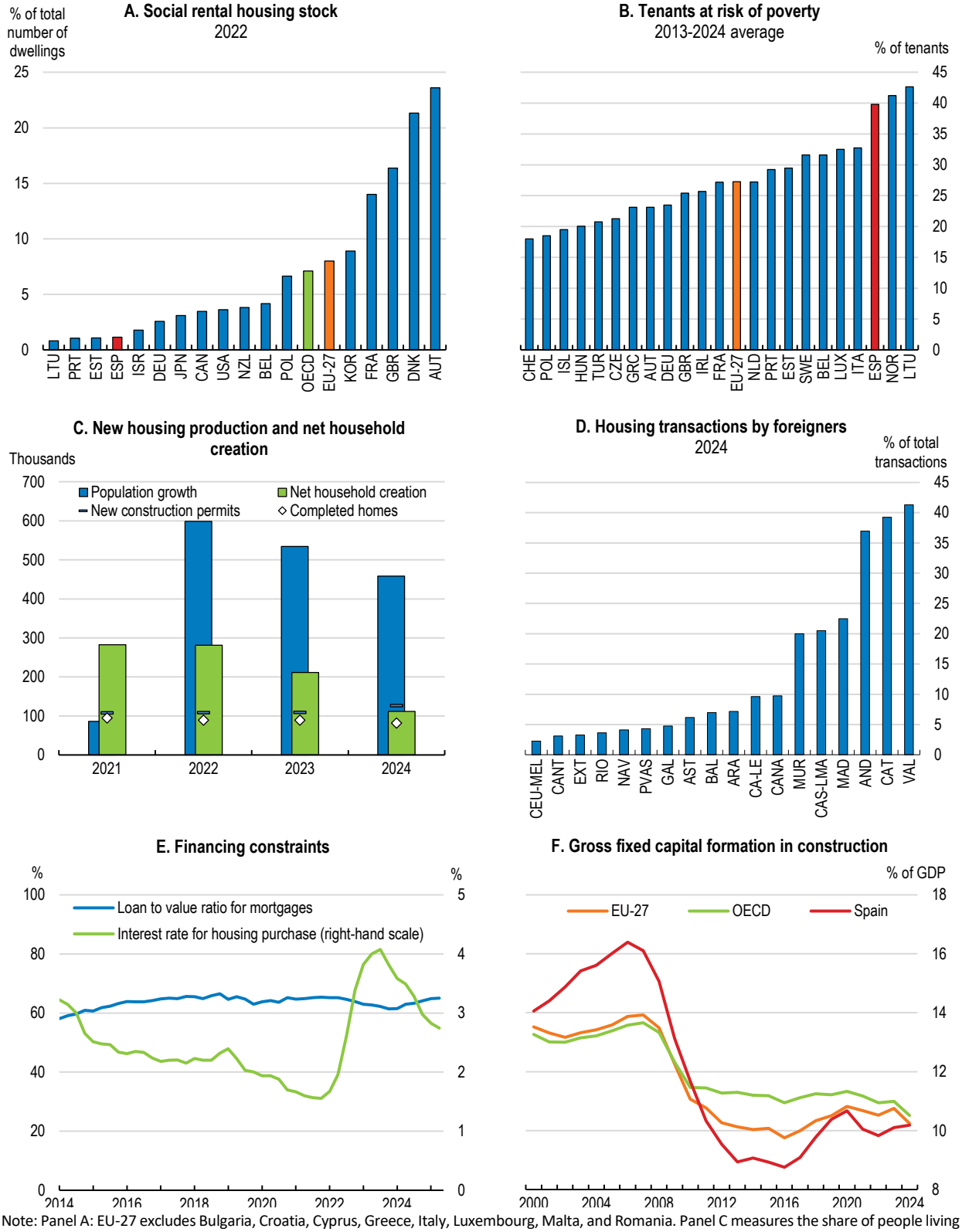
Valuation Order "*Orden de Tasadoras*": The Ministry of Economy, Trade and Business updated the property appraisal regulation to modernize valuation standards for financial purposes in June 2025. One of the main changes in the new regulation is that it shortens the timeframes for developers to access financing by allowing the use of simplified urban planning licenses, allowing construction projects to begin much earlier than before. The reform introduces sustainability criteria, enhances traceability, and integrates digital assessment methods, streamlining procedures.

Public Housing Company (2025): Establishment of a state-owned enterprise dedicated to the promotion, development, and management of housing. This company aims to increase the stock of affordable public housing and ensure it remains accessible over time. Will start managing approximately 3,300 housing units and 2 million square meters of residential land. Additionally, 13,000 housing units from the *Sociedad de Gestión de Activos Procedentes de la Reestructuración Bancaria* (SAREB) will be transferred to this new public enterprise, with the ultimate objective of reaching a total of 40,000 units.

Restriction of Short-Term Rentals (May 2025) and proposed tax measures: Ordered the removal of over 65,000 unlicensed Airbnb listings to free up housing for residents. Announced plans to tax empty homes, impose a 21% VAT on short-term tourist rentals, and tax up to a 100% tax on property purchases by non-EU buyers to deter speculation.

Source: Government of Spain.

Figure 1.13. Unresolved issues remain in the housing market



Note: Panel A: EU-27 excludes Bulgaria, Croatia, Cyprus, Greece, Italy, Luxembourg, Malta, and Romania. Panel C measures the share of people living in rented housing whose income falls below the national at-risk-of-poverty threshold.

Source: OECD Affordable Housing Statistics; Eurostat; INE; Bank of Spain, Ministry of Housing and urban agenda; OECD Economic Outlook database.

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Box 1.3. Selected experiences on the development of social housing

Countries like Austria, the Netherlands, and Denmark rely on public housing companies or regulated non-profit associations to own, develop, and manage social housing over the long term. These entities are tasked with: Maintaining affordability through regulated rents. Ensuring eligibility via means-testing and regular reviews. Reinvesting rental income into housing maintenance and new developments. In these models social housing is financed with revolving funds or earmarked revenues, such as rent revenues recycled into new construction, earmarked land value taxes or property levies, or preferential public loans. This ensures long-term financial viability without constant reliance on the general budget.

Good governance frameworks clarify responsibilities across national, regional, and local governments, and set:

- Rules for allocation and means-testing.
- Conditions for staying in public housing (e.g., income thresholds).
- Maintenance and reporting obligations.

Denmark: Denmark's social housing sector accounts for about 20% of the national housing stock and houses more than one-sixth of the population. The sector is financed through a mix of tenant contributions, municipal support, and loans, with surplus funds channelled into the National Building Fund for renovation and social initiatives. Denmark's National Building Fund operates independently from the state budget. It is funded by a share of tenants' rents and housing associations' mortgage contributions.

Austria: The social housing sector (Geförderte Wohnungen) or municipal housing (Gemeindewohnungen), are managed by different providers that follow the same cost-based rent-setting rules and eligibility criteria. Funding for construction and renovation comes from a combination of public grants, low-interest loans, and tenant contributions, with the provinces playing a key role in allocating resources and setting housing policy. The business model of housing associations is based on cost-recovery and a continuous re-investment of any surpluses into new construction or renovation. Any surpluses generated are strictly regulated.

The Netherlands: One of Europe's largest social housing sectors. Around 30% of the total housing stock is owned and managed by non-profit housing associations, which operate under a regulated framework to ensure affordability and social objectives. Access to social housing is means-tested and rents are subject to government controls. In recent years, the sector has faced challenges related to rising construction costs, land scarcity and pressure to accommodate a growing population.

Source: Social Housing: A Key Part of Past and Future Housing Policy, OECD 2020.

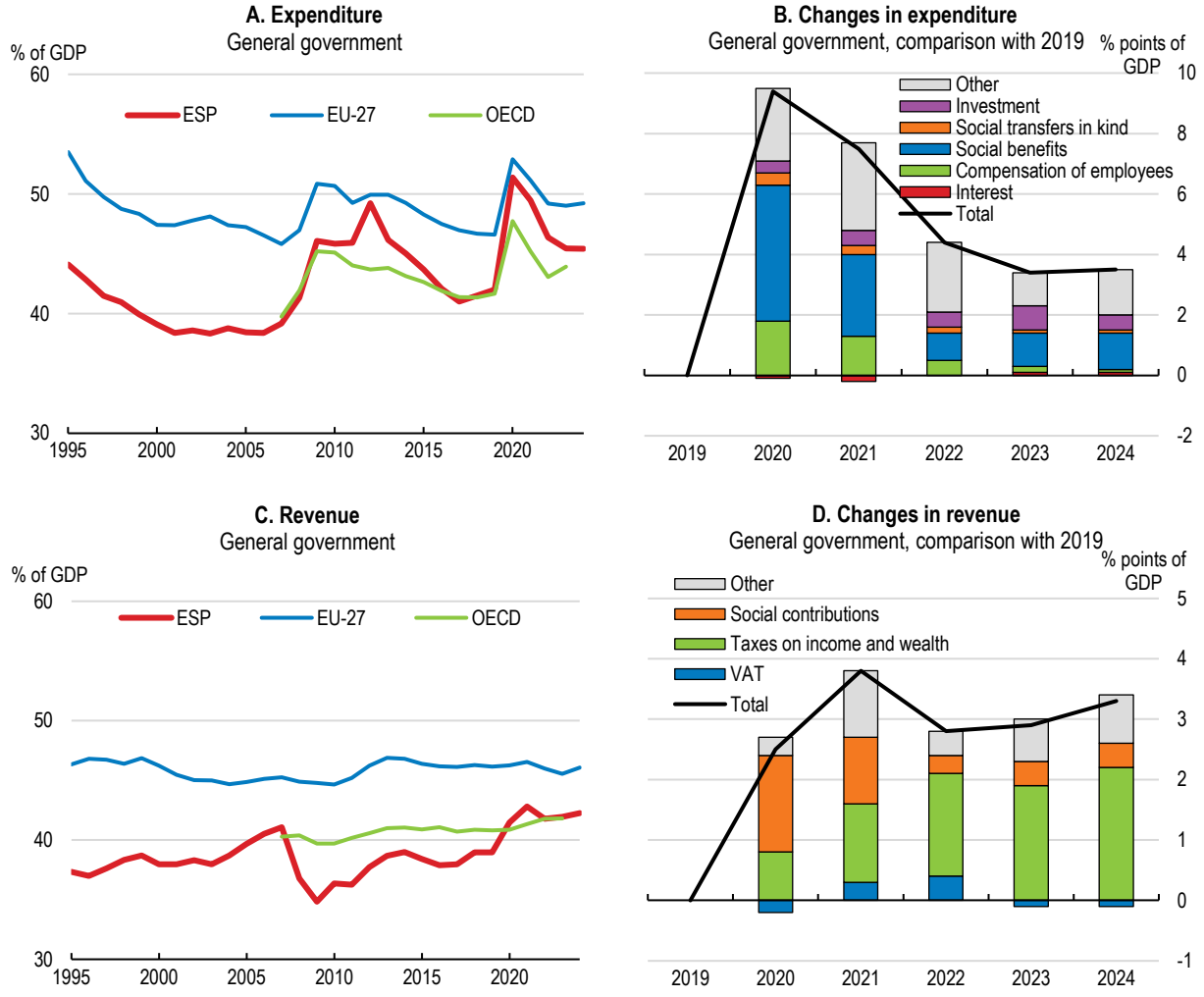
1.4. Securing fiscal sustainability

1.4.1. Public finances have improved, and a mild fiscal consolidation is expected in the coming years

Public finances have continued to improve with the fiscal deficit and public debt falling, yet the underlying structural deficit remains barely unchanged and public debt is still high. The overall fiscal deficit declined by 0.3 percentages points to 3.2% of GDP in 2024, outperforming the government's 3% deficit target when excluding the emergency response to the DANA floods (0.4% of GDP). This improvement was largely driven by the phase-out of temporary anti-inflation and energy support measures (0.4% of GDP in 2024), contained net primary expenditure (Figure 1.14, Panel A and B), and robust tax revenue growth (8.4% in 2024). Tax revenue grew on the back of employment growth and higher nominal wages, that combined with no indexation of the personal income tax brackets, led to nominal tax revenues growing faster than the income base (Figure 1.14, Panels C and D). The debt-to-GDP ratio declined to 101.8% in 2024 from 109.5% of GDP in 2022, in line with recommendations in the 2023 OECD Economic Survey of Spain, outperforming OECD and national projections.

However, it is still high compared to the average of Euro Area economies and OECD countries (Figure 1.15, Panel, A). Moreover, even though the headline fiscal deficit has narrowed, the underlying structural deficit remains largely unchanged at near 3% of GDP (Figure 1.15, Panels B and C).

Figure 1.14. Revenue has improved while spending growth has been contained



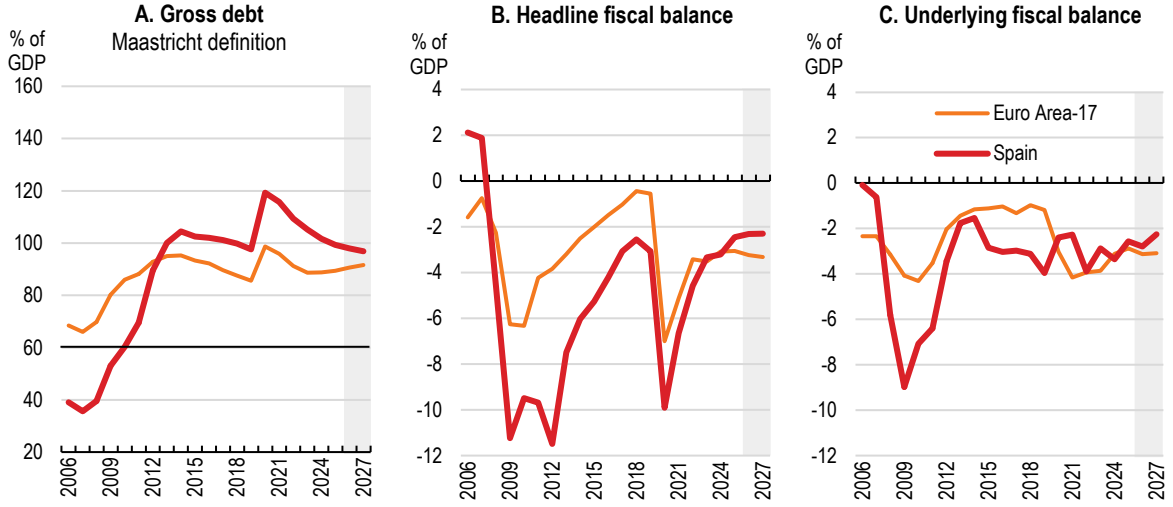
Note: OECD average excludes Colombia, Iceland, New Zealand, and Türkiye.
Source: OECD National Accounts database; European Central Bank; Eurostat; OECD Economic Outlook database.

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The government deficit is projected to decline to 2.5% of GDP in 2025 and 2.3% in 2026 and 2027, below the government's forecast published in the annual progress report in April 2025. These projections incorporate DANA-related aid measures (0.2% of GDP) and the extension of public transportation subsidies in 2025, as well as an increase in defence spending to 2% of GDP in 2025 and 2026 (additional EUR 10.5 billion). Despite these ongoing expenses, the fiscal deficit is projected to narrow due to higher revenue and a mild expenditure consolidation. Most of the government spending consolidation in 2025-27 is explained by lower spending on capital transfers and payments related to the phase-out of the remaining energy-related measures, combined with higher revenue stemming from job creation, higher salaries, and recently announced tax measures. In the absence of a full budget law, a series of tax measures were approved by Congress in December 2024 to bolster revenues including the introduction of a Global Minimum Tax of 15% for multinational firms, an increase in the top bracket on personal capital earnings, and a rise of excise taxes on tobacco and e-cigarette.

In addition, the windfall tax on financial institutions was created, aiming to last for three years while the temporary energy company and bank levies were not renewed.

Figure 1.15. Debt has receded but remains high and the fiscal deficit has been narrowing



Source: OECD Economic Outlook database.

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Even if the fiscal deficit and public-debt-to-GDP are expected to decline in 2025-27, continued consolidation remains essential to place gross public debt on a downward trend in the medium term, comply with the EU fiscal rules, accommodate rising spending pressures from defence, population ageing and the green transition in the medium term, and create space for growth-enhancing spending. Given the economy's strong growth momentum, it would be advisable to accelerate the pace of deficit reduction, as in 2024, to strengthen fiscal sustainability, while sequencing deficit reductions to lower fiscal debt, as the impact in debt reduction during the first years is usually limited. The growth momentum, the almost closed output gap, the expected support from NGEU funds and the monetary policy easing would facilitate this acceleration. This would allow Spain to faster rebuild fiscal buffers to respond effectively to future shocks or downturns, which could be helpful in a context of increased downside risks.

1.4.2. Addressing medium- and long-term fiscal risks

Spain's public debt remains elevated despite recent improvements and looking ahead long-term fiscal pressures are expected to rise due to population ageing, primarily in pension spending and, to a lesser extent, healthcare and long-term care, the costs of the green transition and stepped-up spending in defence. Debt interest payments would also add pressures. Pension spending is projected to increase from 12.9% of GDP in 2023 to 16.1% in 2050, while healthcare and long-term care spending will rise from 7.4% of GDP in 2023 to 9.4% in 2050, according to Spain's fiscal council.

The government's medium term fiscal plan (MTFSP), which was endorsed by the European Commission, outlines a path to reduce the fiscal deficit from 3.5% of GDP in 2023 to 0.8% by 2031 and bring debt from 102.5% of GDP in 2024 to 90.6% by 2031 (Figure 1.16, red line) (Government of Spain, 2024[22]). This plan entails a steady improvement in the structural fiscal balance of 0.4 percent of GDP per year on average in 2025-2031 (2.4% overall) through tax measures and improvements in spending efficiency. The proposed cap on public spending growth – averaging 3.4% in 2025-28 and 3% until 2031 – is designed to keep expenditure below revenue growth. This path would be achieved through tax measures and improvements in spending efficiency. However, the plan lacks sufficient detail on the concrete policy measures to achieve these goals which combined with limited information on the forecast in the budget beyond the current year, limits the

usefulness of the medium-term budget as a planning tool, highlighting the need to reinforce the fiscal framework going forward.

To maintain debt on a firmly declining trajectory and create room for growth enhancing spending, Spain should combine a credible medium-term strategy with gradual fiscal consolidation and policies to foster potential growth. This strategy should include enhancing the fiscal framework, addressing pension system challenges, reducing inefficient spending, improving tax revenues, and maintaining a strong economic and labour market performance.

Enhancing the fiscal framework

Spain's fiscal framework has seen improvements in recent years. Further strengthening the budgetary framework and ensuring its effective enforcement would enhance public spending efficiency and quality, helping Spain address growing expenditure pressures. The national fiscal framework is underpinned by the Spanish Constitution, the 2012 Budgetary Stability and Financial Sustainability Law, the pension expenditure rule introduced in 2023 that imposes an upper limit on pension spending, and adherence to the European fiscal framework, which provides external oversight and discipline. At the national level, this framework has been adapted to reflect Spain's administrative decentralization.

A major institutional advance was the creation of the Independent Authority for Fiscal Responsibility (AIReF) in 2013. AIReF has significantly enhanced fiscal oversight and contributed to evidence-based policymaking through spending reviews. Its broad mandate covers monitoring the budget cycle, compliance with fiscal rules, assessment of economic forecasts, and independent policy costing. Reflecting Spain's highly decentralized fiscal system, AIReF also devotes substantial resources to monitoring subnational government finances (Caldera Sánchez et al., 2024[23]).

Despite these strengths, key institutional challenges persist due to Spain's high administrative decentralization and the complexity of applying multiple fiscal rules simultaneously. Spain's fiscal system is highly decentralized: the Constitution grants autonomous communities significant spending powers and partial taxation authority. Spain's fiscal framework should be further aligned with the new EU fiscal framework to enhance credibility and support medium-term fiscal consolidation. While the new European fiscal framework allows flexibility in achieving deficit and debt targets through nationally defined expenditure paths (i.e., not disaggregated by subsectors), Spain's national fiscal rules remain based on old parameters. The national expenditure rule also differs from the European rule, both in scope and methodology. For example, it includes annual spending caps at the regional level and excludes certain expenditures—such as social security, one-off items, and temporary revenue measures—that are covered under the European rule. This mismatch creates implementation difficulties and legal uncertainty. According to Spain's fiscal council, compliance with the national spending rule would not ensure compliance with the EU rules from 2027 onwards.

To ensure consistency and credibility, the national fiscal rules should be revised to mirror the EU framework and ensure consistency and coherence among both. In particular, the yearly fiscal target of the national rule should focus on primary spending growth net of revenue measures, in line with the European rules and the medium-term fiscal plans that the government submits to the European Commission. This would also support the implementation of Spain's medium-term fiscal structural plan. Additionally, the government should publish a more detailed and transparent medium-term fiscal strategy that clearly spells out how it intends to meet its targets, including underlying policy measures and risk assessments. This would bolster transparency and confidence.

Addressing long-term ageing pressures

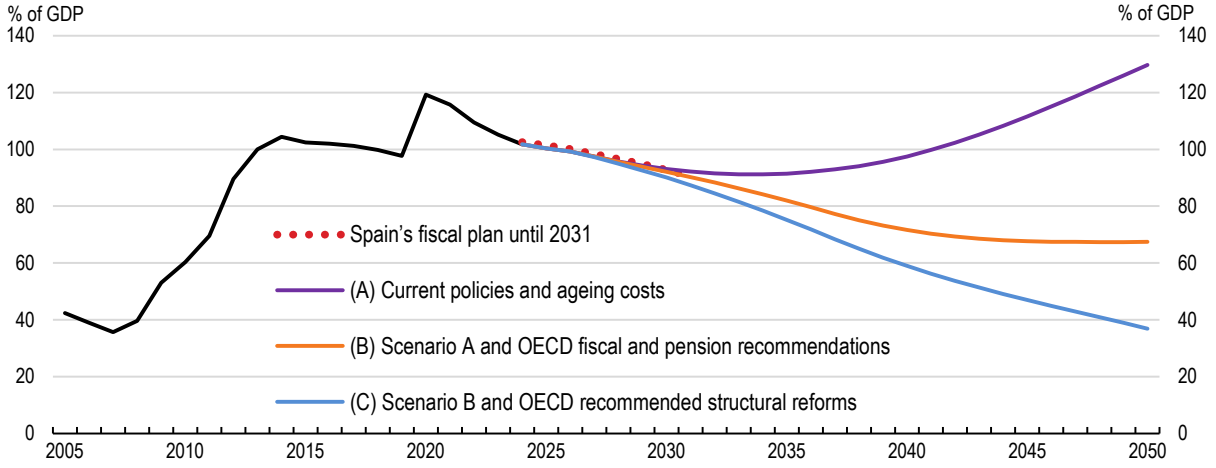
Spain, as many other OECD countries, faces growing fiscal pressures from population ageing due to rising pension in the next two decades, and to a lesser extend health and long-term care (Figure 1.17). Ageing related spending is expected to increase by 5.2 points of GDP until 2050, mainly driven by higher pensions, followed by health and long-term costs, particularly in the 2030s and 2040s (AIReF, 2025[24]). According to Spain's fiscal

council (AIReF), pension spending in Spain is projected to increase in the following two decades but remaining within the limits established by the pension expenditure rule set as part of the pension reform.

OECD estimates suggest that under current policies, the debt to GDP ratio would decline temporarily but debt would significantly increase over the medium term (Figure 1.16, purple line). The fiscal and pension reforms proposed in this Survey (Table 1.5) are policy measures that would put debt on a declining path. This includes reforming pension and unemployment benefits to ensure medium term fiscal sustainability, while lowering the tax burden on low-income workers, broadening the VAT base, and increasing environmental taxes (Figure 1.16, orange line). Combining these fiscal efforts with an ambitious package of selected structural reforms as the one recommended in Table 1.6 would place debt on a firmly downward path (Figure 1.16, blue line).

Figure 1.16. Further consolidation efforts are necessary to put debt on a downward path

Public debt Maastricht definition



Note: These are illustrative scenarios for the public debt Maastricht definition. The red line displays Spain's fiscal plan until 2031 as projected in Spain's Medium-Term Plan published in 2024 (Government of Spain, 2024[22]). Scenario A assumes real GDP growth and inflation to follow OECD projections over 2025-26 as in Table 1.2 and after that real GDP growth follows assumptions of the OECD Long-Term Model as described in Guillemette and Turner (2021). Nominal GDP growth is assumed to average at 3.7% over 2027-60. The scenario sets the primary deficit at 1.2% of GDP on average over the 2027-60 and adds the costs of ageing as described (AIReF, 2025[22]). As a result, the primary balance deteriorates by 3.1 percentage points of GDP over 2027-60. Scenario B adds to the assumptions in (A) the estimated effects of the set of fiscal and pension measures outlined in Table 1.5. The scenario reaches a primary fiscal surplus of 2.6 % of GDP by 2040. Scenario C adds to the assumptions in Scenario B, the implementation of an ambitious package of selected structural reforms as the one recommended in Table 1.6. leading to an improvement of the primary surplus of 1.7% per year on average over 2027-60.
Source: OECD calculations.

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Table 1.5. Long-term illustrative fiscal impact of the Survey recommendations

Recommendation	Medium-term fiscal impact (savings (+)/ costs (-)) (% of GDP)
Revenue side	
Revenues	
Increasing environmental revenue by equalizing diesel and gasoline excise duties and strengthening energy and vehicle taxation	+0.4
Reducing the tax wedge for lower-income households and second earners	-0.5
Reducing property transaction taxes	-0.1
Strengthening the design of the VAT, and special taxes while compensating lower income households	
Broadening the VAT base, limiting exemptions, and harmonizing rates for goods and services	+0.4
Compensate lower income households	-0.1

Increasing taxes on tobacco and alcohol	+0.1
Total revenue side	**+0.2**
Spending	
Removing age-based differences and eliminating pension contributions for recipients of unemployment assistance benefits.	+0.7
Reinstating a life expectancy adjustment mechanism	+1.0
Extending the reference period for the computation of pension rights to 35 years	+0.9
Implementing recommendations from the fiscal council's spending reviews	+0.2
Increasing the social housing stock	-0.7
Increasing direct R&D support targeted at SMEs	-0.1
Increasing spending on active labour market policies	-0.2
Additional public investment on climate change adaptation	-0.8
Additional public investment on grid infrastructure and energy storage	-0.8
Total estimated impact on spending	**+0.2**
Total estimated impact on fiscal balance	**+0.4**

Note: This exercise illustrates possible ways Spain could raise and allocate additional tax revenues in the next decade. This is not an exhaustive list of policy recommendations to be implemented, and actual revenues and spending will depend on the specific reforms adopted. They are based on the following assumptions and estimations: i) an increase in environmental taxation to reach the EU average from 1.6 % of GDP to 2% of GDP , ii) reducing the tax wedge for low income households to improve work incentives, iii) lower property transaction taxes by 0.1% of GDP to reach OECD average, iv) broadening VAT base and limiting exemptions while compensating lower-income households based on (OECD, 2023[2]); v) increasing tobacco and alcohol taxes to reach OECD revenue levels of 0.7% of GDP; vi) reforming the unemployment assistance by removing age-based differences and eliminating pension contributions for recipients, would yield savings of 0.7% of GDP assuming lower cash subsidies and SEPE's retirement contributions of 70% of current beneficiaries aged 50 or above who would not qualify for the assistance and half of them re-entering the labour market as discussed in Chapter 3; vii) reinstating a life expectancy adjustment mechanism based on (AIReF, 2025[25]) and extending the reference period to 35 years for the computation of pension rights by 2050 to ensure financial sustainability broadly based on (Devesa et al., 2021[26]), viii) implement the recommendations in the fiscal council spending reviews as estimated in (OECD, 2023[2]); ix) OECD estimates considering that Spain gets closer to the European top percentile expenditure on social housing; x) an increase in support to business R&D as a share of GDP by 0.1 percentage points; xi) an increase in active labour market spending as a share of GDP by 0.2 percentage points; xii) additional investment in adaptation based on national adaptation plans from Spain, and OECD estimations of additional public investment on grid infrastructure and energy storage (Chapter 4).

Table 1.6. Ambitious structural reforms would lift GDP growth significantly

Illustrative estimated impact of selected reforms on GDP by 2040 relative to the baseline

Reform	Impact on GDP
Scenario 1: Closing the employment gap for workers 55 and older	3.3
Scenario 2: Implementing anti-corruption measures and improving governance	0.1
Scenario 3: Reducing administrative burden for SMEs	0.5
Scenario 4: Increasing R&D spending	0.3
Scenario 5: Lowering the tax wedge through targeted cuts for low-income earners	1.0
Scenario 6: Strengthening active labour market policies	0.6
Total	**5.8**
Implied average annual growth increase of implementing the ambitious reform package:	**0.4**

Note: Simulations based on the OECD long-term growth model (Guillemette and Château, 2023). Potential output estimation is based on a Cobb-Douglas production function with constant returns to scale based on the OECD long-term growth model. Scenario 1 assumes closing employment rate gaps of people 55 years and older with OECD averages by 2050 assuming that work incentives are enhanced and active job search requirements and tailored training to older workers are improved. Scenario 2 assumes an improvement in anti-corruption measures and governance indicators which corresponds to a gradual increase of the Rule of Law indicator from the World Bank "Worldwide Governance Indicators" from 0.7 to 1.4 (the OECD median) by 2050. Scenario 3 assumes the OECD PMR indicator reduction of 0.08 by 2030 through better administrative requirements for limited liability companies and personally owned enterprises and communication and simplification of administrative and regulatory burden to reach the top 5 in each category. Scenario 4 assumes that R&D expenditure reaches 2% of GDP by 2030. Scenario 5 assumes a reduction of 2 pp of the tax wedge by 2030, and Scenario 6 assumes increasing ALMP by 5 percentage points of GDP per capita per unemployed by 2030.
Source: Simulations using the OECD long-term model (Guillemette and Château, 2023).

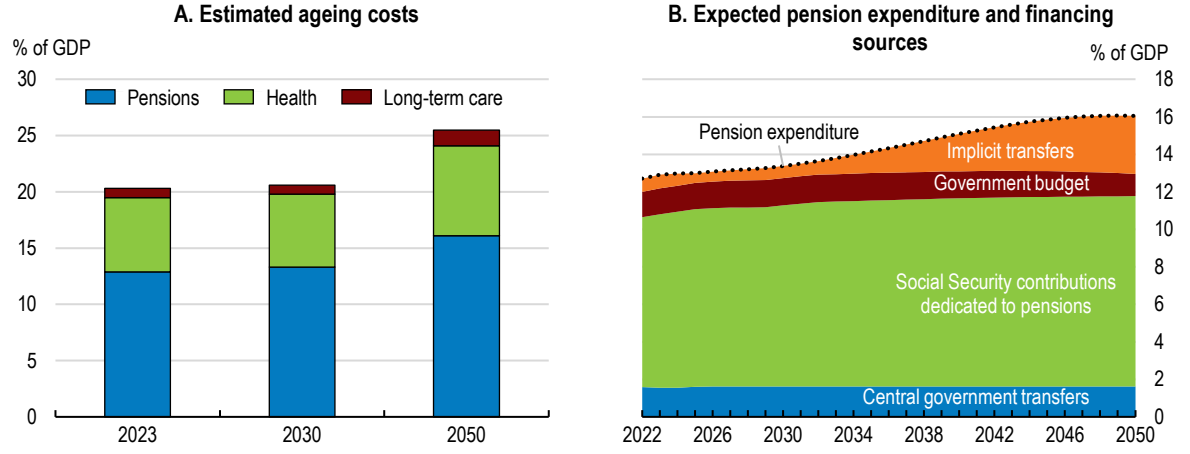
Ensuring the long-term sustainability of pensions

The pension system in Spain will provide high future net replacement rates at average earnings at 86.3% for men compared to 63.2% on average for OECD countries based on measures legislated by 2025 according to estimates by the OECD (OECD, 2025[27]). This has helped to keep old-age poverty close to OECD averages, at around 13.1%. However, under the current scheme, the system's long-term sustainability is at risk due to

growing demographic pressures, particularly in the following two decades (Figure 1.17, Panel A), increasing pension-related expenditures compounded by lower expected tax revenue as population ages. Despite recent reforms to Spain's pension system —including increases in social security contributions, increases in the legal retirement age, the introduction of mechanisms like the Intergenerational Equity Mechanism (IEM) and the reform of the special scheme for self-employed workers (who will fully transition to the general regime based on actual incomes by 2032) —a sizable funding gap persists. The pension system's financial sustainability is to be examined by the fiscal council every three years, following the 2021-2023 reforms by agreement with the European Commission. While AIReF's first review in March 2025 did not trigger the system's safeguard clause, introduced in the 2023 reform to help regularly monitor the pension system's sustainability, the agency's independent opinion highlighted a widening gap between pension expenditures and social security contributions over the coming decades, partly because of the 2021-2023 reforms. Additionally, in July 2025, a new examination by the fiscal council has been requested bringing it forward to before June 1, 2026, instead of 2028—to incorporate the latest macroeconomic data and GDP revisions, and to exclude government transfers from the pension sustainability estimates.

Despite high rates of contributions, the gap between pension spending and social security contributions will widen in the coming two decades without further reforms (AIReF, 2025[24]) (IMF, 2025[11]). Spain now covers 70% of annual pension outlays with contribution revenues; the remainder is largely met by transfers from the Treasury, which surged from EU 15.6 billion in 2019 to EUR 41.6 billion in 2024 (about 3% of GDP). AIReF projects, under current rules, an average pension expenditure of 14.5% of GDP for the period 2023-2050 and in its first assessment of the pension expenditure rule introduced in 2023 it confirmed that no further measures are required to be adopted. However, pension spending will still raise by 3.2 percentage points of GDP between 2023-2050, reaching 16.1% of GDP in 2050. This will create a growing stock of implicit liabilities that are not provisioned for today (Figure 1.17, Panel B). Additionally, since pensions are now fully indexed to inflation and there is no automatic adjustment for people living longer, the system gets more expensive over time. By eliminating the "sustainability" factor, which linked benefits to life expectancy in 2021 and by uprating pension benefits to consumer price inflation the system has postponed fiscal adjustment while amplifying its eventual scale.

Figure 1.17. Ageing costs will increase with pension expenditure growing faster than social security contributions



Note: Implicit transfers refer to those additional financial resources needed from the central government—or other Social Security funds—to cover pension spending beyond what contributions and explicit budget transfers can cover.
Source: (AIReF, 2025[24]).

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To strengthen the long-term sustainability of the pension system, reforms will be needed, that prioritize employment friendly measures. Rather than imposing additional increases in social security contributions that could further raise the labour tax wedge, with potentially adverse effects on employment, Spain must expand

efforts to further support longer working lives. The government could consider introducing a life expectancy adjustment mechanism, either linking the statutory retirement age to life expectancy at retirement, or adjusting pensions based on life expectancy, as the eliminated "sustainability factor" did, or through another mechanism. Re-activating the pension revaluation index and the sustainability factor would therefore mean smaller annual rises for all pensions and a one-off downward adjustment for future entrants. Based on recent estimates (AIReF, 2025[25]), the revaluation of pensions with the CPI from 2022 implies an increase in expenditure of 2.7 points of GDP by 2050, while the elimination of the sustainability factor would imply an increase in expenditure of 1 point of GDP by 2050.

By fully implementing the gradual extension of the contributory period to the best 29 years, as legislated during the 2023 reform, Spain moves closer to OECD best practice, but the reference period for the computation of pension rights may need to be further extended, for instance to 35 years, to ensure financial sustainability, as discussed in the 2023 Economic Survey of Spain (OECD, 2023[2]). Chapter 3 outlines labour market reforms that can support later retirement by improving incentives, skills and working conditions for older adults. Without further reforms and if pension deficits continue to be met by general revenues, maintaining pension benefits will come at the expense of other priorities, crowding out other priority spending.

The current safeguard clause designed to ensure that future pension adjustments automatically trigger corrective measures—such as revenue increases or spending cuts—if the system's financial sustainability deviates from its projected path, is useful to regularly monitor the pension system and trigger a public debate. However, it has important limitations, as warned by the fiscal council and other international organisations (AIReF, 2025[24]) (IMF, 2025[11]). It is based on static assumptions, covers a fixed period (2022-2050), and is highly sensitive to long term projections. AIReF notes that meeting the clause's thresholds doesn't guarantee sustainability, as pension costs continue to rise. All these limitations highlight the need to amend the rule to ensure it has a forward-looking valuation of fiscal pressures from pension spending, absent additional measures to strengthen the pension system. Computing it considering a rolling window rather than a fixed period from 2022-2050 and focusing on the future evolution of the gap between expenditures and revenues, rather than exceeding the established threshold of 13.3% of GDP —which is the upper limit for public pension spending relative to the country's economic output— can be useful.

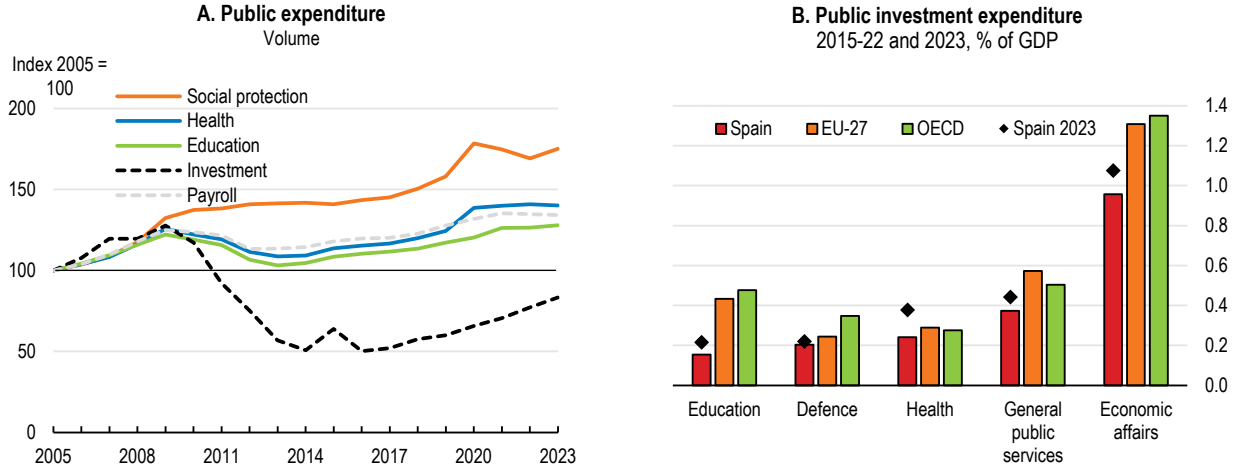
Improving spending prioritization

Public spending stood at 45.4% of GDP, which is in line with OECD average of 44.7% in 2023. However, the composition of expenditure remains heavily skewed toward current transfers (Figure 1.18, Panel A), particularly pensions and unemployment compensation. Public investment in Spain declined significantly due to the fiscal austerity policies implemented during the global financial crisis. Although it has gradually recovered in recent years—partly due to the disbursement of European funds—investment in education, public services, and economic affairs remains comparatively lower than the OECD and EU average (Figure 1.18, Panel B), underscoring the need to create space for growth-enhancing spending.

Raising further spending efficiency is essential to support fiscal sustainability while enabling higher investment in growth enhancing areas. Spending reviews can play a helpful role in identifying areas where resources can be allocated more effectively. Since 2017, Spain has institutionalised spending reviews under the independent fiscal council (AIReF), and governance has improved with the creation of a dedicated unit in the Ministry of Finance to track the implementation of spending reviews recommendations. Recent reports suggest a growing uptake of AIReF's recommendations with the implementation of 217 of the 357 recommendations made from 2022 to 2025, with 58 of them still in progress and 82 rejected. However, reviews have limited scope in reducing mandatory spending and even if the Ministry of Finance is legally required to publicly disclose any justification for not acting on an assessment issued by the fiscal council, there is no legal obligation to follow through on their recommendations.

True gains in spending efficiency and ultimately on fiscal sustainability will depend on broader reforms. The government has committed to reducing permanent expenditure by at least 0.1% of GDP per year by 2028 based on spending reviews, which is modest. This is welcome, yet other options, as outlined in the 2023 OECD Economic Survey could be considered, such as better targeting of social programmes, and enhancing the cost-efficiency of active labour market policies (OECD, 2023[2]). Without addressing the underlying drivers of spending, especially persistently high unemployment and growing pension costs, this target will be difficult to meet. Efforts to reinforce policy evaluation are welcome and could help prioritise effective programmes. But more decisive action is needed to rebalance the budget towards growth enhancing spending.

Figure 1.18. Government spending is increasingly titled towards social spending



Note: Panel A: Expenditures are deflated by the GDP deflator. Education, health and social expenditures protection are defined according to the COFOG classification. Panel B: Average gross fixed investment as a percentage of GDP over 2015-22. Economic affairs cover transport, communication, fuel and energy and other industries.
Source: OECD National accounts database.

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Rebalancing the tax mix towards less distortionary taxes

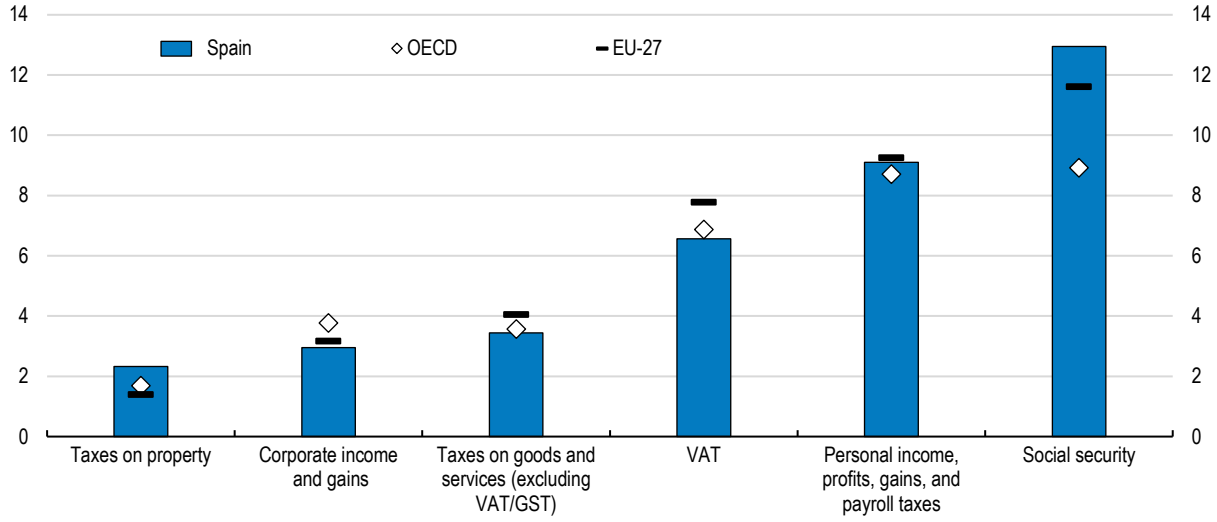
Spain's tax system faces several deficiencies that hinder productivity and revenue performance. Spain's tax-to-GDP ratio at 37.3% of GDP in 2023 is higher than the OECD average of 33.9% and lower than the EU at 39%. However, it places a high burden on labour taxes, particularly social security contributions, yet below that of other countries such as France (43.8%), Italy (42.8%) and Germany (38.1%), discouraging employment and job creation while consumption taxes remain low. Property taxes represent 2.3% of GDP, slightly higher than the 1.7% on average across OECD countries (Figure 1.19). Revenue gains in 2024 were largely cyclical and recent tax changes — such as the introduction of the global minimum tax, a revised bank windfall tax, the reform to tax e-cigarette liquids and other tobacco-related taxes and minor green tax adjustments— provide limited long term yield, estimated at 0.3% of GDP in 2025, and below 0.2% of GDP in 2026 and 2027 (Bank of Spain, 2024[28]). Permanent tax measures adopted in the period 2021-2023 had already contributed to collect extra revenues amounting to 0.4% of GDP. However, a broader reform is needed that rebalance the tax mix towards less distortionary taxes, in line with the recommendations from the OECD's 2023 Economic Survey of Spain and the 2022 Experts White Book.

First, the value-added tax (VAT) system remains fragmented, with extensive reduced rates and exemptions that undermine both revenue collection and neutrality (Figure 1.20, Panels A and B). Harmonising VAT rates —especially for non-essential items like restaurants and hotels and particularly alcoholic beverages sold in these establishments— and reducing exemptions could yield higher revenue, getting closer to the OECD average. These changes could be paired with targeted transfers to low-income households to ensure fairness and mitigate distributional effects.

Second, even if personal income taxation is progressive, it could be improved to enhance work incentives and support equity. High marginal effective tax rates, particularly for lower-income families with children reduce employment incentives (Andrew, Evans and Tran-Nam, 2020[29]; Maag, Steuerle and Chakravar, 2012[30]). Spain's tax wedge—the gap between total labour cost and take-home pay—at 40.6% for single workers in 2024 is above the OECD average of 34.9% and slightly below the EU average of 41.7%. However, for the average married worker with two children it is higher at 39.5%, compared to the OECD and EU averages of 31.8% and 37.6%, respectively (Figure 1.20, Panel C). Reducing the labour tax wedge for low-income earners by lowering social security contributions in this group, while gradually phasing out benefits to strengthen work incentives without penalising earning gains is advisable. Transfer taxes in Spain are among the highest rates in the OECD. Reducing this tax would help to increase residential mobility, as recommended in the 2023 Economic Survey of Spain, but should be done gradually.

Figure 1.19. Consumption taxes are low while the burden on labour taxes is high

Distribution of total tax revenue, % of GDP, 2023



Note: EU-27 excludes Bulgaria, Croatia, Cyprus, Malta, and Romania.
Source: OECD, Global Revenue Statistics database.

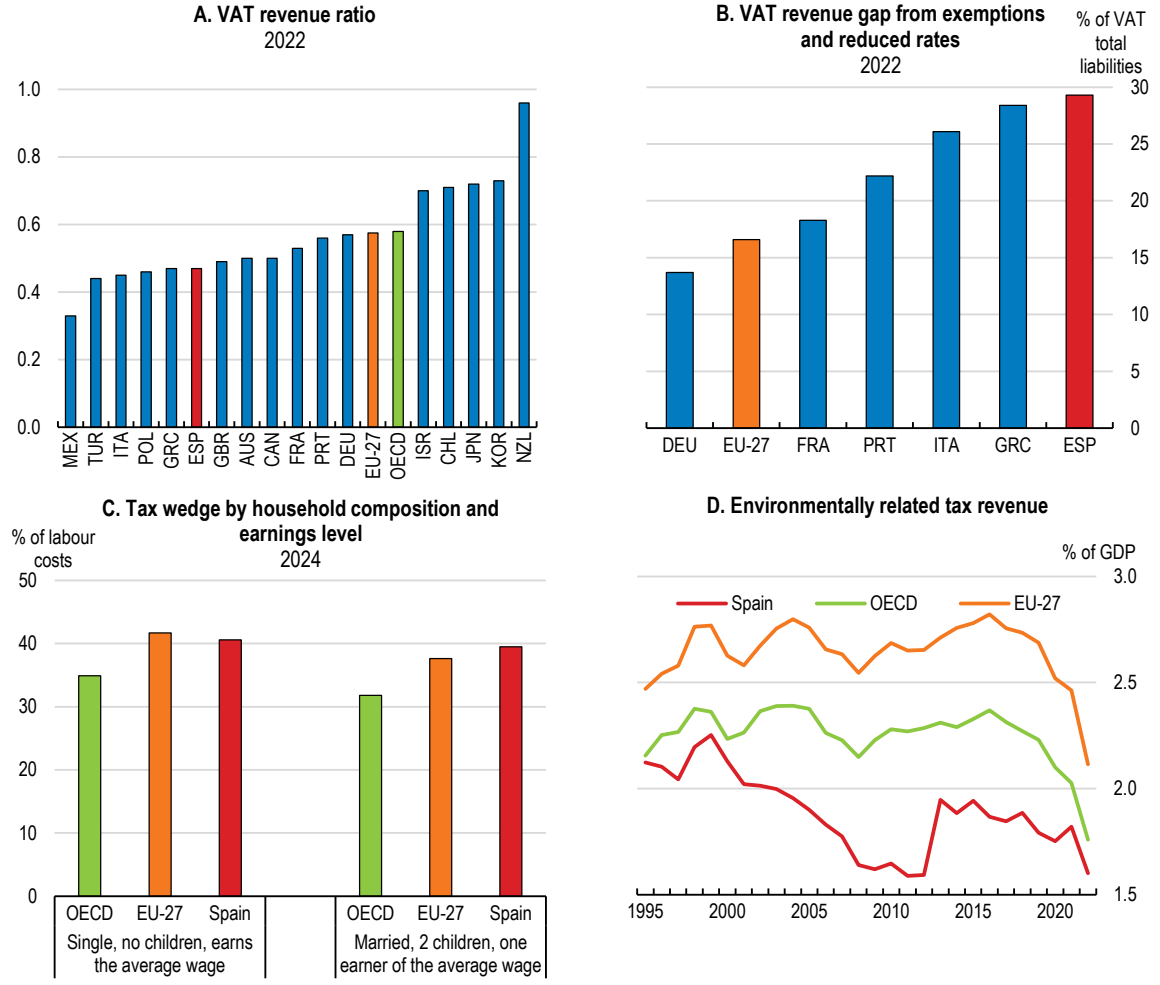
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Third, there is scope to increase environmental taxation. Despite a wide array of energy-related levies, overall environmental tax revenue remains low and fragmented, and Spain lags other EU countries (Figure 1.20, Panel D). However, further efforts are needed to meet environmental targets and to raise tax revenue. Equalizing diesel and gasoline excise duties, strengthening energy and vehicle taxation, and improving coordination across levels of government could raise around 0.7% of GDP and support decarbonisation goals (IMF, 2024[31]) (Chapter 4). This should be accompanied by measures to protect vulnerable groups, such as targeted subsidies or lump-sum transfers. The Spanish government has recently announced an extension of several tax incentives aimed at promoting environmental sustainability and reducing carbon emissions. For instance, benefits for individuals and businesses purchasing plug-in electric vehicles, as well as those installing electric vehicle charging stations were extended in 2025.

Fourth, taxes to discourage unhealthy behaviours could be used more intensively. About one third (31%) of all deaths in Spain in 2019 were attributed to behavioural risk factors, similar as other OECD countries, including tobacco smoking, dietary risks, alcohol consumption and low physical activity (OECD, 2023[32]). In a welcome reform, a tax on e-cigarette liquids and other tobacco-related products was introduced to align the tax treatment of tobacco and e-cigarettes and combat the rise in their use, primarily among young people. These are welcome steps, but further measures might be needed to combat tobacco consumption among young people. Alcohol consumption has increased since 2010, while taxes on distilled spirits, beer and wine which remain among the lowest in the European Union and could increase (OECD, 2023[2]).

Improving tax compliance also remains critical. Spain has made progress, notably through expanded e-invoicing and digital payments. Plans to roll out a national invoicing platform by 2027 are welcome and should proceed swiftly to support SME compliance and reduce VAT gaps (Figure 1.20, Panel A).

Figure 1.20. VAT revenue is low while tax wedge for low-income households with children remains high



Note: Panel A: the VAT revenue ratio compares the actual VAT revenues collected to the theoretical maximum that could be raised if the standard rate were applied uniformly to all consumption and full compliance. Panel C: the tax wedge refers to the income tax plus employee and employer contributions less cash benefits. Panels A and C: EU-27 excludes Bulgaria, Croatia, Cyprus, Malta, and Romania.
Source: OECD (2024), Consumption Tax Trends; OECD (2025), Taxing wages.

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Table 1.7. Previous OECD recommendations on fiscal policies

Recommendation in previous Survey	Action taken since last Survey (Sep 2023)
Adopt a medium-term fiscal plan, step up the pace of deficit reduction from 2024, and ensure all extra spending is fully financed over the medium term.	The government presented a medium-term fiscal plan that projects a fiscal consolidation of around 0.4 points per year over 2025-2031, but it lacks details.
Based on spending reviews and sound cost-benefit analysis, set longer-term spending priorities more geared to growth-enhancing items, notably skill-building measures such as education.	The government has committed to reducing yearly expenditure by 2028 by at least 0.1 % of GDP on a permanent basis following spending reviews recommendations.
Link the retirement age to life expectancy at the age of retirement. If this, together with the latest reforms, does not ensure sustainability of the system, modify the pension accrual factors and extend the reference period to compute pensions to at least 40 years.	The legal retirement age will reach 67 in 2027 for those with shorter contribution histories. National estimates of the effective retirement age up until May 2025 is 65.2.
Mobilise additional tax revenues by gradually broadening the value added tax base, imposing higher excise duties on alcohol and tobacco	A tax on e-cigarette liquids and other tobacco-related products was introduced to align the tax treatment of tobacco and e-cigarettes.

and raising environment-related taxes, while reducing some capital taxes and the tax burden on labour for low-income households with children.	Environmental taxes have not changed.
Reduce tax avoidance and enhance tax collection by continuing to promote the use of electronic invoicing.	Efforts to improve electronic invoicing have continued and a new and revamped system will be released by 2027.

1.5. Addressing corruption and public procurement challenges

Despite legal reforms, public perceptions of corruption in Spain remain high and have deteriorated over time, with a steady decline since 2013 (Figure 1.21, Panel A, B and C). This persists despite reforms to strengthen its legal framework to fight corruption over the past decade and notably in 2023 with the adoption of Law No.2/2023 on whistle-blower protection. While Spain performs relatively well in some areas, such as corruption risk management and audit, conflict of interest, political finance, and is a top performer in transparency of public information (Figure 1.21, Panel D), significant gaps remain.

Notably, until recently, Spain lacked a strategic approach to anti-corruption and integrity and was one of the few OECD countries without coverage for public integrity risks in its strategic framework (OECD, 2025[33]). This absence has been the subject of public debate. On 9 July 2025, the Spanish Government announced a new 15-point "State Plan for the Fight against Corruption" (*Plan Estatal de Lucha contra la Corrupción*), based on recommendations from the OECD and other institutions. The plan includes reforms such as the creation of an independent integrity agency, the enactment of a new law on transparency and integrity in lobbying—directly addressing regulatory gaps identified by the OECD—, and the deployment of artificial intelligence tools to strengthen risk detection in public procurement. If adopted and effectively implemented, these measures could contribute to addressing several of the integrity challenges identified throughout this chapter.

Spain lacks an enforceable regulatory framework that clearly defines lobbyists and lobbying activities, as well as a supervisory body overseeing lobbying transparency. Furthermore, there is no lobbying register that discloses relevant information about lobbyists (Figure 1.21, Panel D). While the planned lobbying law and register are welcome (OECD, 2024[34]), progress has been slow so far.

Public procurement remains a major vulnerability. The share of direct contract and single bidding is high and has increased from 17.7% in 2011 to 45.1% in 2021. Furthermore, the number of calls for bids remains low, infrequent and, when they do take place, are slow (Figure 1.22). While the proportion of corruption related complaints in procurement has declined from 11% to 7.2% in 2021, several corruption allegations have emerged in recent years. Priorities should include full implementation of the National Public Procurement Strategy 2023-2026, enhanced use of e-procurement, and the creation of a unified open data platform to enable better monitoring and accountability.

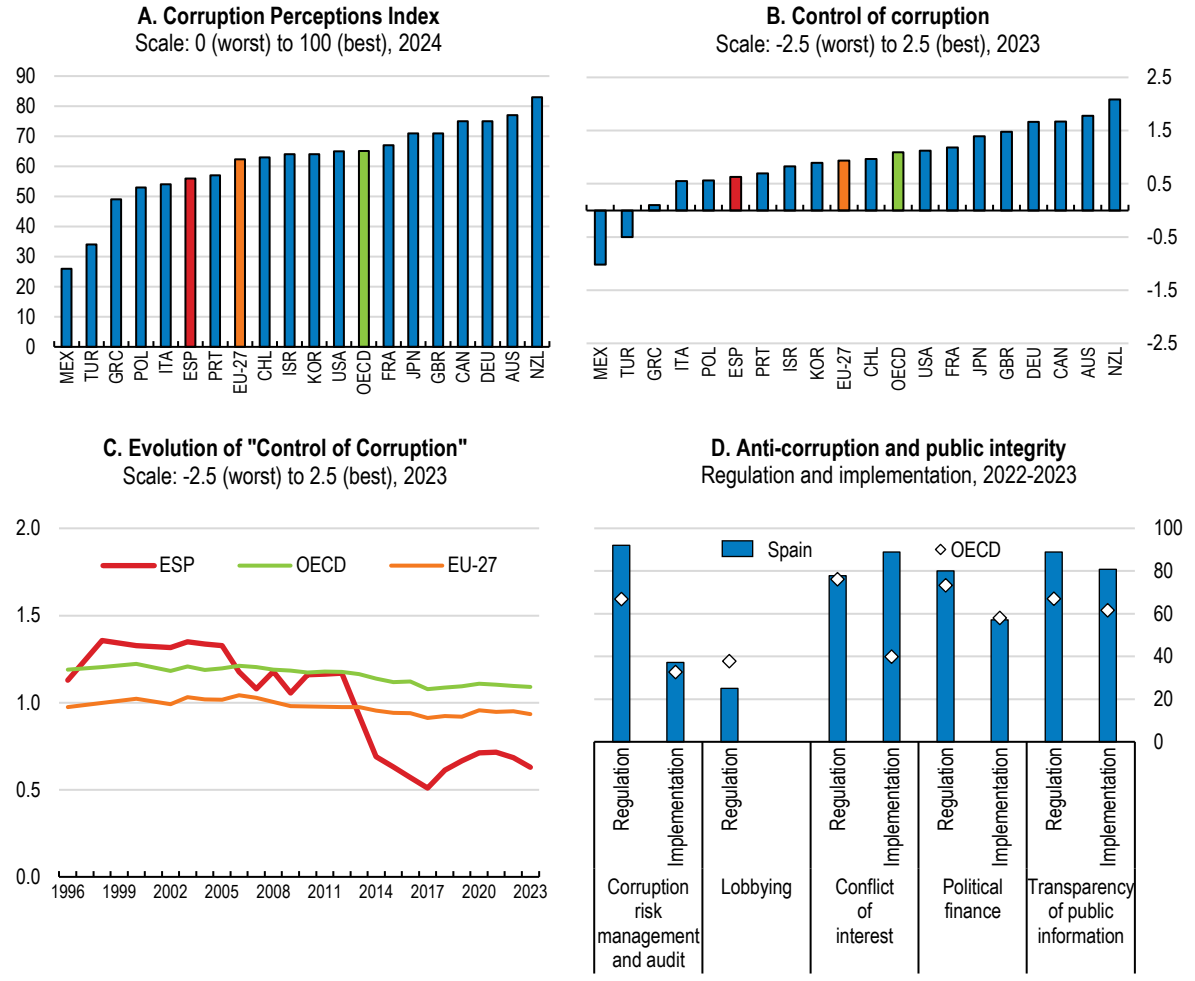
Oversight of EU recovery funds can be strengthened. Spain's anti-fraud plan under the RTRP includes risk assessments, fraud indicators and mandatory internal controls in administrations receiving funds. However, Spain´s audit and control system could be further strengthened by including some additional elements such as the appointment of a dedicated compliance officer, and the establishment of secure and independent reporting channels. Strengthening this system is essential to safeguard the integrity of public investment and protect against fraud and misuse.

Spain must also improve enforcement of foreign bribery offenses. While legislative progress has been made, including the law to protect whistleblowers in 2023, enforcement remains low relative to Spain's international footprint. The OECD Anti-Bribery Convention has called on measures to lower the evidentiary threshold for investigations and to improve prosecutorial capacity (OECD Working Groups on Bribery, 2025[35]). Raising awareness and strengthening compliance in the private sector, especially among SMEs, is critical for closing implementation gaps.

Table 1.8. Previous OECD recommendations to reduce corruption

Recommendation in previous Survey	Action taken since last Survey (Sep 2023)
Continue efforts to reduce corruption in the public sector.	Legislation to regulate lobbyists and the creation of a lobbying register is under discussion.
Continue to implement the OECD Anti-Bribery Convention.	Several measures are now in place to diversify sources for detecting foreign bribery and the law to protect whistleblowers has been enacted in 2023.
Create a single repository of procurement-related data.	No action taken.

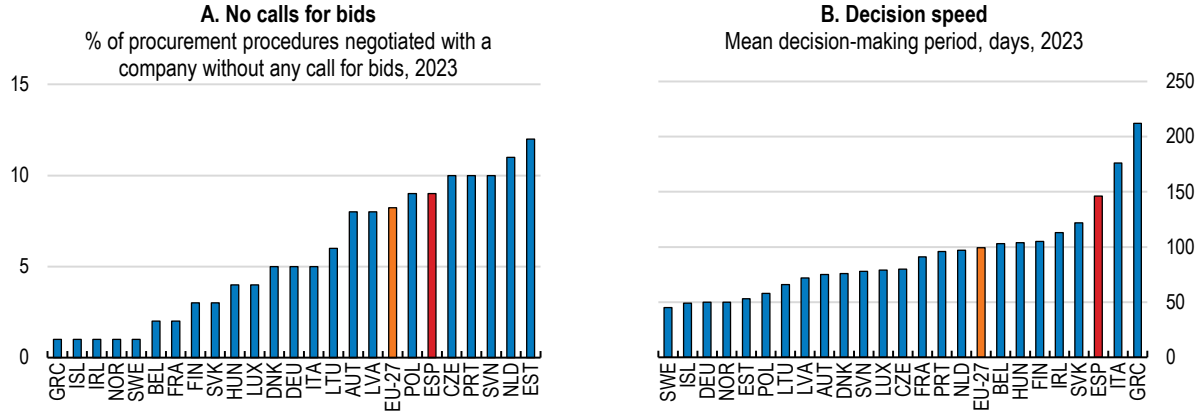
Figure 1.21. Corruption is still perceived as a challenge in Spain



Source: Panel A: Transparency International; Panels B & C: World Bank, Worldwide Governance Indicators; Panel D: OECD Anti-Corruption and Integrity Outlook 2024.

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Figure 1.22. Public procurement could be better handled



Note: Decision speed refers to the number of days between the deadline for receiving offers and the date the contract is awarded. The European Commission indicates that these indicators "are affected by country-specific factors" and "should be interpreted carefully, ideally in the light of additional quantitative and qualitative information".
Source: European Commission.

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Table 1.9. Policy recommendations to buttress macroeconomic policies

MAIN FINDINGS	CHAPTER 1 RECOMMENDATIONS (Key recommendations in bold)
Improving macroeconomic policy and ensuring fiscal sustainability	
The fiscal deficit and public debt have fallen, yet the underlying structural deficit remains barely unchanged and public debt is still high. There is a strong growth momentum, an almost closed output gap, support from NGEU grants and monetary policy easing. Risks are titled to the downside.	**Accelerate the pace of deficit reduction to faster rebuild fiscal buffers to respond effectively to future shocks or downturns.**
Spain has committed to reduce the fiscal deficit to 0.8% by 2031 and bring debt to 90.6% by 2031. However, there are currently no detailed plans on how to achieve these targets. Moreover, there are rising long term aging expenditures.	**Provide more detail on the medium-term fiscal strategy to reduce further public debt while strengthening tax revenues, enhancing spending efficiency, containing ageing-related expenditures and prioritising growth enhancing investment.**
Public spending is tilted towards social spending, mostly pensions and unemployment benefits, limiting resources allocated to growth-enhancing items including investment.	Based on spending reviews and sound cost-benefit analysis, set longer-term spending priorities more geared to growth-enhancing items, notably investment, and R&D expenditure, while better targeting social programmes, and enhancing the cost-efficiency of active labour market policies.
Ageing will increase pension, health care and long-term care expenditures. Despite recent pension reforms, pension expenditure will raise creating a growing stock of implicit liabilities that are not provisioned for today. Pensions indexation to inflation and the lack of automatic adjustment for increasing life expectancy escalate system costs.	**Consider establishing a life expectancy adjustment, extending the reference period for the computation of pension rights or similar mechanisms to ensure the financial sustainability of the pension system.**
National fiscal rules are still based on outdated parameters that do not align with the new EU fiscal framework, creating implementation difficulties and legal.	Align Spain's fiscal framework with the new EU fiscal framework to ensure consistency and coherence among both.
Tax revenues are low by EU standards, and there is scope to improve the design of the tax system: the value added tax base is narrow; marginal personal income tax rates climb quickly already at modest levels of income, discouraging labour supply; and the tax system is not well geared to achieving environmental goals.	Gradually broaden the value added tax base by lowering exemptions and harmonizing rates and increase excise duties on alcohol. Raise environment-related taxes by equalizing diesel and gasoline excise duties and strengthening energy and vehicle taxation. Reduce the tax burden on labour for low-income households.
Since 2018, the minimum wage has grown by 60.9% in nominal terms and 30.2% in real terms, outstripping inflation and productivity growth while helping to protect low-income workers purchasing power. The Minimum Wage Commission analysis guides annual SMI increases.	Ensure that future changes to the minimum wage are in line with changing labour market conditions and productivity while strengthening the independence and the technical capacity of the Minimum Wage Commission.
The Spanish government is implementing several initiatives to improve active labour market policies and the public employment service system. Despite labour market strength and recent reforms, Spain's unemployment rate remains the highest in the OECD, with persistent employment gaps for youth, women, and older workers.	Enhance active labour market policies building on recent successful programmes and strengthen regional employment offices by expanding qualified staff to provide better job search assistance, career guidance and work-experience programmes, as well as up-skilling and re-skilling support.
Temporary sick leave has increased by 52% since 2018, with a sharp rise in long-duration and repeat cases, particularly linked to mental health and musculoskeletal conditions.	Strengthen medical and inspection capacity, fast track the recognition of foreign health degrees to address acute staffing shortages and ensure stricter oversight.
Investment levels in Spain remain relatively low. While RTRP has fostered private investment, only 15% of investments-linked objectives have been met so far. Some delays in implementation, low fund absorption, and regulatory barriers continue to hinder investment.	Streamline regulation, improve administrative efficiency, and strengthen intergovernmental coordination to support investment.
Addressing housing market challenges	
Banks are well capitalised and household and corporate balance sheets are sound. However, further easing in financial conditions could fuel stronger housing demand and price pressures given tight supply.	Continue monitoring lending standards to avoid the build-up of housing market vulnerabilities.
Spain faces a housing shortage in high demand areas due to persistent supply-side bottlenecks, including limited buildable land, slow administrative approvals, and weak incentives for affordable housing development. These have driven up prices, especially in the rental market, exacerbating housing-related poverty and limiting access for lower-income households.	**Accelerate land development procedures by streamlining and digitalizing planning and permitting processes to unlock buildable land, particularly in high-demand urban areas.** Scale up investment in affordable rental housing to ensure long-term affordability, secure tenancy, and means-tested access.
Addressing corruption and public procurement challenges	
Despite improvements in the legal framework, perceived corruption remains high, and enforcement gaps persist. Spain has recently introduced a new integrity and anti-corruption plan which should address key weaknesses. Spain's enforcement of foreign bribery laws remains an issue.	**Ensure adoption and effective implementation of the new anti-corruption plan, including full regulation of lobbying activities, enforcement mechanisms and clear accountability of results and strengthen the enforcement of the OECD Anti-Bribery Convention.**
Despite the adoption of the 2023-2026 National Public Procurement strategy, Spain's public procurement process remains vulnerable. The share of direct wards and single bid contracts remains high, and procurement platforms are fragmented.	Improve transparency and competition in public procurement by fully implementing the National Public procurement strategy, accelerating e-procurement and establishing a single open-access repository of procurement-related data.

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2 Fostering productivity growth in small and medium-sized enterprises

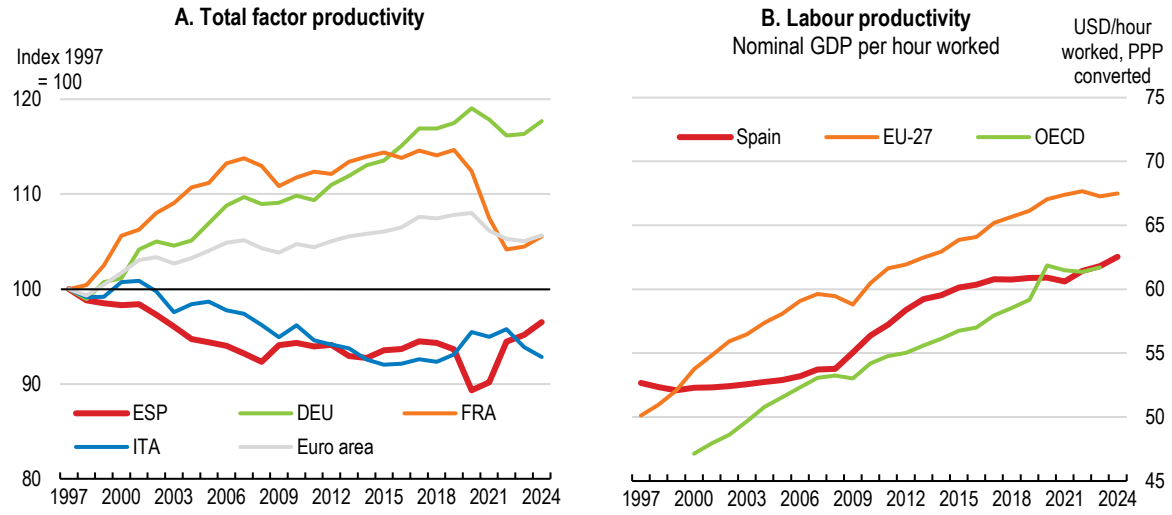
Claudia Ramírez Bulos, OECD
Aida Caldera Sánchez, OECD

Spain's productivity growth still lags OECD's top performers, despite significant recent gains. While employment growth has supported output in recent years, gains in labour productivity have been minimal. Boosting productivity in small and medium-sized enterprises—which make up 99% of all firms and employ most of the workforce—is key to breaking through the country's sluggish productivity growth. As in other OECD countries, SMEs are less productive than large firms owing to limited access to external finance and skilled labour, lower innovation adoption and low use of advanced digital tools. Reducing the high administrative and regulatory burden, particularly labour and tax regulations, while facilitating access to finance can further support the creation and growth of firms. Tailoring policy efforts to increase the use of more advanced digital tools among SMEs, fostering innovation by raising awareness and access to public innovation support, and strengthening collaboration between SMEs and research institutions can boost innovation. Promoting training and reducing costs through vouchers and credits can help SMEs invest in skilling their workforce.

2.1. Productivity growth in Spain remains low despite recent gains

Boosting productivity is Spain's most pressing structural challenge—and the key to achieving continuous income growth, fiscal sustainability, and economic resilience. While productivity levels remain well below those of peer countries, there have been encouraging improvements. Following the COVID-19 rebound, Spain has seen stronger total factor productivity and labour productivity growth helping to narrow gaps with other advanced economies (Figure 2.1, Panels A and B) (BdE, 2025[1]). Still this productivity shortfall is the central obstacle to achieving sustained income convergence with best performing OECD and Euro Area countries.

Figure 2.1. Stronger total factor productivity and labour productivity growth are helping narrow gaps with other advanced economies



Note: Panel B: 2020 constant prices.
Source: Bank of Spain; OECD Productivity levels Statistics.

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While the productivity gaps between Spain and top performing countries have narrowed somewhat among micro and large firms (Figure 2.2, Panel A), the challenge remains, and is not concentrated by sector or firm type, rather affects large and small firms alike, and is present in both tradable and non-tradable sectors. Micro, small and medium-sized enterprises are the backbone of Spanish economy, accounting for 99% of businesses and nearly two thirds of total employment (Figure 2.2, Panel B). The services sector dominates Spain's SMEs, with 74% operating in services like tourism, hospitality, and retail—activities traditionally associated with lower productivity. However, even small improvements across this large base can yield sizable aggregate economic benefits and drive innovation. As in other OECD economies, SMEs in Spain lag larger firms in terms of productivity and the gap has proven persistent over time (Figure 2.2, Panel A). Large firms, which make up 0.16% of businesses in Spain, are twice as productive as micro firms. Moreover, even though businesses in Spain exhibit birth and death rates similar to European peers (Figure 2.2, Panel C) post-entry growth is significantly lower than in peer countries, particularly in non-financial services (OECD, 2025[2]) reflecting challenges in scaling up while the share of start-ups has fallen behind peer countries in recent years (OECD, 2024[3]).

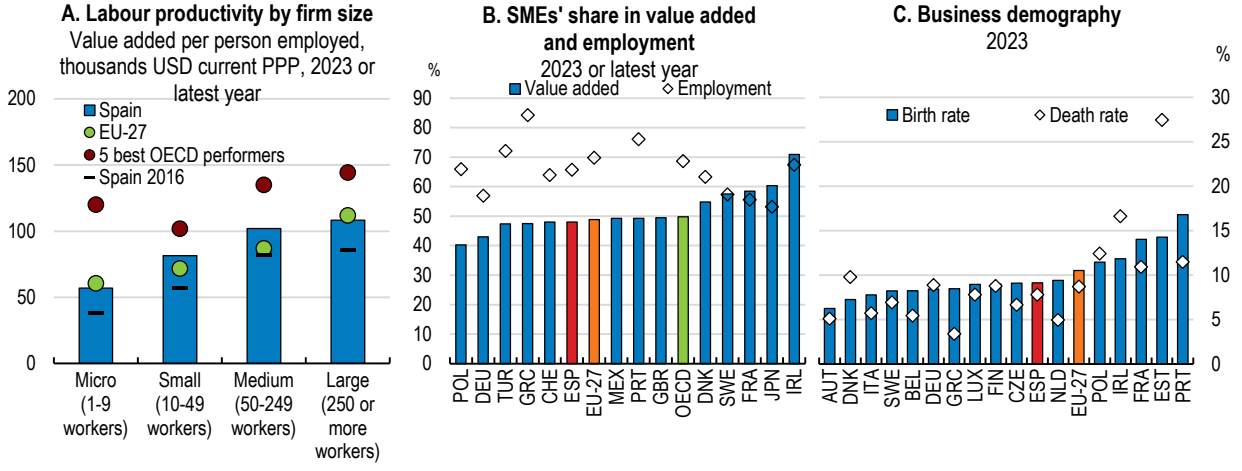
Several well-documented barriers deter firms to grow in terms of productivity and employment. These frictions include a high administrative burden, and financing barriers, a lower adoption of advanced digital technologies than larger firms, weaker innovation capacity, and skills shortages (Bank of Spain, 2024[4]), (Arregui and Yu, 2023[5]) (OECD, 2017[6]) (OECD, 2025[2]). Also, limited networks and collaboration across firms and, risk-averse culture are important bottlenecks to generate productive entrepreneurship in Spain (OECD,

2025[7]). Reducing these structural frictions could yield benefits in resource allocation, innovation diffusion, and the growth of firms.

Raising SMEs productivity and scaling have long been objectives of the Spanish government (Government of Spain, 2023[8]). Recent efforts coupled with EU funds under the Recovery Transformation and Resilience Plan (RTPR), have aimed at supporting SMEs and the self-employed, targeting 40.9% (EUR 23.191 billion)of the EUR 56.74 billion on five key areas: entrepreneurship, growth, total funds of digitalization, commerce, and internationalization. Moreover, in a welcome step, in 2024 Spain established a productivity council with the objective of diagnosing and analysing how productivity and competitiveness develop over time, to inform policy decisions. Several OECD countries have established similar pro-productivity institutions to generate data on productivity trends and drivers, supporting evidence-based policies to boost productivity (Cavassini, F. et al., 2022[9]).

This chapter examines the productivity performance of Spanish SMEs in the broader context of the country's productivity challenge and explores four structural barriers that limit firms' growth. First, it explores how to enhance access to finance. Secondly, it focusses on reducing the regulatory and administrative burdens that SMEs face to market entry and growth. Thirdly it discusses how to foster advanced technology uptake and lower innovation gaps among SMEs. Finally, it analyses how SMEs growth can benefit from enhanced human capital and skills. For each area, the chapter identifies specific constraints, reviews recent policy measures, particularly under the Recovery, Transformation and Resilience Plan (RTRP), and proposes targeted policy recommendations to unlock SMEs potential building on the OECD SME and Entrepreneurship Strategy (OECD, 2024[3]), the OECD's Going Digital project (OECD, 2024[10]) the OECD Artificial Intelligence Policy Observatory (OECD, 2025[11]), as well as past OECD Economic Surveys of Spain (OECD, 2023[12]) (OECD, 2018[13]).

Figure 2.2. Productivity gaps have narrowed somewhat among micro and large firms



Note: Panel A: EU-27 excludes Bulgaria, Croatia, Cyprus, Malta, and Romania; 5 best performers for large firms excludes Ireland and Norway where labour productivity exceeds USD 416,000 in 2023.
Source: OECD Structural Business Statistics; Eurostat.

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Table 2.1 Past OECD recommendations on productivity and SMEs

Past recommendations	Actions taken since the 2023 Survey
Promote collaboration and knowledge transfer between businesses and universities through performance contracts that reward collaboration and participation of businesses in university governance.	In 2023 the Ministry of Science and Innovation launched the "Knowledge Transfer and Collaboration Plan: Science and Innovation at the Service of Society" to strengthen R&D+I links between the public and private sectors.
Continue to incentivize the reduction of regulatory barriers and better regulation of economic activities by fostering the mutual recognition of regulations by regions and the implementation of the Market Unity Law.	The Ministry of Economy, Trade, and Business is developing "Regimen 20" a national framework to establish a common framework of minimum rules across regions.
Foster collaboration between SMEs to provide apprenticeships to students, training to teachers or share managerial duties. Provide targeted and means-tested direct subsidies to SMEs to increase participation in VET education.	In 2023, new subsidies of up to EUR 2250 per worker were introduced for SMEs hiring young people through training and apprenticeship contracts. The Ministry of Education, Vocational Training and Sports is promoting greater involvement of companies—particularly SMEs—in the development and governance of vocational training, especially through dual vocational training. Since 2023, initiatives have supported training entities to deliver programmes tailored to both employed and unemployed individuals.

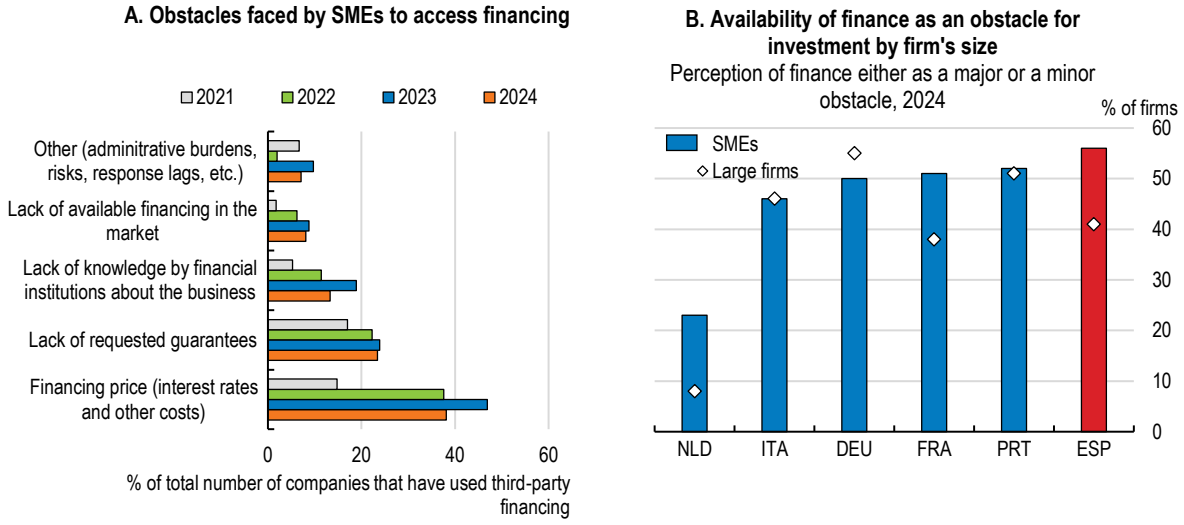
2.2. Improving access to finance

Access to finance remains a key constraint for Spanish SMEs, which continue to rely overwhelmingly on bank lending while participating minimally in capital markets (OECD, 2024[14]). Around 70% of Spanish SMEs identified a lack of available financing as a significant long-term barrier to investment in 2023, significantly above European peers. While overall credit conditions have improved in the past year (See Chapter 1), many SMEs, especially younger, smaller and high-growth firms, continue to face challenges in obtaining financing (Figure 2.3, Panel A), and tend to rely on bank loans (Menéndez Pujadas and Mulino Rios, 2023[15]; CESGAR, 2024[16]). Securitisation can help banks free up capital and extend more loans to SMEs, giving them indirect access to financial markets. Yet, the EU's securitisation market remains far below levels observed prior to the great financial crisis, largely due to market fragmentation and concentration in only a few countries. To overcome this, Spain, together with other EU countries, is working to develop a European Securitisation Platform aimed at making the market more appealing to investors and unlocking fresh capital for SME lending.

According to the OECD capital market review of Spain (OECD, 2024[14]), many SMEs perceive themselves as too small or underprepared to issue bonds or equity, with fewer than 6% planning to go public in the near term. Structural challenges, such as limited base of institutional investors, low financial literacy, lack of awareness and information and thin pension and investment fund markets, further restrict market-based options. These conditions limit the ability of SMEs to diversify funding sources, scale up and invest in innovation and productivity-enhancing activities. Furthermore, the Spanish firms that rely on debt financing loans are requesting loans with shorter maturities than in the past, potentially reflecting an increased demand for financing to meet immediate operational needs, at the expense of long-term investments (OECD, 2025[7]). Moreover, as in other countries, SMEs are less able to benefit from sophisticated tax planning or group consolidation regimes. This limits their ability to smooth profits and losses over time compared to large, multinational firms and increases financial risks for SMEs, making it harder for them to recover from economic downturns compared to larger firms.

Several public instruments have been deployed to address these gaps and reinforced under the RTRP. The Official Credit Institute (ICO), public participatory loans, via ENISA, ICO-AXIS and CDTI, and CERSA guarantees (Box 2.1) have expanded financing options for startups and technology firms. The portfolio of programmes includes a variety of financial instruments, tailoring the finance to the companies' needs. While some of ethe programmes are non-refundable grants and they provide subsidies for certain investment projects at favourable financing conditions, others offer market-based financing through loans, including the investment in private venture capital funds. However, the application processes are often complex and time-consuming, and many projects must align with European priorities—like digitalization or green initiatives—to qualify, which limits their relevance to certain sectors. In this context, SMEs continue to face more difficult and costly access to finance compared to larger companies and to other SMEs in peer countries (Figure 2.3, Panel B).

Figure 2.3. SMEs face several obstacles to access financing



Source: CESGAR "Encuesta sobre la situación de las pymes en relación con la financiación ajena"; EIB Investment Survey 2024.

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Enhancing SMEs' access to a broader set of funding sources beyond traditional bank-based financing would necessitate greater public-private cooperation and regulatory changes. The limited use of capital markets by SMEs stems from a lack of awareness and understanding of their benefits, while regulatory challenges linked to stock exchange listings and weak investor demand for SMEs stocks, further discourage smaller companies from entering the equity market (OECD, 2024[14]). Some programmes such as "*Entorno Pre Mercado*", launched in 2018 by the Spanish market infrastructure operator provides training and networking opportunities for SMEs to familiarise themselves with capital market operations and to facilitate connections with private and institutional investors. However, the companies participating and ultimately listing are still relatively few compared to the broader SME segment, with a notable concentration in Real Estate Investment Trust (OECD, 2024[14]). To address these challenges further strengthening cooperation between SMEs, particularly those with high growth potential, and capital market participants, such as the stock exchange, through intermediaries like chambers of commerce would help. These platforms connect SMEs with potential in navigating the listing process with investors. Educational initiatives, like seminars, workshops and informational campaigns, could equip more SMEs with the necessary knowledge and resources to effectively evaluate funding alternatives.

Regulatory reforms are also essential. One priority is to eliminate the requirement for companies listed on multilateral trading facility (MTFs) in Spain to move to the main market if their market capitalization exceeds EUR 1 billion for six consecutive months. Although this threshold was raised from EUR 500 million in 2020, a legislative proposal is under consideration to remove this requirement entirely, along with the creation of an Independent Administrative Authority for the Protection of Financial Clients. This would reduce disincentives for companies considering public listing and help prevent listings abroad. In parallel, granting the CNMV (Spanish National Securities Market Commission) greater flexibility to adjust supervisory fees depending on firm size could reduce cost barriers for smaller companies. Some efforts have already been undertaken, and their effectiveness should be evaluated in due course. The CNMV has introduced an alternative listing method to make IPOs more flexible and resilient to market timing risks by reversing the traditional timeline—starting with prospectus approval and allowing ad-hoc placements—aimed at easing access to regulated markets, particularly for mature companies. A reform proposal aims to extend takeover bid rules to companies listed on MTFs, enhancing minority shareholder protection. This is expected to increase investor confidence and improve SMEs' access to finance. If properly implemented this could boost investor participation in SME markets. Finally, promoting SMEs access to private equity, especially venture and growth capital, could

provide alternative financing sources for SMEs. Business associations or public agencies could play a facilitative role by offering informational support or connect companies with fund managers (OECD, 2024[14]).

Box 2.1. Programmes to support SMEs financing under the Recovery, Transformation and Resilience Plan

CERSA guarantees: Operating with the Mutual Guarantee Societies (SGR) of the Autonomous Communities, these guarantees have facilitated access to finance amounting more than EUR 5.5 billion to address projects of more than 36,000 SMEs.

ENISA credit lines: Through different programmes, such as *Digital Entrepreneurs* these credit lines provide financial support to SMEs that want to boost their innovative entrepreneurial projects. They have already supported 9,354 projects, totalling EUR 1.44 billion, as of July 2025. ENISA also manages the *ENISA Entrepreneurship and SME Fund* with a budget of EUR 303 million to incentivise private investment and improve access to finance for SMEs.

ICO-Enterprises and Entrepreneurs Facilities: The *Instituto de Crédito Oficial*, backs the financing of entrepreneurial loans with a fund amounting EUR 8.15 billion to support business growth, competitiveness, and digitalization.

ICO-Verde: With a combined budget of EUR 22 billion support projects that promote sustainability and the modernization of production processes.

Source: PYMES en el Plan de Recuperación, Transformación y Resiliencia, Gobierno de España.

2.3. Streamlining regulation and lowering administrative barriers

Compliance with tax, labour laws, and sector-specific and regional regulations is disproportionately more challenging and costly for SMEs than for larger firms in Spain (Almunia and Lopez-Rodriguez., 2018[17]). According to survey data, in 2025 most Spanish firms perceived that the complexity of administrative procedures, fast-changing legislation and policies, and labour regulations were among the biggest difficulties they faced while doing business in Spain (Figure 2.4, Panel A). Furthermore, Spanish SMEs devote substantial resources to navigating regulatory and administrative hurdles, which stifles their growth and competitiveness. Simplifying administrative burden and streamlining administrative requirements for new firms, which remain high compared to OECD benchmarks, as well as increasing transparency tools and integrity standards for lobbying activities (Figure 2.4, Panel B), would create a more business-friendly environment for SMEs that fosters productivity gains and expansion.

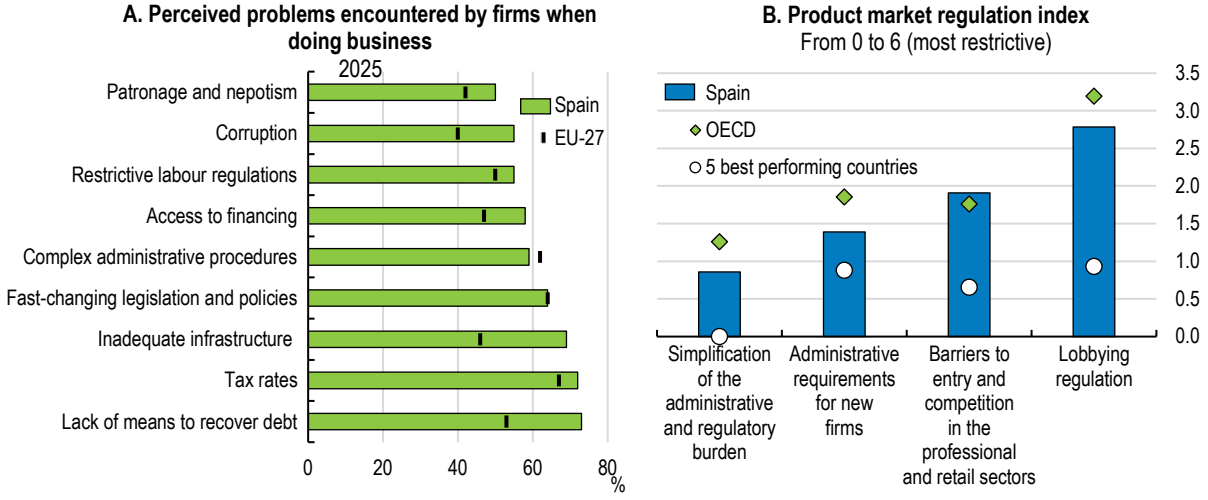
2.3.1. Lowering administrative complexities

Administrative complexity remains one of the most frequently cited obstacles to SMEs growth in Spain, especially for smaller and younger firms (Mora-Sanguinetti et al., 2024[18]). Many firms report high compliance costs, time consuming paperwork, and uncertainty when dealing with regulatory procedures. Regulatory requirements often differ across regions and levels of government, creating duplication and uncertainty. The impact is disproportionally felt by SMEs, which often lack the internal capacity to manage legal, accounting, and administrative procedures. Current labour regulations make hiring and firing employees challenging and costly, which combined with relatively high social security contributions and growing minimum wages have raised labour costs and administrative burden for SMEs in recent years (Arregui and Yu, 2023[5]).Taken together, these factors raise the costs of doing business for SMEs and discourage scaling up and limit productivity enhancing investment.

Moreover, Spain's regulatory framework includes multiple thresholds that impose additional obligations on firms once they reach a certain size, most commonly when getting close to EUR 6 million sales. A recent report identifies more than 100 regulations of this type related to accounting, labour, financing or taxation (Arregui and Yu, 2023[5]). While the intent is often to reduce the burden on the smallest firms, the result can be a strong disincentive to grow beyond key size thresholds. Research has shown that firms in Spain are more likely to remain small due to a comparatively higher administrative and regulatory burden, and that this contributes to the unusually high share of microenterprises (Arregui and Yu, 2023[5]; Barrios, Delis and Landabaso Alvarez, 2024[19]). These regulatory cliffs discourage hiring, limit economies of scale, and hinder investment in innovation, ultimately constraining productivity growth. To avoid regulatory cliffs, it is advisable to conduct a systematic review of key thresholds that trigger additional obligations as firms grow. Introducing phased-in or sliding-scale requirements can help prevent sudden increases in compliance costs. Improving coordination across different regulatory areas —such as tax, labour, and social security— would also enhance consistency and reduce administrative complexity.

Spain has taken steps to simplify procedures and foster a more dynamic and competitive business environment, especially for SMEs, by making it easier to create, grow and restructure firms through the 2022 *Ley Crea y Crece* and the *Start-up* Law (Box 2.2). Early indications, such as a 10% increase in new company formations on average in 2023 and 2024, above the historical average, suggest that these laws are addressing long-standing administrative and legal barriers to business formation and innovation in Spain, in line with recommendations from previous OECD Economic Surveys for Spain. However, assessing the full impact will require more time and data.

Figure 2.4. Administrative burdens remain relatively high for firms in Spain



Note: In panel B, high scores in the lobbying regulation subcategory indicate lower levels of transparency in lobbying activities.
Source: European Commission, September-October 2025, Flash Eurobarometer 428: Businesses and corruption; OECD 2023-2024 PMR database.

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Divergent regional regulations and unequal access to local support pose hurdles for businesses aiming to scale or expand across Spain, highlighting the need to create a more cohesive national market, making it easier for SMEs to grow and thrive nationwide. In the past two years, the government, in collaboration with the private sector, has adopted measures to reduce bureaucracy, streamline processes, lower costs through digitalization, and enhance digital public services (BOE, 2024[20]). In this sense, the programme *Regimen 20*, proposed by the Ministry of Economy and the autonomous communities, goes in the right direction as it aims to establish a common framework of minimum rules across regions, making it easier for companies to expand by reducing administrative obstacles that might arise from differing local regulations. Nevertheless, the success of this initiative largely depends on its timely implementation and the collaboration of all levels of government, including municipalities. For this, the plan must be rolled out gradually and consistently across the country,

with comprehensive training provided for officials responsible for overseeing the new system to ensure a smooth implementation.

Box 2.2. Laws to foster a more dynamic and competitive SMEs business environment enacted in 2022

Ley Startup: Aims to create a favourable environment for the establishment and growth of startups by offering tax incentives, reducing administrative hurdles, and measures to attract talent and investment. The law introduces significant tax benefits for start-ups, including a reduced corporate income tax rate for the first four years of a company's operation, a threefold increase in the tax-free limit on stock options, expanded incentives for business angels, and a special five-year regime for attracting foreign talent. The introduction of a special visa for digital nomads and remote workers is expected to attract global talent.

Ley Crea y Crece: Aims to stimulate business creation by reducing and streamlining the procedures and conditions for establishing a company. It encourages firms' growth through regulatory improvements, promoting electronic invoicing to combat late payment in commercial transactions and promoting alternative financing methods for SMEs by strengthening mechanisms such as crowdfunding, collective investment, and venture capital.

Ley Concursal: Seeks to strengthen the legal base to ensure that financially troubled but viable companies can restructure and continue operating, allowing insolvent individuals to discharge debts for a second chance, and improving insolvency procedures by making them more efficient and shorter, with a focus on microenterprises.

Source: PYMES en el Plan de Recuperación, Transformación y Resiliencia, Gobierno de España.

2.3.2. Reducing cliff-edge effects in the corporate tax system

Spain's corporate income taxation system includes specific provisions aimed at supporting SMEs, including reduced rates, accelerated depreciation, and targeted deductions in both corporate and personal income tax for investments in R&D, employment and sustainability. The standard corporate income tax rate in 2024 was 25%, but companies with a net turnover below EUR 1 million will benefit from a reduced tax rate progressively leading to 17% up to a tax base of EUR 50,000 and 20% for the rest of the tax base by 2027, while start-ups enjoy a tax rate of 15% for the first four profitable fiscal years. SMEs also benefit from reduced social security contributions. Moreover, self-employed workers —with a monthly income of less than EUR 1,700— can benefit from reductions ranging from EUR 80 to EUR 428, depending on income. New self-employed workers benefit from a flat rate in social contributions, with an 80% reduction in the contribution during the first 12 months of activity, with variations depending on the age and situation of the firm.

While these preferential tax treatments are intended to support small businesses and promote entrepreneurship, evidence from OECD countries indicates that size-based tax incentives may have unintended consequences on business expansion, business dynamism, and tax compliance (Bergner, S. et al., 2017[21]), (Almunia and Lopez-Rodriguez., 2018[17]). Firms may deliberately limit growth to remain below key tax thresholds. Recent research for Spain confirms that the tax system penalizes the growth of new and small businesses (Barrios, Delis and Landabaso Alvarez, 2024[19]). Effective tax rates tend to rise as firms grow from micro to small but then drop again for medium to large firms. Tax reforms approved in 2024 aim to address these disincentives by introducing a more gradual progression of tax obligations, applying lower rates to companies with lower turnover and higher rates to those with greater turnover. Beginning in 2025, businesses with a net turnover of less than EUR 1 million will face a rate of 21% for the first EUR 50,000 (of the tax base), and 22% up to EUR 1 million and 19% and 21% in 2026. For companies with a net turnover below EUR 10 million per year, progressive reduction in the corporate tax rate – from 24% in 2025 to 21% by 2028 – has been introduced. These measures represent a welcome effort to reduce cliff-edge effects of the corporate tax system. However, it remains important to regularly evaluate the costs and benefits of SMEs-specific tax

treatment. Frequent, piecemeal changes to corporate income taxation can increase uncertainty and compliance costs. A stable and predictable corporate tax framework is essential to ensure that tax policy supports SMEs growth and productivity.

2.3.3. Adapting insolvency regimes to SMEs' needs

An effective insolvency framework is essential for fostering entrepreneurial risk-taking, supporting business creation, enabling business restructuring and strengthening productivity growth. Consistent with long standing OECD recommendations (OECD, 2017[6]) (OECD, 2018[13]), Spain reformed its insolvency regime in 2022 (Box 2.2), placing greater emphasis on the pre-insolvency stage to help viable firms in financial distress take early action. The reform broadened access to restructuring tools and introduced specific, simplified, and quicker processes specifically for micro-enterprises. One of the central innovations was the enhancement of the "second chance procedure", which expands the scope of debt exoneration and supports the continuation of entrepreneurial activity for individuals and the self-employed. In line with OECD advice, it also introduced a fully electronic insolvency procedure for microenterprises, designed to reduce complexity, time and cost and make procedures more accessible to SMEs.

Recent data suggest that these changes have begun to take effect. The number of bankruptcy procedures for natural persons increased by 30% in Q2 2025 compared to the same period in 2024, while corporate bankruptcy proceedings decreased by 3% according to the Spanish Association of Property, Movable and Mercantile Property Registrars. The share of individual proceedings in total cases increased from 65% in 2022 Q2 to 89% in 2025 Q2. This increase likely reflects both post-pandemic and energy crisis economic challenges and the improved accessibility of the system for individuals and sole proprietors, making the procedure more attractive.

Despite efforts to promote the use of the Electronic Microenterprise Service (SEM) platform of the Ministry of the Presidency, Justice and Relations with the Parliament, the uptake of the new electronic insolvency procedure for microenterprises has grown but remains limited. Additionally, some discrepancies are observed between data sources regarding insolvency procedures for enterprises. This suggests further efforts are needed to raise awareness, improve data collection across entities, build trust in the system and support SMEs and courts in navigating the process. As noted in previous OECD surveys, implementation remains key: simplification must be accompanied by strong outreach and administrative capacity to make insolvency procedures effective for the smallest firms.

2.4. Fostering technology uptake and closing innovation gaps

Spanish businesses have made significant progress in digital adoption, but SMEs lag in the adoption of more advanced digital technologies. By leveraging Spain's strong digitalisation position, SMEs can benefit from an enhanced use of digital technologies, including artificial intelligence (AI) which can help automating tasks, optimizing resource use, and enabling better data-driven decision-making. While the use of basic tools such as websites and social media is widespread, uptake of more productivity enhancing technologies such as enterprise resource planning, cloud computing, and AI remains low (Figure 2.5), especially among micro and small firms. Only 26% of SMEs adopted cloud services in 2023, below the EU average of 42% and only 8.5% of SMEs used big data, compared to 13.6% across the EU. This gap is not only a reflection of costs or access, but also of limited digital capabilities. Participation in innovation and collaborative R&D also remain low among SMEs. Improving the adoption of more advanced digital technologies, fostering cybersecurity and enabling and updating the regulatory framework to effectively use AI are necessary steps to foster productivity growth.

2.4.1. Improving the adoption of more advanced digital technologies in SMEs

Spain has made significant efforts towards digital transformation over the past years, and a range of public initiatives, including the Digital Kit, Retech and the Next Tech fund have been launched to boost SMEs digitalisation (Box 2.3). These initiatives aim to implement scalable programmes for basic digitalization through public-private partnerships, promote business training in digital skills and encourage innovation and digital entrepreneurship to leverage opportunities in the green and digital economy via grants, co-financing, and technical support. However, challenges remain. Many SMEs aren't aware of the digital tools available to improve their businesses, or they lack a full understanding of the solutions that these tools can bring to their firms. Also, their employees lack the skills to use advanced digital tools effectively, preventing them to fully implement digital solutions.

Efforts should focus on accelerating SME adoption of advanced technologies like AI, cloud infrastructure, and data analytics. Developing structured informative sessions, training programmes and mentorship initiatives to expand more advanced technical skills among SME staff and leadership is key. The current training and consultancy offer under Kit Digital, Kit Consulting and Retech could be further advertised among SMEs, for instance through local chambers of commerce. Encouraging public-private partnerships, networks, and cluster initiatives—such as Australia's Innovation Connections Program—can help SMEs collaborate with research institutions, large firms, and tech providers to develop and test digital innovations, particularly in AI, cloud computing, and other advanced technologies.

2.4.2. Fostering cybersecurity is crucial for SMEs

As SMEs increasingly adopt digital tools and platforms, cybersecurity is becoming a core requirement. Yet, many small firms underestimate the risks or lack the resources to address cybersecurity risks effectively. Survey evidence shows that SMEs are far less likely than large firms to have dedicated cybersecurity protocols, risks assessments or recovery plans in place, leaving them vulnerable (EC, 2022[22]).

On-going initiatives, particularly through the National Institute for Cybersecurity (INCIBE), have begun addressing this gap. Programmes like *Activa Ciberseguridad*, provide SMEs with tailored cybersecurity actions for implementation, while the "INCIBE Emprende" programme supports start-ups and entrepreneurs with cybersecurity-related projects and ideas. Ensuring SMEs thrive in the digital world and remain protected requires that they are aware of both the potential cybersecurity risks and options to prevent and effectively address cybersecurity incidents. For this, expanding outreach and awareness campaigns tailored to small firms is needed. For instance, the programme *Activa Ciberseguridad* that offers cybersecurity assessment and tailored options to SMEs could be further advertised. Many potential beneficiaries remain unaware of its existence and could significantly benefit from greater outreach and visibility.

Box 2.3. Government programmes to support SMEs digitalization under the Recovery, Transformation and Resilience Plan (RTRP)

The government has implemented several programmes to boost the digitalization of SMEs through the SME Digitalization Plan 2021-2025, with a total investment of EUR 4,656 million (around 0.3% of GDP) to accelerate the digital transformation of more than 1.5 million SMEs over five years. Some of the most remarkable programmes are the following:

- **Kit Digital** subsidises the adoption of digital solutions by SMEs, microenterprises, and self-employed individuals to implement digital services like e-commerce, cloud computing, digital workplace, process digitization, customer management, digital marketing, and cybersecurity. It has granted over 676,000 subsidies, reaching more than 85% of Spanish municipalities, with a total budget of EUR 3.067 billion from the NextGeneration EU funds.

- **Kit Consulting** provides financial assistance to SMEs to design their digital transformation roadmap. It offers Digital Advisory Bonuses ranging from EUR 12,000 to EUR 24,000, depending on the company's size, for specialized digital consultancy services. Since its launch, it has aimed to benefit approximately 15,000 SMEs, with a total budget of EUR 300 million from the NextGeneration EU funds.
- **Retech** aims at boosting regional collaboration and fostering innovative ecosystems through interregional projects in key sectors of the digital economy, including artificial intelligence, cybersecurity, and digital entrepreneurship. It is aligned with the Spain Digital Agenda 2026, allocating EUR 530 million from the RTRP to deploy transformative digital projects based on proposals from autonomous communities.
- **Next Tech** is a co-investment fund with the aim of promoting the development of innovative, high-impact digital projects and investment in growing companies (scale-ups). The Fund is endowed with 4 billion euros with the aim of mobilizing up to 8 billion euros in public-private collaboration with the Spanish venture capital sector.
- **Activa Ciberseguridad** assesses a company's cybersecurity status and develops a tailored plan with customized security actions for implementation. The programme lasts four months for each beneficiary company, with a minimum of 20 hours of consulting.

Source: Digital Spain 2021-2025, Government of Spain.

2.4.3. Harnessing the benefits of AI

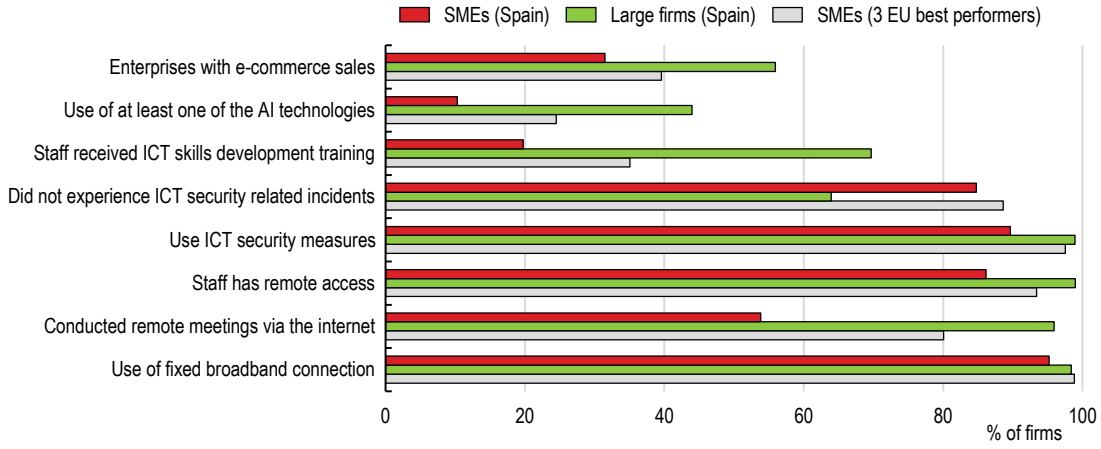
While artificial Intelligence (AI) has the potential to enhance productivity (Filuppucci, Gal and Schief, 2024[23]), automate routine processes and accelerate innovation, most Spanish SMEs remain far from adopting or even exploring AI tools. Only about 10.4% of SMEs report using AI applications, well below the EU average, with adoption largely limited to larger firms and tech-driven start-ups (Figure 2.5). The reasons are multiple: many SMEs are unfamiliar with what AI can do for their businesses, employees lack skills to effectively use it, while regulatory or legal concerns can deter a broader adoption (Lane and Ruggiu, 2025[24]). Furthermore, AI adoption requires not only digital skills, but also advanced human capital and financial resources that many SMEs lack (Bank of Spain, 2025[25]) as discussed below. Integrating AI into existing systems can be technically complex while SMEs may lack specialized IT infrastructure, such as cloud services and scalable databases. This highlights the need for a comprehensive strategy to both improve the adoption of more advanced tools among SMEs and attract talent.

Spain's national AI strategy, the 2026 Spain Digital Agenda, and funding through the Recovery, Transformation, and Resilience Plan (EUR 1.5 billion) are steps in the right direction. Initiatives like the regulatory sandbox for the forthcoming European AI Regulation that offer a controlled environment where SMEs can develop and test AI systems with direct regulatory guidance, are steps in the right direction as they can help SMEs comply with the new regulation before it takes full effect and can ease the transition for small companies into responsible and compliant AI adoption. Also, the establishment of the National Artificial Intelligence Supervisory Agency (AESIA), the creation of the Observatory on the Social and Ethical Impact of Algorithms (OBISAL), (MTDFP, 2025[26]) and the recently announced AI Integration Subsidies to promote AI adoption among companies are welcome. To ensure an adequate implementation of the AI national strategy and help more SMEs effectively and securely use AI, policymakers could develop easy-to-use AI services and help SMEs evaluate their AI potential, following the example of the United Kingdom's AI Skills bootcamps, that offers government-funded training programmes to help SMEs upskill their workforce in AI. Efforts should focus on helping SMEs navigate AI regulations, and educate them on responsible AI use, as France's AI Ethics & Compliance Guide for SMEs, coupled with use-case toolkits targeted to SMEs in specific sectors (e.g. retail, tourism, logistics). Furthermore, encouraging partnerships between SMEs and public research centres could facilitate experimentation and access to information on AI tools. Finally, the government should remain

vigilant and regularly update the National Strategy as AI adoption expands, so AI initiatives do not outpace regulation.

Figure 2.5. SMEs have room to improve in the adoption of advanced digital technologies

SMEs' position in the digital economy, 2024



Note: ICT security related incidents refer to any ICT security related incidents leading to unavailability of ICT services, destruction or corruption of data, disclosure of confidential data (for any reason).
Source: Eurostat Digital economy and society statistics - enterprises.

StatLink https://stat.link/tefwpz

2.4.4. Promoting innovation and R&D investment among SMEs

Investment in R&D remains highly concentrated among a small number of large firms in Spain, as in many other OECD countries, while most SMEs contribute little or nothing to innovation activity (Figure 2.6, Panel A). SME share in business expenditure in research and development (BERD) at 45% in 2021 is above the OECD average (37%), yet it's only half the rate seen in top-performing countries like Italy, Denmark, and New Zealand. Although the number of SMEs involved in R&D activities has increased, their growth still trails that of larger firms. According to survey data, several factors limit engagement in innovation activities in Spanish SMEs, including high costs, difficulties accessing public support, lack of qualified personnel, and low access to external knowledge, among others (INE, 2023[27]). As a result, Spanish SMEs lag EU peers in innovation and collaboration with research institutions (Figure 2.6, Panel B).

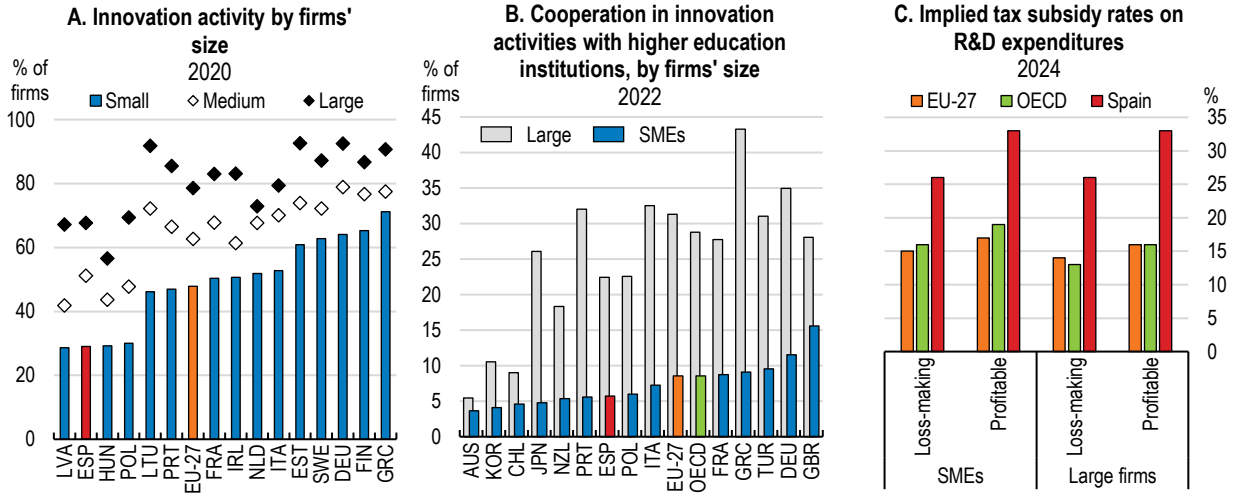
Existing policies to promote innovation – including R&D tax credits, non-repayable grants, subsidized loans, tax deductions, and social security rebates for workers in R&D activities – have helped some SMEs access research infrastructure and technical expertise. Generous R&D tax credits are a central element of Spain's innovation support system for both profitable firms (that can immediately utilize tax credits or deductions to reduce their tax liability), and for loss-making firms (Figure 2.6, Panel C), (OECD, 2025[28]), with an optional regime (in place since 2014) that allows SMEs and newly established companies to fully monetize the incentive, even in the absence of sufficient tax liability ("tax rebate"), when certain requirements are met (such as maintaining headcount).

The R&D tax credit system is perceived as complex and administratively burdensome (OECD, 2021[29]). Many SMEs struggle to benefit fully because refunds need pre-approval and are often delayed, in some cases taking up to two years. Simplifying the refund process for these credits and speeding up processing times would enable SMEs with limited tax liabilities or cash flow challenges to access support more rapidly. Also, the current definition of R&D is strict, often demanding a high degree of innovation or originality. This poses a particular challenge for SMEs, which often struggle to identify or categorize their R&D or innovation activities in ways

that meet the requirements for fiscal support (Secretaria General de Innovación, 2024[30]). To increase uptake, clearer communication and outreach campaigns targeted at SMEs could raise awareness about public innovation support opportunities and about eligibility. Simplifying administrative requirements for SMEs, and providing support, for instance through a "one-stop-shop" digital platform to inform SMEs about the types of eligible spending as well as existing public innovation support opportunities, could facilitate access and increase participation in such programmes. Moreover, given that many innovative SMEs in Spain have limited tax liabilities, support through grants may be more effective than tax credits in stimulating R&D investment. Well targeted grants can provide up front funding and reduce financing constraints for innovation and R&D activities that wouldn't proceed without upfront resources, especially for younger firms with limited access to capital markets. Spain offers direct grants and soft loans for R&D through regional governments and agencies like CDTI and ENISA, and some programmes like NEOTEC, CDTI's innovation lines and ENISA participatory loans, are explicitly designed to support SMEs. Ensuring SMEs can easily combine tax credits with direct grant support, clarifying how different incentives interact and simpler design and better outreach would maximize the overall impact of public support for innovation.

Another path worth exploring is promoting stronger collaboration between SMEs and research institutions, which is low in Spain (Figure 2.3, Panel B) (OECD, 2025[7]). Overall knowledge transfer between science and industry in Spain is hindered by fragmented governance, limited incentives for public researchers to collaborate with firms and weak institutional capacity in knowledge transfer offices (OECD, 2021[29]). Clearer national coordination, more widespread performance-based funding and stronger professionalization of transfer mechanisms can help to better connect research with business innovation, especially among SMEs. Increasing the number of external stakeholder representatives, including SMEs, in university governing councils can raise accountability and bring on board the needs of companies and citizens beyond academic goals, as recommended in previous OECD Economic Surveys of Spain (OECD, 2023[12]). Moreover, Spain could follow Sweden's example and encourage SMEs to collaborate with universities and strengthen their internal innovation capacity through coaching and consulting services.

Figure 2.6. SMEs are less active in innovation despite generous R&D tax credits



Note: Small firms refers to firms with 10 to 49 employees, medium-sized firms to firms with 50 to 249 employees and large firms to firms with at least 250 employees.
Source: Eurostat; OECD Innovation indicators dataset; OECD R&D Tax incentives database.

StatLink https://stat.link/trz1ef

2.5. Closing skills gaps to boost SMEs' productivity

Despite a relatively educated population, the workforce in Spain has significant skills gaps, including in digital, managerial and STEM related fields (Blázquez, Balmaseda and Canals, 2022[31]). Adult skills are below the OECD averages in numeracy, literacy, and adaptive problem solving (OECD, 2024[32]). In this context, SMEs increasingly encounter difficulties when trying to hire workers with the necessary capabilities for their businesses (CGE, 2024[33]) (Figure 2.7, Panel A). Moreover, these firms face specific challenges developing and retaining talent, as in many OECD countries. First, they often don't have the resources to provide training or upskilling to their employees, because of time or cost constraints. Second, despite important progress in SMEs' participation in vocational education and training and dual training models, many SMEs aren't taking full advantage of these programmes due to low awareness of existing programmes or administrative complexity in accessing them. Third, competing with larger firms on attracting and retaining skilled talent remains a challenge for many SMEs because of lower salaries, limited career advancement opportunities and fewer benefits (CGE, 2024[33]). In this context, policy should prioritize encouraging SME engagement with existing training opportunities while creating strong incentives for skills investment (Box 2.4) and the recruitment of ICT specialists.

Box 2.4. Examples of countries using incentives to support SME's investment in skills

- **Finland:** Employers are legally required to develop company training plans, with many publicly subsidized courses available. Through the Joint Purchase Training system (*Yhteishankintakoulutus/ Gemensam anskaffning av utbildning*), employers can partner with the public employment service to retrain existing staff or train new hires, receiving both funding and support to align workforce skills with company needs and technological changes.
- **Denmark:** Under *Arbejdsmarkedsuddannelser* (AMU) system for adult education, employers face minimal training costs and receive wage subsidies for staff attending training. They also get support services, from needs assessment to certification. Additionally, employers can receive subsidies for hiring long-term unemployed workers as temporary replacements during training. Furthermore, modular training programmes for SMEs, often in collaboration with local vocational schools and universities, make it easier for small businesses to access tailored upskilling and reskilling opportunities.
- **Germany**: The Qualification-Chances-Law provides federal subsidies for both direct and indirect training costs, with support levels varying by company size, training type, and worker characteristics. Smaller firms receive more generous aid than larger ones. Germany's 'Go-Inno' programme is a good example of a voucher-based initiative supporting SME investment in innovation. According to the programme's evaluation, it is helping SMEs build innovation capacity by funding qualified external consulting, developing implementation strategies, and enhancing their management and process design skills. Public funding was the key trigger for participation in many cases, with 66% of SMEs citing it as essential.

Source: (OECD, 2021[34])

2.5.1. Enhancing training options for SMEs and developing incentives for SMEs to invest in skills

Investment in training remains low and underutilized by Spanish SMEs, despite the potential benefits of employee training in enhancing its performance (Albizu, Olazaran and Lavía, 2017[35]) (Lavía, C et al., 2021[36]). Large companies spent 2.7 times more on training in 2023 than micro and small firms, while smaller businesses continued to underutilize available training options, such as the programme *formación bonificada* (Observatorio de la Formación Profesional, 2025[37]). This programme allows organizations to train their

employees through courses that are partially or fully funded via social security contribution reductions. However, this option is barely used by smaller firms, with only 6% of total participants working in firms with less than 10 employees in 2023, as compared to 60% of participants working in larger companies (Observatorio de la Formación Profesional, 2025[37]). The dual vocational model was fully implemented in January 2025, and early evidence shows that previously engaged SMEs have continued participating and benefited from support in adapting programmes and addressing administrative challenges. However, further efforts are needed to involve more SMEs in the dual vocational training model to ensure they can access skills and talent required for business growth and workforce renewal.

Many SMEs in Spain lack information about the availability of existing training options or consider the administrative burden to enrol in existing programmes to be burdensome (CGE, 2024[33]). To increase SMEs' take-up of available training options, informing them about their existence while alleviating administrative costs associated to their use are key. Stronger collaboration between business associations, employment agencies, and SMEs can improve awareness of training opportunities and help small firms and workers access them more easily. These partnerships can also help SMEs navigate the processes and lower administrative costs by sharing knowledge and guidance. Additionally, reducing red tape through one-click applications, automated eligibility checks, and pre-filled forms using existing government data, like the Estonia's e-Government model, would further ease the burden.

2.5.2. Tackling digital skills shortages in SMEs

SMEs in Spain are currently grappling with digital skill gaps that hinder their productivity. Even if 66.2% of the Spanish population possesses at least basic digital skills, above the 55.6% average in the EU, 60% of SMEs report difficulties in hiring staff with adequate skills (CGE, 2024[33]). Spain has launched several national initiatives and invested heavily in upskilling and digital training for SMEs, with available training for digital skills, such as those offered by Fundae, which are free of charge and available for different levels of digital skills (See Box 2.3). However, some challenges remain, including insufficient in-company training —particularly in more advanced areas—short training duration, and barriers such as lack of funding and resources (EC, 2023[38]).

Incentivizing SMEs to invest in upskilling their workforce is key to address labour and skills shortages, boost productivity, and ensure their workforce can adapt to rapid technological and market changes (OECD, 2021[34]). Several policy options can help close these skill gaps and enhance SME productivity. Firstly, expanding and promoting existing training programmes like "Kit Digital and " and "Retech" can provide SMEs with the necessary tools to upskill their workforce, particularly in AI, cloud computing and data management. Secondly, introducing training accounts with generous vouchers for SMEs can incentivize participation in training. However, this should be done keeping eligibility criteria simple while allowing SMEs to choose accredited training providers that suit their business needs such as in Germany and Belgium. Spain could build on existing *FUNDAE training* bonifications to launch a unified digital platform (potentially managed by FUNDAE and SEPE) where both SMEs and individuals, especially over 55 (see Chapter 3) can easily apply, select certified training providers, and receive individualized vouchers, covering training costs. All voucher redemptions must be tracked and periodically evaluated. Finally, enabling certified, modular, and short training options focused on digital skills through online learning or evening or weekend sessions could alleviate time constraints for managers and employers.

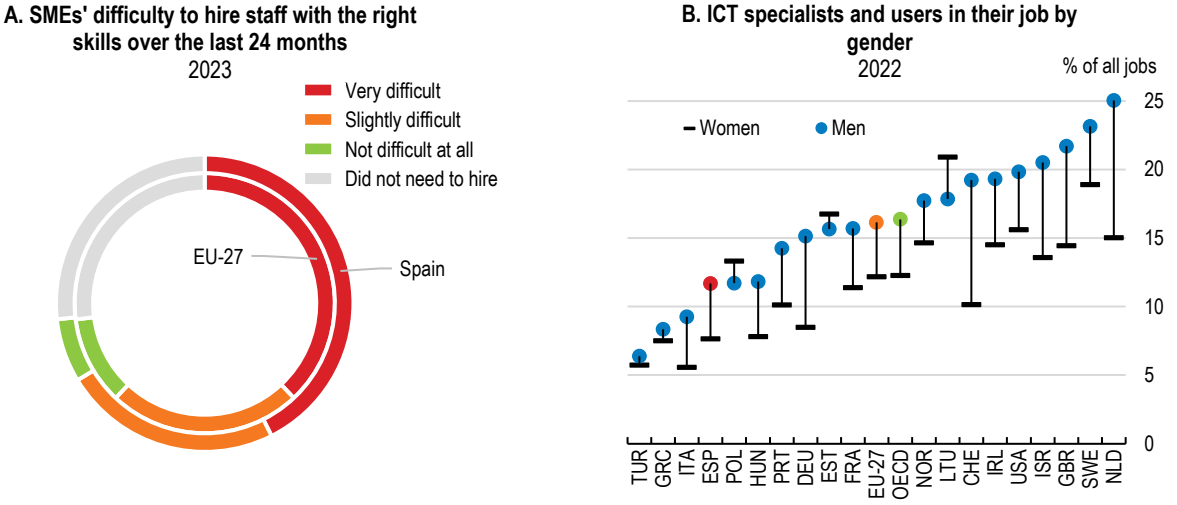
2.5.3. Educating more ICT specialists

ICT specialists remain scarce in Spain (4.3% of the total workforce and 3.2% of the workforce in SMEs in 2024 according to the INE), while needs are increasing, with 62% of Spanish enterprises seeking to recruit them, nearly double than the EU average. Spain launched the National Digital Competences Plan aiming, among other things, to increase the presence of ICT specialists in vocational training and university graduates and researchers. Enrolments in VET have significantly increased (33% from 2017 to 2023), especially among ICT

related subjects following reforms of the VET system in 2018 and 2022 that modernised the ICT curricula strengthened ICT teacher competencies and made important investments to support digital learning (MEFPD, 2024[39]). Sustaining this momentum will require refining incentives schemes to attract and retain young students, better career guidance in secondary schools, easy to access information linking education programmes with employment outcomes through digital portals to inform career choices and promoting role models.

There is potential to expand the ICT workforce by addressing persistent gender gaps (OECD, 2024[40]). Currently, fewer women enrol in ICT careers than men. To tackle this issue, Digital Spain 2025 and the National Digital Competences Plan specifically target the digital gender divide on ICT, aiming to boost women's participation through training, inclusion, and educational reforms. Despite these efforts, as of 2023 the gender gap in ICT jobs remains substantial (Figure 2.7, Panel B). To reduce this gap and strengthen the future ICT talent pipeline, Spain must continue promoting these fields to girls. This includes challenging gender stereotypes among teachers regarding the perceived strengths of boys and girls in specific domains, highlighting female role models, and expanding targeted outreach at earlier education stages before students make career choices. Evidence from Italy shows that such targeted interventions can be effective: a coding course specifically designed for female middle-school students led to a 10% rise in participants' aspirations to become computer programmers (Brussino and Mc Brien, 2022[41]).

Figure 2.7. Skill gaps persist



Source: European Commission, Eurobarometer "SMEs and skills shortages", November 2023; OECD Going Digital Toolkit gender indicators.

StatLink https://stat.link/lcn7tw

Table 2.2. Policy Recommendations to foster productivity growth in SMEs

MAIN FINDINGS	RECOMMENDATIONS (key in bold)
Facilitating access to financing	
Limited access to finance continues to constrain investment and growth among SMEs, with a heavy reliance on bank loans and poor access to market-based financing. Use of capital markets by SMEs is hindered by lack of awareness and understanding of their benefits, limited financial literacy, and regulatory complexities, including complex listing rules and market transition requirements.	**Promote the use of market-based financing among SMEs by encouraging public-private cooperation to connect SMEs with capital market participants.** Organize educational seminars, workshops and informational campaigns to raise awareness and improve SMEs' ability to access diverse funding. Remove the rule requiring firms on multilateral trading facilities to move to the main market after six months with a market cap over EUR 1 billion.
Streamlining regulation and lowering administrative barriers	
Regulatory complexity and administrative costs weigh disproportionately on small firms, discouraging business creation and expansion. Several bureaucratic obligations, burdens and costs increase sharply once firms pass certain size thresholds, discouraging hiring and growth of firms. The *Regimen20* programme designed to harmonize basic rules across regions has the potential to reduce fragmentation.	Review and adapt regulations that create cliff-edge effects by introducing phased-in or sliding-scale requirements to prevent sudden increases in compliance costs, while enhancing consistency and reducing administrative complexity across different regulatory areas. Ensure Regimen 20 is implemented gradually and consistently nationwide, with strong intergovernmental coordination and adequate training for officials to support a smooth rollout.
Fostering technology uptake and lowering innovation gaps	
While basic digitalization among Spanish SMEs is above the UE average, the adoption of more advanced technologies such as cloud computing, big data, analytics and AI remains low. RTRP allocates significant funding to support SMEs digitalisation.	Leverage RTPR funding to scale up SMEs' focused digital advisory services and training, including in the use of AI, cloud infrastructure and services and data analytics.
As SMEs digitalise, exposure to cyber risks increases, yet many lack the resources and awareness to manage them.	Boost targeted cybersecurity outreach for small firms by expanding awareness campaigns and promoting the programme *Activa Ciberseguridad* among SMEs more widely.
Investment in R&D remains concentrated among a small number of large firms in Spain, as elsewhere, while most SMEs contribute little or nothing to innovation activity. Generous R&D tax credits are a central element of Spain's innovation support system, but access is perceived as complex and administratively burdensome. Refunds need pre-approval and are delayed affecting SMEs with limited tax liabilities or cash flow challenges.	**Simplify application and refund procedures to public R&D support through a "one-stop-shop" digital platform and speed up refund processing times.** Conduct a systematic evaluation of the R&D tax credit with a focus on SMEs' access and effectiveness.
Harnessing human capital and skills	
Despite available training offered by SEPE to SMEs, investment in training remains low in these companies due to lack of information, high administrative burden and high costs. All firms paying social security contributions can access annual credit trainings and offset training costs through social security deductions with higher reimbursement rates for SMEs and micro firms, but SMEs underuse these training options.	Strengthen collaboration between employment offices, VET centres and chambers of commerce to inform about training options, reduce administrative burdens and connect SMEs with trainees. Explore introducing tax credits and training vouchers through a unified voucher platform for SMEs to lower training costs, while keeping eligibility criteria simple. **Streamline access to subsidized training by simplifying procedures and improving outreach to SMEs.**

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3 Better harnessing the labour market potential of older workers and migrants

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Spain is facing a dual labour market challenge: a rapidly ageing population and low employment rates for older workers. These trends risk reducing labour supply, slowing potential output growth and increasing fiscal pressures. Better mobilising the untapped potential of older workers and improving labour market integration of migrants, who have contributed to significant job creation and GDP growth in the past years, can help counteract some of the demographic pressures. Recent reforms have taken steps to address these challenges by promoting longer working lives through more flexible retirement pathways and improving the integration of migrants via expanded legal channels and streamlined regularisation. Building on these reforms, further efforts are needed to strengthen incentives for older workers to remain active, promote lifelong learning, while maintaining incentives for rapid re-employment. Also, better aligning migration and skills policies with Spain's evolving labour needs is required, while fostering migrant integration through robust support in language and occupational training, as well as job placement. Enhancing the strategic responsiveness of the migration system by streamlining procedures and lowering bureaucracy for hiring from abroad and for degree recognition could attract more talented migrants. In addition, more efforts are needed to ensure early and successful integration of second-generation youth.

3.1. Mobilising the labour market potential of older workers and migrants

Spain's labour market has shown impressive strength in recent years. Job creation has been robust, and the economy has rebounded strongly (Chapter 1), supported by strong migration flows. Between 2021 and 2023, net migration reached record levels, contributing significantly to employment growth and helping to ease labour market shortages in some sectors. Yet, despite these positive developments, Spain faces deep rooted structural labour market challenges including high unemployment, in particular youth and long-term unemployment, skills mismatches, and an ageing workforce that hinder productivity. Spain enjoys one of the highest life expectancies in the world, while fertility rates have dropped significantly. As a result, population ageing is advancing faster than in most other OECD and EU countries. Although estimates vary, all projections point to an important increase in the old-age dependency ratio by 2054, with OECD estimates suggesting there could be nearly three people aged 65 and over for every five of working age—a rise of around 41 percentage points since 2024, and among the steepest increases in the OECD. Eurostat and Spain's National Statistical Institute project an upward trend, although with more moderate increases (Figure 3.1, Panel A). This demographic shift will reduce labour supply, slow potential output growth, weigh on government and public services with and ageing civil service, and place growing pressures on public finances, particularly through the pension and health care system.

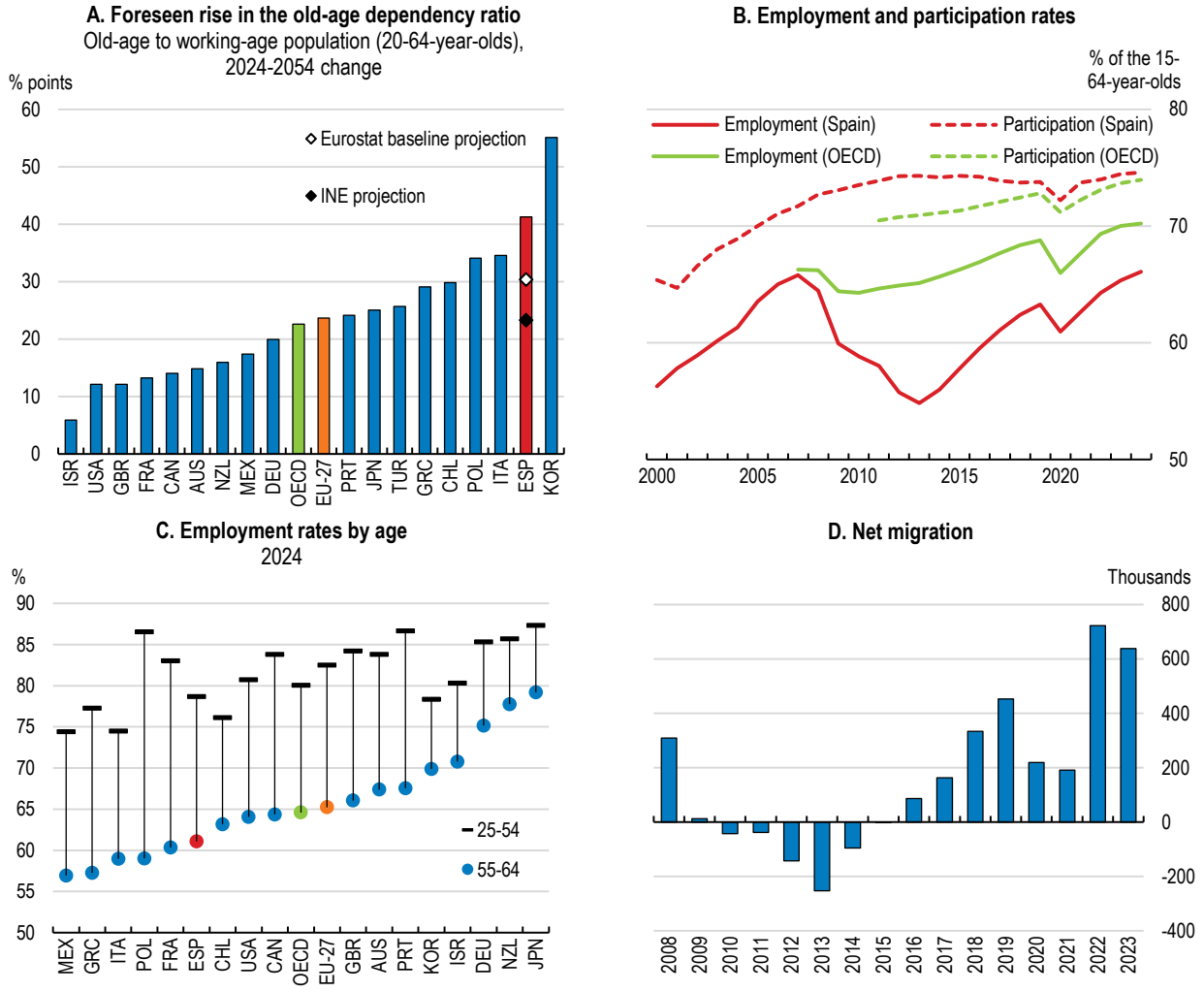
While participation rates are in line with peer countries, Spain's overall employment rate remains well below the OECD and EU averages (Figure 3.1, Panel B). Despite recent progress, unemployment is the highest in the euro area at about 10.5%, especially high among youth (see Chapter 1). Moreover, there are significant employment gaps across several population groups including the low skilled, youth, foreign-born workers, particularly women, and older workers (Figure 3.1, Panel C). To sustain GDP growth, boost per capita GDP growth and ensure fiscal sustainability over the long term, Spain must both increase employment and boost productivity (see Chapter 2).

This chapter focuses on two population groups with untapped employment potential: older workers and migrants. Older workers make up a growing share of the population, and recent reforms—such as partial retirement and the employment support supplement—have been designed to support the sustained employment of this group. However, their employment rate drops sharply after age 55, due to factors such as health, skill obsolescence, limited flexible work arrangements and age dependent public transfers. Migration flows have been historically high over 2023-2024 (Figure 3.1, Panel D) and migrants have accounted for 45% of Spain's net employment growth in recent years, but they often face underemployment, overqualification and barriers to career progression and have the potential to work in more added value jobs. It is also crucial to focus on the integration of second-generation youth, by supporting access to quality education and early labour market opportunities, as this group risks facing persistent disadvantages if not reached early. Strengthening the labour market outcomes of both groups can help offset some of the demographic drag and support sectors facing labour shortages. However, it will not be enough to foster GDP convergence. For example, reversing demographic ageing through migration alone is unrealistic. Bank of Spain's estimates suggest that over 24 million new working migrants would be needed by 2052 to maintain today's demographic balance (Bank of Spain, 2024[1]). Therefore, Spain will also need to continue fostering labour market outcomes for women and youth, as discussed in the 2023 OECD Economic Survey of Spain (Table 3.1), by, among others measures, improving the school-to-work transition, aligning training offers more closely with labour market needs, expanding access to quality early childhood education, and strengthening collaboration with firms to offer apprenticeships for young workers (OECD, 2023[2]). Many of these measures are part of the latest vocational training reform, which has introduced a fully dual model and better aligned educational offerings with labour market needs. Implementation began in the 2024–2025 school year, but it is still too early to fully assess its impact, and ongoing monitoring will be essential to ensure the reform achieves its intended goals.

Table 3.1 Past OECD recommendations to increase employment of youth and women

Past recommendations	Actions taken since the 2023 Survey
Continue expanding access to quality early childhood education and care to children under the age of three prioritizing disadvantaged children.	Progress continues in the implementation of the Programme to promote access to the first cycle of Early Childhood Education, primarily for children aged 1 and 2 years old, prioritising areas with a higher incidence of poverty or social exclusion risk and rural areas. It aimed to create 60,000 public places between 2021 and 2025 with a budget of EUR 670 million.
Foster collaboration between SMEs to provide apprenticeships to students, training to teachers or share managerial duties.	Since 2023, SMEs receive up to EUR 2250 per worker to hire young individuals through training and apprenticeship contracts. The involvement of companies —particularly SMEs— in vocational training has been enhanced through updated programmes, innovation projects, and new collaboration roles.
Extend entrepreneurship education to more young people who are out of the formal education system.	Expanded programmes combining entrepreneurship education with mentoring and financial support, including participative loans, in collaboration with ENISA and business incubators.

Figure 3.1. An ageing population will put increasing pressure on Spain's labour market



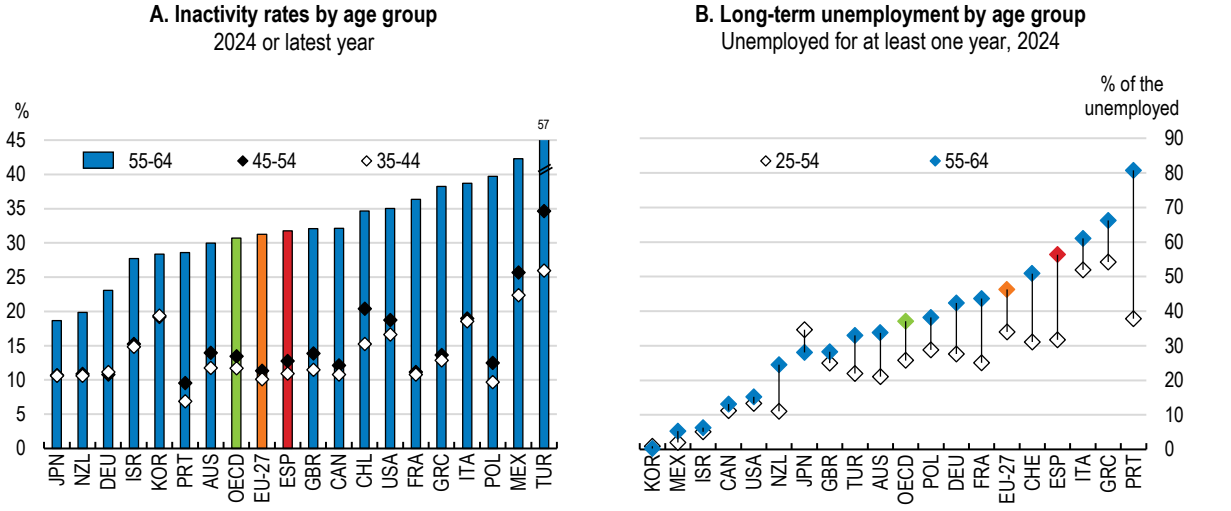
Note: In Panel A, the calculation of the old-age dependency ratio is based on UN projections (OECD estimates) and INE projections (Eurostat estimates).
Source: OECD Pensions at a Glance; Eurostat; INE; OECD Labour force statistics.

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3.2. Extending working lives: unlocking the potential of older workers

Older workers in Spain leave the labour market relatively early and inactivity rates and long-term unemployment are also high among older workers (Figure 3.2, Panels A and B). Spain's employment rate for older workers (aged 55-64) has improved over the past two decades but remains low, particularly for highly educated individuals compared to EU countries, according to OECD data. Moreover, while unemployment rates among older workers are broadly in line with those of other age groups, older individuals face much longer unemployment spells. The current labour market challenges faced by older workers also reflect the lingering effects of the financial crisis, which led to a sharp increase in unemployment in Spain. Many workers who exited the labour market during that period never re-entered, and the experience left a legacy of skills erosion, discouragement and limited re-employment opportunities, particularly for those with lower education and who lost jobs in hard hit sectors like construction. Many older workers have traditionally exited the labour market permanently upon job loss, often treating unemployment benefits as a de facto early retirement scheme —although recently labour force participation and employment show some improvement for those 60-64 years, with the activity rate increasing 8.8 percentage points from 2019 to 2024. Inactivity rates have declined overall but remain high for those aged 55-64, with many leaving work well before reaching the statutory retirement age. This reflects not only pension design, but also weak reemployment incentives following unemployment, limited investment in older workers' employability and low demand for older workers.

Figure 3.2. Inactivity rates and long-term unemployment among older workers are high



Source: OECD Labour force statistics.

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3.2.1. Disincentives in the benefit system discourage the employment of older workers.

The design of unemployment benefits continues to generate substantial disincentives for older workers' employment. Spain's unemployment benefits consist of two main tiers: contributory unemployment insurance (UI, *prestación por desempleo*) and non-contributory unemployment assistance (UA, *subsidio por desempleo*) for those who exhaust their insurance entitlements or do not qualify (Box 3.1). For those aged 52 and above, unemployment assistance has unlimited duration, is not means-tested at the household level but at the individual level and comes together with social security contributions of 125 percent of the minimum contribution base, provided they meet all the criteria to be eligible to the contributory old-age pension, except the age. This contrasts

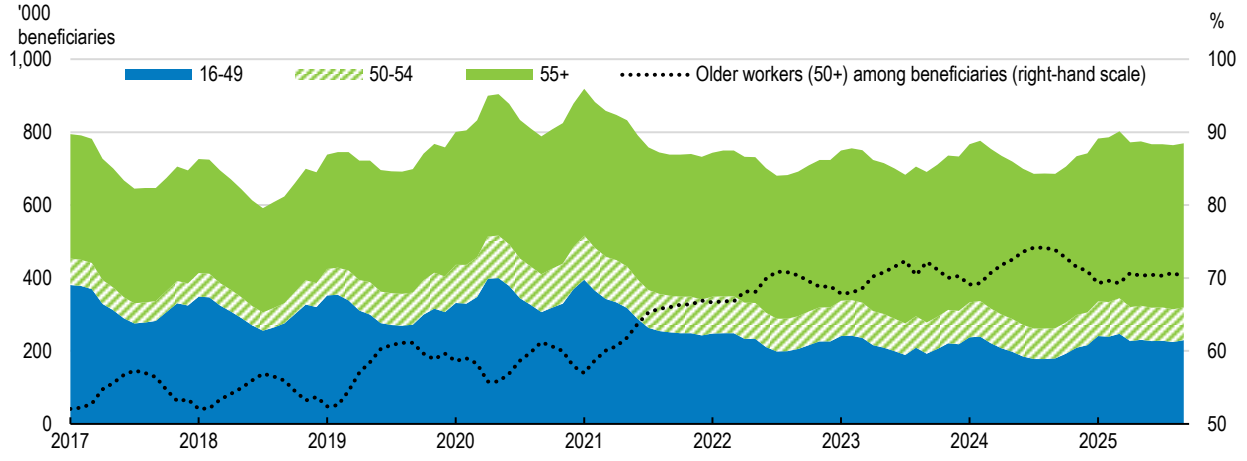
with the rules for younger workers for whom the programme has limited duration (from 3 to 30 months), is means-tested at the household level and does not include social security contributions.

As of June 2025, there were 766,511 beneficiaries of unemployment assistance, that is around 45% of the total number of unemployment beneficiaries. Among beneficiaries of unemployment assistance, over 70% are 50 years old and over (Figure 3.3), whereas they represented around 52% in early 2017. Therefore, it is essential to reform the non-contributory unemployment assistance so that workers of all ages receive equal support, restricting pension accrual to the unemployment insurance phase only.

While the greater generosity of UA provides an extra insurance against poverty at older ages, some studies have found that it can also reduce the job search incentives of older workers, especially among those with low potential earnings (Domènech-Arumí and Vannutelli, 2025[3]; Arranz and García-Serrano, 2023[4]). Moreover, those aged 52 and above on unemployment assistance accepting a low-paid job can negatively affect their future pension entitlements. In 2024, Spain enacted a reform of its unemployment benefit and assistance system aimed at improving work incentives and activation (Chapter 1). It increased the unemployment assistance subsidy during the first twelve months (EUR 590 per month, the first six months and EUR 540 per month, the next six months). The reform does not apply to the subsidy for job-seekers aged 52 with their benefit remaining unchanged at EUR 480 per month until they reach retirement age. The reform also created an Employment Support Complement, which allows beneficiaries to continue receiving part of their unemployment subsidy for up to six months after taking up work. This measure is intended to offset financial disincentives to return to employment especially for those facing long periods of joblessness. While the reform was a step in the right direction, the CAE is only available after a minimum unemployment spell of nine months for beneficiaries of the unemployment insurance. This delayed eligibility risks undermining the reform's objective by incentivising prolonged unemployment, particularly for older or long-term unemployed individuals. Making the activation bonus available earlier in unemployment spells with higher initial bonuses that taper over time could accelerate employment transitions.

The participation tax rate (PTR) —the implicit tax burden a non-employed person faces when moving into work— is high for older workers in Spain, thereby compounding the existing disincentives to take up employment. A 52-year-old unemployed individual considering a minimum wage job can face effective tax rates exceeding 100%, driven both by the loss of the unemployment subsidies and the implicit 125% pension contributions linked to these benefits. Although the recent *Ingreso Mínimo Vital* (IMV) reform has lowered marginal tax rates for households with incomes below the 60% of the SMI entitlement, marginal tax rates remain high for childless households (Hyee and Immevoll, 2022[5]).

Figure 3.3. Most unemployment assistance benefit recipients are 50 or older



Note: Unemployment benefit refers to assistance and excludes the contributory unemployment benefit.
Source: Servicio Público de Empleo.

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Job search conditionality is generally more lenient for older workers in practice. A 2023 legal reform replaced previous objective criteria, such as the 30 km rule, with case-by-case assessments based on individual characteristics, such as qualification and personal circumstances. While this approach allows flexibility, it lacks clearly defined standards, which may result in more lenient enforcement for older workers, particularly in cases of retraining difficulties or perceived aged discrimination. This, in turn, can reduce job-search pressure and affect reemployment outcomes. Occupational matching criteria are similarly relaxed, allowing older workers greater discretion to reject employment opportunities based on retraining difficulties or perceived age discrimination. This leniency reduces job search pressures for older workers compared to younger workers, as suggested by recent studies (Arranz and García-Serrano, 2023[4]; Domènech-Arumí and Vannutelli, 2025[3]). Monitoring may be required to ensure that conditionality is enforced consistently across age groups.

To address these age-based disincentives, the duration of non-contributory unemployment assistance benefits should not be age dependent. Pension contributions should be limited to unemployment insurance beneficiaries and not extended to unemployment assistance recipients. Active job search is currently a requirement to receive unemployment benefits. However, further efforts are needed to ensure compliance and participation in activation programmes to prevent long-term dependency and labour market detachment. Introducing comprehensive household means-testing for unemployment assistance across all age groups would target support more effectively, enhancing equity and resource efficiency.

Box 3.1. The design of unemployment benefits in Spain

Spain's unemployment benefits consist of two main tiers: contributory unemployment insurance (UI, *prestación por desempleo*) and non-contributory unemployment assistance (UA, *subsidio por desempleo*) for those who exhaust their insurance entitlements or do not qualify.

The benefit begins after 12 months of contributions, and the right to UI benefits can last up to a maximum of 24 months. After finding a job, recipients may also continue to combine work income with benefits for 6 months, following a recent reform (Chapter 1).

UA is accessible after the expiration of the earnings-linked UI. It is means-tested at the individual level for older workers, and at household level for prime-aged workers. For those aged 52 and above, UA has unlimited duration and comes together with social security contributions of 125% of the minimum contribution base. The implication is that for those aged 52 and above, each month on UA counts as a month employed full-time above the minimum wage, for the calculation of future pension entitlements. For younger workers, the programme has limited duration (from 3 to 30 months) and does not include contributions.

A 2024 reform raised the monthly assistance from EUR 480 to EUR 570 per month for the first six months, then EUR 540 per month for the next six months, and EUR 480 per month for the remaining period.

Source: Unemployment benefits, Government of Spain.

3.2.2. Encouraging longer working lives through pension reform

Spain's pension system has historically discouraged continued employment beyond the statutory retirement age, placing additional pressure on the pension system by reducing the number of employed individuals. Reforms since 2011 have gradually raised the statutory retirement age from 65 to 67 (phased in during 2013-27) and extended the contribution period for the calculation of pension benefits. National estimations suggest that the effective average age of entry to the pension system in Spain has increased in recent years to 65.2 in 2025. Moreover, the pension reforms in 2021 and 2023 introduced schemes to incentivize late retirement and discourage early retirement, leading to a shift in retirement patterns. Early retirements fell from 44.5% in 2016 to 29.6% in 2024, while late retirements rose from 4.4% to 9.3%. At the same time, older workers' activity rates have improved between 2019 and 2024. Although the proportion of new pensions claimed after the

statutory age has risen in recent years, part of this increase reflects cohort effects — better health, higher educational attainment and a shift towards less physically demanding occupations — that are lifting retirement ages across OECD countries Nevertheless, until recently, legal restrictions, limited flexibility, and implicit tax penalties made it unattractive for retirees to work while receiving a pension.

In April 2025, Spain implemented reforms to make retirement more flexible and increase incentives to work beyond the statutory retirement age. Previously, combining work and pension receipt was only possible for individuals with long contribution careers who deferred retirement by at least one year, with only partial pension benefits paid during employment and no deferral bonus. Under the new rules, this option has been opened to all individuals entitled to a pension (regardless of contribution history), provided they defer retirement by at least one year.

The reform also introduces a more gradual payout structure: after one year of deferral, individuals can receive 45% of their pension while continuing to work; after five years of deferral, the full pension can be received. In addition, the deferral bonus is now more flexible, increasing the pension by 2% for every six months of work beyond 18 months of deferral (previously 4% per full year).

Partial retirement rules were revised to improve flexibility and support intergenerational work transitions. Workers can now enter partial retirement up to three years before the statutory retirement age (versus two previously), while employers must hire a permanent full-time replacement. The goal is to encourage gradual exit from the workforce rather than early full retirement, adding flexibility, and support intergenerational employment, where older workers reduce hours and younger workers are brought in.

While these reforms move Spain closer to international practices that promote longer working lives questions remain about their administrative complexity and the extent to which they eliminate disincentives for combining work and pension. Increases in pension entitlements have coincided with rising take up. However, it is difficult to isolate the impact of the reform, as other factors, such as better education, improved health and changing job characteristics among later cohorts also contribute to longer working lives. Moreover, responses to pension incentives may still be shaped by behavioural inertia and limited awareness and understating of entitlements. To support more effective use of these options, streamlining the application and benefit calculation processes to make the system more accessible and understandable for all users, personalised guidance, raising awareness and improving access to training, job placement and flexible work arrangements for older workers could help older workers make more informed decisions. Close monitoring and on-going evaluation will be key to assessing whether the reform is achieving its objectives and the new phased retirement options are effective in raising employment and reducing early labour market exits.

3.2.3. Creating an enabling environment for older workers

Between 2018 and 2024, the minimum wage rose by approximately 61%, outpacing inflation and labour productivity growth (See Chapter 1). These increases have reduced wage inequality and alleviated in-work poverty (Arranz and García-Serrano, 2023[4]), (Arribas Cámara, Cárdenas and Rial, 2024[6]), and earlier evidence suggests limited or unclear effects on employment. Yet, as the minimum wage in Spain's has significantly increased, the minimum-to-median wage ratio is becoming more binding, and negative effects on employment may begin to emerge. Continued increases warrant careful monitoring to assess potential impacts on employment, or on hours worked in low productivity sectors, particularly of older workers, as explained in Chapter 1.

Employer perceptions and age discrimination further compound labour market barriers for older workers (McKenzie, 2024[7]). Surveys indicate that older workers in Spain frequently face stereotypes regarding lower productivity (Carral and Alcover, 2019[8]), reduced adaptability to new technologies, and higher absenteeism due to health concerns (Quesada and Martinez de Lafuente, 2024[9]). These negative employer perceptions significantly diminish older job seekers' chances of obtaining employment, even when qualified. Older applicants receive fewer callbacks and employment opportunities compared to younger counterparts, despite

equivalent qualifications and experience (Neumark, Burn and Button, 2019[10]). Addressing these biases through targeted employer awareness campaigns and strengthened anti-discrimination enforcement is essential for enhancing older worker employment rates. For example, in Austria the public employment service advises companies on age-friendly practices and workforce planning, aiming to reduce early exit from the labour market and improve retention of older workers (OECD, 2025[11]).

Greater access to flexible working-time arrangements could further support longer working lives. Experience in other OECD countries shows that wider access to part-time, remote or phased-retirement arrangements prolongs participation but may reduce hours worked per person. Dutch evidence, for instance, indicates that while flexible schedules raise employment among 60- to 64-year-olds, participants' weekly hours fall by about one-quarter, limiting the increase in aggregate labour supply (Gielen, 2008[12]). UK studies report similar patterns (Lain and Vickerstaff, 2014[13]).

Health limitations become increasingly relevant with age and can reduce older workers' ability to remain in the labour market without adequate adaptation measures. In Spain, nearly 35% of individuals aged 55–64 reported long-standing health problems in 2023 (EU-SILC data). Workers in physically demanding jobs—more common among lower-educated older workers—face disproportionate barriers to extending their careers (OECD, 2020[14]). Age-friendly work environments, such as ergonomic adjustments, part-time or flexible scheduling, and gradual return-to-work schemes after illness are of critical importance to enable healthier and thus longer working lives (OECD, 2020[14]). Spain lags other OECD countries in the uptake of such practices. Promoting longer working lives will require stronger incentives and guidance for employers to implement health and safety measures adapted to older workers' capacities, alongside more proactive occupational health services, particularly in SMEs.

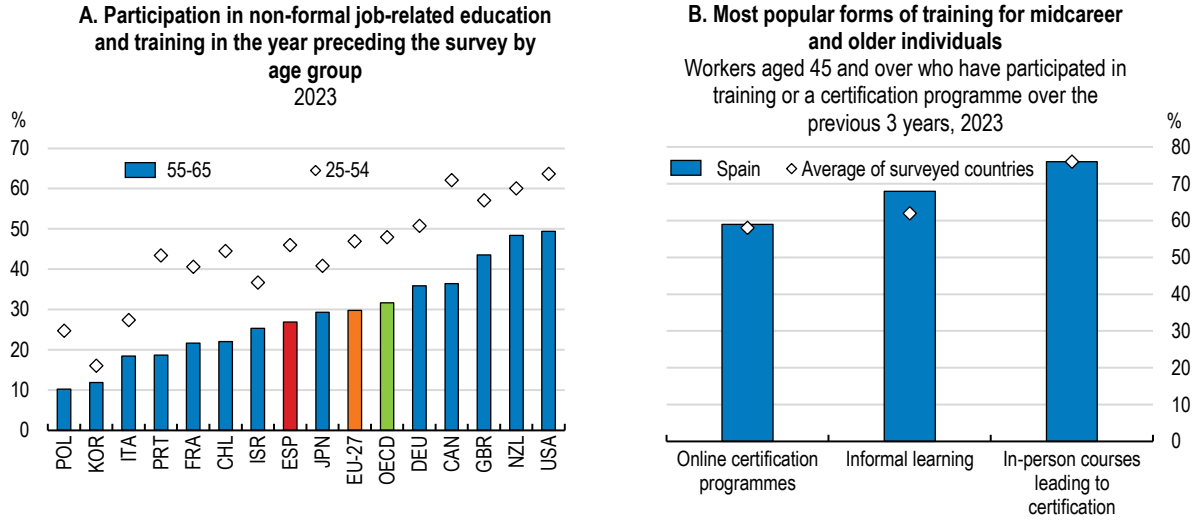
3.2.4. Upskilling and improving lifelong learning opportunities

Participation in activation, training and lifelong learning programmes among older workers remains limited, reducing employability and compounding skill obsolescence (Figure 3.4, Panel A), and participation is higher when in the form of in-person training leading to certification (Figure 3.4, Panel B). Improving the labour market opportunities of older workers requires a better match between older workers' skills and labour market needs. This can be achieved through strengthened active labour market policies for the unemployed and targeted training programmes for those employed, with a particular focus on sectors facing the greatest demand for skilled workers. Such measures not only enhance employability but also help attract talent where it is most needed. Participation in adult learning is comparatively low: only 27% of workers aged 55-65 take part in non-formal training over the year, compared to an average of 32% across OECD countries. Moreover, the participation gap between older and prime-age workers in Spain is the largest among the major OECD economies, at nearly 19 percentage points – well above the OECD average of 16 (Figure 3.4, Panel A). This gap reflects both demand- and supply-side constraints: older workers are less frequently offered training by employers and often lack incentives or support mechanisms to participate. Public employment services (SEPE) offer training programmes, but they are mostly focused on the unemployed, offering limited access to reskilling programmes for mid- and late-career workers, and poorly aligned with employers' needs. The plan to modernise VET includes adult learners but, despite on-going implementation, the uptake by older workers remains weak. The transformation of the VET system included significant reforms, such as expanding the range of training available and breaking it down into different levels to offer shorter, more modular options. These reforms aim to benefit all citizens, with a particular focus on those who require more tailored training opportunities, such as older workers. Nevertheless, public programmes aimed at lifelong learning remain fragmented across regions and are under resourced. Moreover, older workers are underserved by active labour market policies, despite facing the highest risks of long-term unemployment.

Digital skills are increasingly essential in almost every job, yet older workers in Spain rank poorly. Nearly one-third of those aged 55–65 lack basic computer skills, and only a small minority have ever used problem-solving

in technology-rich environments (OECD, 2024[16]). Without targeted digital training, this gap risks widening and accelerating early exits from the labour market.

Figure 3.4. Training is low among older workers while the most popular form is in-person training leading to certification



Note: Panel B: surveyed countries include the Czech Republic, France, Romania, Spain, Sweden and the United States.
Source: OECD Employment Outlook 2025; Generation & OECD (2023), Survey of employers and midcareer & older individuals.

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To boost employment opportunities for older workers, targeted lifelong learning and digital upskilling initiatives must be prioritised, together with active labour market policies more tailored to older workers' needs. The reform to the VET system significantly expanded formal, accreditable vocational training for both employed and unemployed individuals, offering flexible, modular options tailored to diverse backgrounds and needs. However, participation in adult learning programmes specifically tailored to older workers remains a challenge (Figure 3.4, Panel A). To boost participation in lifelong learning, Spain could build on recently introduced training microcredits offered by *Fundae* to expand individual training accounts or vouchers for older workers particularly those in low-wage or at risk-sectors. International experience shows that if well designed learning accounts help workers upskill (OECD, 2019[17]), (OECD, 2022[18]). To ensure impact, Spain should link training vouchers to labour market needs, provide support through public employment services and prioritise accessibility for older adults through flexible, modular course formats, particularly on sectors facing the greatest demand for skilled workers. To simplify the system, a dual training voucher scheme could be introduced—supporting older people in lifelong learning and empowering SMEs to upskill their workforce within a single, interoperable national platform, as explained in Chapter 2.

To strengthen digital skills, Spain could integrate digital literacy into adult learning and activation programmes, offering modular and accessible courses tailored to older learners, coupled with incentives for SME participation, especially in roles at risk of automation. Beginner-friendly courses on practical digital skills—such as online banking and communication apps—could be supported through intergenerational mentoring programmes, pairing seniors with young volunteers, as seen in Australia's Youngster.co initiative. Ensuring age-friendly delivery, including in person support, flexible scheduling and community-based access points, will be key to uptake and success. Spain could follow best practices from Finland, which embeds digital training into broader upskilling programmes, and Denmark, where local job centres provide dedicated digital boost courses for workers aged 50+. Spain's active labour market policies could be strengthened by developing specific activation pathways for older workers, with tailored, age-sensitive employment support and retraining.

3.3. Maximizing the labour market contribution of foreign workers

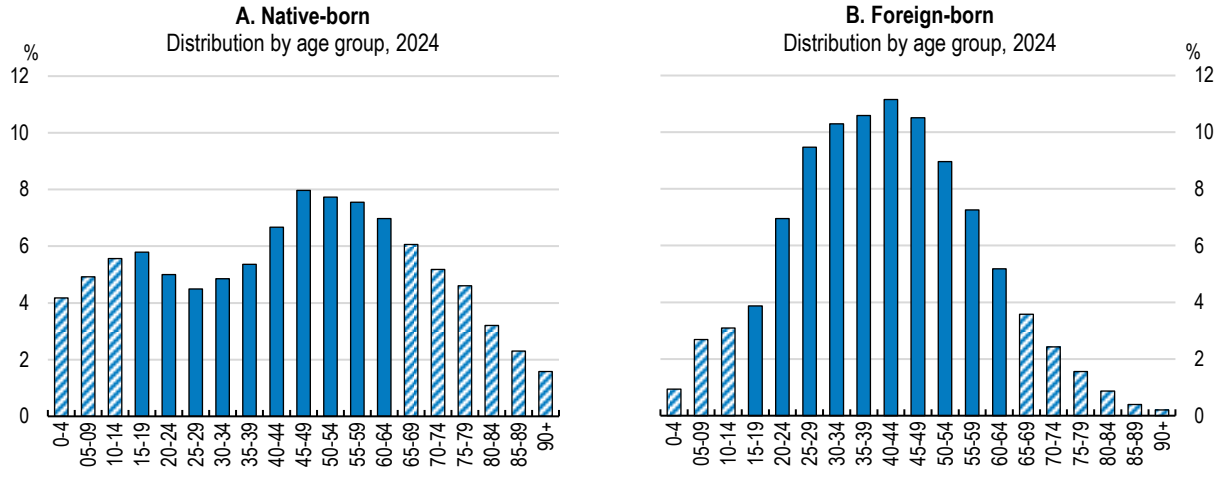
Spain is now one of Europe's main immigration destinations, with the foreign-born making up 18% of the total population in 2024, a share comparable to Germany and Belgium. Migration has helped offset the decline in the native-born population (Figure 3.5, Panels A and B) and has been a major driver of employment growth: from 2022 to 2024 foreign born workers accounted for approximately 45% of total employment growth (SEPE, 2025[19]). Immigration has also supported macroeconomic performance. Migrants filled a large share of new jobs, with the number of employed foreign born rising by 6.9% in 2024, compared to just 1.4% among Spaniards, contributing around 0.7 percentage points to annual GDP per capita growth between 2022 to 2024, primarily through the increase in the employment rate among foreign born workers (Cuadrado and Regil, 2025[20]). These demographic trends are expected to persist, with migration projected to partially offset the shrinking native population growth (INE, 2025[7,]). However, the long-term benefits of migration depend on the successful integration of migrants into quality jobs and their ability to contribute fully to the economy and society. Three priorities are essential: improving labour market integration, reducing underutilisation of migrant skills and aligning the migration system more closely with labour market needs, particularly considering the retirement of the baby boom generation.

3.3.1. Enhancing the labour market integration of migrants

Spain's labour market integration of migrants shows both strengths and structural gaps. Labour force participation among immigrants remains high, 69.3% in 2025Q3 compared to 57.6% among native workers, among the highest in the EU. Migrants are predominantly of working age and often find jobs quickly upon arrival, especially those from Latin America, who benefit from linguistic and cultural proximity. Around 68% of migrants find employment within one year of arrival (Cuadrado, Luis Gómez and Sastre, 2024[21]).

Figure 3.5. Immigration could help counter the impacts of an ageing workforce

Age distribution of the native- and foreign-born, 2024



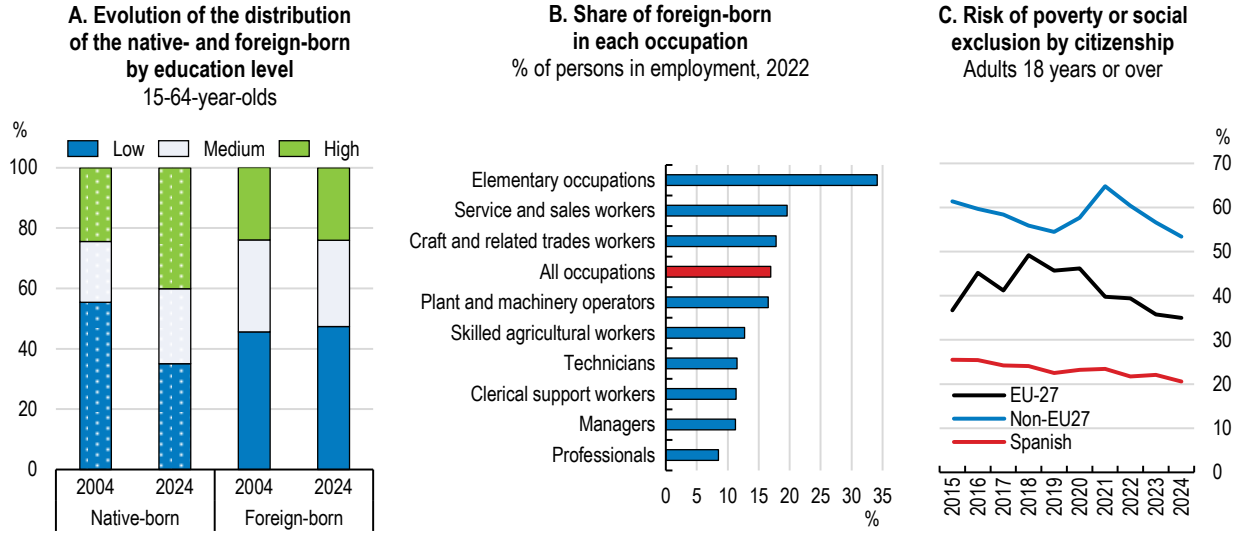
Source: INEI.

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However, these positive indicators obscure persistent gaps in job quality and inclusion. Migrants are heavily concentrated in low productivity and low pay sectors such as agriculture, hospitality, construction and domestic work, often regardless of their education and professional background (Figure 3.6, Panels A and B). Informality among undocumented migrants is important, as they typically lack access to social protection, face poorer working conditions and earn lower wages (MMC, 2025[22]). The number of temporary contracts among

migrant workers fell from 88% in 2021 to 43% in 2023. Despite this remarkable progress, among those with legal status, temporary contracts and part-time employment are more common than for nationals. Unemployment among non-EU migrants is also higher at 18.4% in 2024, compared to 10% for Spanish nationals. Over half of non-EU residents were at risk of poverty, versus 21% among the native-born (Figure 3.6, Panel C).

Figure 3.6. Foreign-born workers are an important share of the workforce, mostly working in low-skill occupations



Source: Eurostat; INE.

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Integration challenges extend beyond the first generation. Children of immigrants are more likely to face disadvantages in education, with higher dropout rates and lower academic achievement compared to peers with native born parents (OECD, 2023[23]). Key drivers include lower family income, school segregation, lower parental education, and limited access to educational resources. Without early and sustained educational support, these youth may face a future of continued labour market precarity. Policies should promote school integration by avoiding concentration of migrant students, providing targeted remedial education, and ensuring access to language training and tailored learning support.

Migrant women face specific and often compounding barriers to labour market integration, marked by lower employment, higher unemployment, job informality and sectoral segregation. As of 2024, the unemployment rate for non-EU migrant women stood at 17.8%, compared to 12.7 for Spanish women. They are disproportionally concentrated in low-paid jobs, such as domestic work, caregiving and hospitality, where work arrangements are often temporary and legal protection limited. Nearly 20.9% of non-EU migrant women hold temporary contracts, higher than both migrant men (18.9%) and native-born women, and they are more likely to work part-time. Many lack autonomous legal status, depending on a spouse or employer for residence permits, which limits their ability to change jobs or leave abusive situations (AIETI & Red de Mujeres Latinoamericanas y del Caribe, 2020[24]) (Barrerira et al., 2022[25]). Migrant women are especially vulnerable to the "child penalty" (Sánchez-Dominguez and Guirola Abenza, 2021[26]). Unlike native women, who often retain their jobs through long-term employment relationships and flexible arrangements with employers, migrant women—typically in short-term or precarious work— cope with care responsibilities by dropping out of employment altogether, reducing their labour market participation more than for native women. This highlights the relevance of continuing the expansion of affordable and quality childcare, as recommended in the 2023 Economic Survey of Spain, which remains essential to supporting the labour market participation of women, especially those in vulnerable or migrant situations.

Combined with their caregiving responsibilities and limited access to upskilling or language training, these factors reduce their labour market integration and increase their vulnerability to exploitation. To address this, Spain should facilitate earlier access to residence permits of women in vulnerable situations to improve integration. Providing targeted outreach, clear information, legal assistance, and streamlined administrative pathways would support inclusion. Moreover, expanding targeted training and job placement support to help migrant women access more diverse and stable employment beyond domestic and care sectors, would support their labour market integration and mobility.

Spain has recently introduced reforms, including the 2024-2025 Immigration and Integration Law and has strengthened the initiatives for hiring seasonal and circular migrant workers in origin. Spain's Foreigners Regulation reform, approved in November 2024, modernized Spain's migration system, focusing on integration, simplified procedures, improving labour market access for migrants, and expanding regularization pathways. Additionally, the Collective Management of Recruitment at Origin (GECCO) which is part of Spain's broader migration policy, offers important benefits such as legally recruited workers, multiyear visas and support for circular mobility and was also reformed. Recent reforms have aimed to strengthen worker protection, such as contract renewals with the same employer, accommodation standards, and flexibility for linking agricultural seasons, shifting away from natural-year contracts to ones with clearly defined start and end dates, better aligned with agricultural periods. In 2025, Spain expanded the programme through pilot projects in Mauritania, Gambia, and Senegal, aiming to strengthen circular migration. Additionally, the WAFIRA programme, which is a pilot initiative operating within GECCO, was designed to empower Moroccan rural women who participate in seasonal agricultural work in Spain. They receive entrepreneurship training, financial education, and soft skills development before departure. Both programmes have helped promote legal and orderly migration while supporting meaningful integration. By focusing on rights, training, reintegration, and building institutional trust, they provide a strong foundation for scalable, socially responsible migration models. Continuous evaluation of the programmes and drawing from the experience of those that have proved successful, such as the GECCO ones (ILO, 2025[27]), could be used to extend the programmes to additional countries and sectors. This could improve both labour market integration and the sustainability of circular migration. Additionally, and to more generally support effective integration, further efforts should focus on scaling up tailored services in language training, job placement and vocational orientation. Local initiatives, such as Madrid's migrant employment workshops, could be expanded. Stronger coordination between public employment service and local organisations could activate immigrants not currently in employment, education or training.

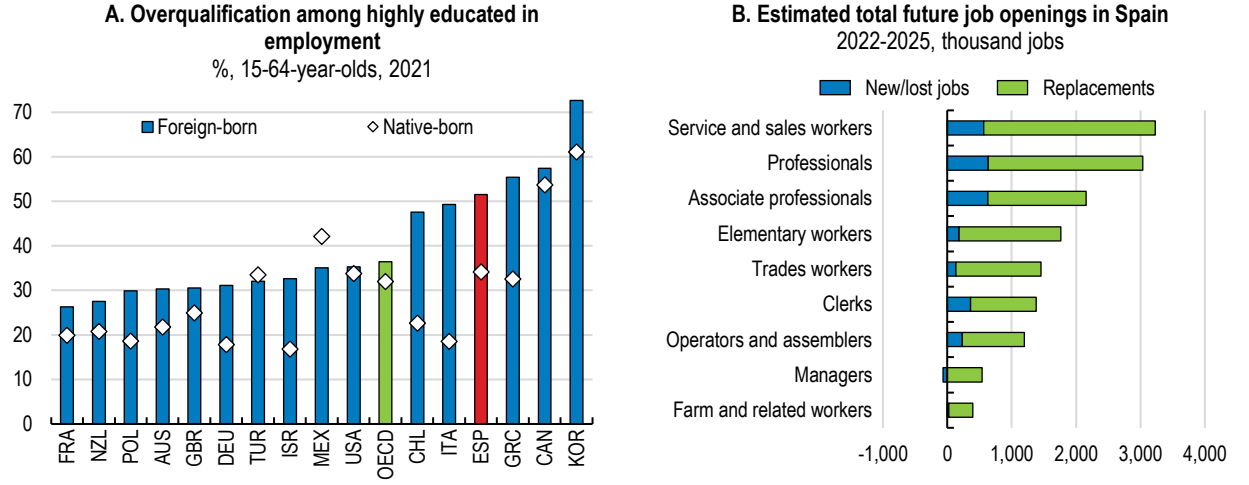
Spain is increasingly attracting more highly educated migrants but is failing to harness their skills. Around 50% of foreign-born workers with tertiary education were employed in low or medium skilled jobs (Figure 3.7, Panel A), often in sectors like domestic work, hospitality and construction. This skills mismatch reflects systemic barriers such as lengthy, burdensome and unclear processes for recognising foreign credentials (Finotelli and Rinken, 2025[28]) (Martín and Ramalho da Silva, 2024[29])). For example, highly qualified migrants (e.g. doctors engineers or teachers) may wait years to get their credentials recognised, or face additional exams and bureaucratic hurdles, during which time many end up taking lower skilled jobs. Enabling qualified migrants to work at their skill level would boost productivity, spur innovation, and improve job satisfaction while also making Spain a more attractive destination for global talent.

Despite 2022 reforms to streamline the homologation process for foreign university degrees, many migrants still face long delays, uncertainty and opaque criteria when attempting to validate degrees. Since then, the number of resolved homologation cases has nearly doubled, with the goal to process 80,000 homologation cases by 2025. Expanding staff in validation services, digitalising the application process and setting clear timelines would improve access and transparency enabling immigrants to access jobs aligned with their skills. Many Spanish universities offer administrative assistance, guidance on documentation, and help with the application process for homologation, especially when additional training or exams are required. Integrating more fully universities in the validation process, currently led by the Ministry of Universities, could help international students and professionals understand the steps, documentation, and potential work and

academic opportunities in Spain, like in France and Germany, where universities play an important role in degree recognition. Expanding bilateral or multilateral agreements with key countries to automatically recognize certain qualifications to expedite recognition processes could also be explored.

In parallel, introducing competency-based evaluations, such as Australia's Recognition of Prior Learning, even if costly, would help migrants who cannot formally document their skills. Skills profiling at arrival, combined with job placement support and public-private partnerships to deliver short and flexible courses could help migrants meet local certification standards and connect with employers facing skills shortages. Some countries like Canada, Norway and Belgium run skill bridge initiatives linking immigrant professionals with local mentors or fast track internships, and Spain could consider similar schemes.

Figure 3.7. Many foreign workers are overqualified for their job



Source: OECD, 2023, Indicators of immigrant integration, and CEDEFOP.

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3.3.2. A more responsive and strategic migration system

Spain's migration system has historically had limited alignment to actual labour shortages and often has been reactive, leading to mismatches and large informal workforce. For much of the 2000's, this system struggled to respond swiftly to new labour demand, for example booming sectors like care of the elderly and often faced work shortages. Spain's demographic trajectory means that labour supply will tighten in coming years, not only in terms of numbers, but also in terms of skills. The retirement of the baby boom generation is expected to create over 15 million job openings by 2035, many in medium and high-skilled occupations (Figure 3.7, Panel B) (CEDEFOP, 2025[30]). The existing migration model, which has effectively filled low wage jobs, must evolve to better address these gaps. A more strategic skills-based approach to migration will be essential to foster productivity.

Adapting the migration framework

In recent years Spain has taken steps to modernise and streamline its migration framework. Reforms since 2022 aim to make the system more agile and aligned with labour market needs. Key changes include the simplification of legal pathways and the creation and expansion of visa categories to attract workers and students. For example, a specific job seeking visa was introduced, allowing migrants to enter Spain to look for work in shortage occupations, valid 12 months to enhance chances to find a job. Moreover, initial work/residence permits are now granted for 1 year (renewable for up to 4 years) to provide greater stability for both migrants and employers. Administrative procedures for employers to hire foreign talent have been

streamlined. A dedicated seasonal work permit contract was created to facilitate repeat hiring of foreign seasonal workers with provisions to protect their rights. The *arraigo* system (roots-based regularisation) has also been expanded to include new categories enabling faster regularisation for migrants with social, family and educational ties to Spain, reducing the required time of residence from 3 years to 2 years, making it easier for immigrants in irregular status to more swiftly obtain legal work permits. In particular, the *arraigo sociolaboral* now requires only a 20-hour work contract, the *arraigo socio-formativo* allows study and work up to 30 hours per week, and a *second-chance arraigo* is available for those who lost their permit recently. In 2024, over 313,000 individuals were regularised under *arraigo*, a 31% increase from the previous year. Additionally, in January 2025, the government also established an inter-ministerial commission to address irregular immigration.

While these reforms aim to address long-standing gaps, the system remains largely reactive. Overreliance on regularisation pathways, although often necessary, can entrench informality and generate legal uncertainty. Spain should prioritise simplifying pre-arrival work visa procedures, increasing bilateral labour agreements and strengthening oversight to reduce abuse. Moreover, to ensure the swift implementation of the recent regulatory changes, adequate resources should be devoted to immigration offices and consulates to speed up processing times for work permits and visas. Digitalisation of application processes could be used to reduce paperwork and corruption risks. Finally, increasing oversight to reduce the prevalence of precarious and informal contracts is key through more frequent, targeted, and well-resourced inspections, particularly in high-risk sectors.

The quota system and the catalogue of hard to fill occupations, while useful in principle, are underused and poorly aligned with actual labour market demand. Most work permits are issued to foreign workers identified directly by employers. 10% of work permits are issued through the quota system, a mechanism that establishes an annual limit on the number of non-EU foreign workers who can be recruited for employment in Spain, with selection done in cooperation with authorities in origin countries. The quota is negotiated by employers, unions, and the administration. This recruitment channel lacks flexibility, suffers from a heavy bureaucratic burden, and is not fully aligned with labour demand (Finotelli and Rinken, 2025[28]), but also because the anonymous centralized recruitment process many not align with employers typical hiring practices.

The catalogue of hard to fill occupations is published quarterly by the public employment service (SEPE) and if an employer wants to hire a non-EU worker for a job listed in the catalogue, the visa process is streamlined, which is in line with best practice approaches in France and some Belgian regions. In 2024 changes to the catalogue made the system more agile, by shortening the time to include occupations, and improving the methodology to identify these occupations. However, despite these improvements and quarterly updates, the catalogue often fails to reflect real-time needs. This may relate to how it is governed, with a strong role for public employment services and social partners to include an occupation on the hard-to-fill occupation lists (Finotelli and Rinken, 2025[28]). While hiring is still possible outside of the catalogue, the administrative burden and uncertainty may deter firms, especially SMEs, from using this channel. Expanding the catalogue to cover more sectors and professions, especially ICT, health care and other high demand areas is advisable, together with continued efforts to streamline the process for employers to report persistent vacancies and proposing new occupations to include.

Attracting and retaining high skilled workers

Spain's ability to attract high-skilled talent remains limited. Only 1% of migrants entering Spain for work are classified as highly skilled and the country ranks low on the OECD Indicators of Talent Attractiveness (ITA) in 2023. While recent reforms have made it easier for international students to work after graduation, including automatic work permits for highly educated students, extended working hours, and the removal of the three-year residency requirement to switch from student to work permits, further measures are needed to make

Spain more competitive for global talent, particularly as the demand for highly qualified workers in Spain is projected to increase.

Key improvements include simplifying the process for recognising credentials, including of professional qualifications, simplifying administrative procedures and digitalising visa processes. Spain should also more actively engage with European initiatives. Starting in 2023, Spain implemented the 2021 EU Blue Card Directive harmonising options for skilled workers. However, compared to countries like Germany (78% of total EU issuance in 2023), or France (4%), its uptake in Spain has been low (less than 0.01%) due to more accessible national permits with less stringent requirements. Yet, in terms of authorisations for non-EU citizens wishing to study or conduct research, in 2023 Spain ranked third in the EU, accounting for 12% of all such permits. It also ranked fifth in issuing intra-corporate transferee permits, which allow non-EU employees to be posted from companies operating outside the EU—a smaller but growing category. Continuing the promotion of the Blue Card to employers (especially in ICT, engineering and health sectors) and making full use of the flexibility allowed under the revised EU Card Directive to publish a list of shortage occupations benefiting from lower salary thresholds, would improve take up and position Spain as a more attractive destination of global talent. Finally, new initiatives like the EU Talent Partnerships and the forthcoming EU talent Pool could be leveraged to better match labour market needs with skilled candidates from abroad.

Table 3.2. Policy recommendations from this chapter (Key recommendations in bold)

MAIN FINDINGS	RECOMMENDATIONS
Increasing older workers' employment	
Unemployment is a de-facto early route to retirement for many older workers. Despite recent reforms to the unemployment benefit scheme, for those 52 and older, re-employment is discouraged by benefits from unemployment assistance that are unlimited in time, not targeted to poor households, pension rights continue to accrue after expiry of unemployment insurance entitlements, and exceed those earned in low wage jobs.	**Reform the non-contributory unemployment assistance so that workers of all ages receive equal support, restricting pension accrual to the unemployment insurance phase only, introducing household means-testing, gradually tapering benefit levels, limiting duration, and enforcing active job search requirements.**
Recent reforms to the training system were introduced, yet participation in lifelong learning among older workers remains low, particularly for the low skilled, due to limited incentives, accessibility and relevance of training offers.	**Introduce individual training vouchers for older workers, co-funded with employers and focused on sectors with labour shortages or technological change**.
Older workers in Spain have low digital proficiency, limiting their ability to adapt to changing work requirements, and contributing to early labour market exit.	Expand targeted digital training for older workers, including modular accessible courses linked to in-demand skills.
Maximizing the labour market contribution of foreign workers	
Spain has recently introduced reforms to expand legal migration pathways and regularisation, but significant barriers to labour market integration persist, including low job quality, high informality and weak social mobility. Moreover, a surge in regularization and permit applications is expected following the reforms.	Ensure sufficient administrative capacity to manage rising permit applications, while scaling up early integration support in language training, job search assistance and vocational orientation.
Migrant women are overrepresented in irregular and precarious jobs, face discrimination, low access to support services and gender-based violence due to their irregular status.	Strengthen anti-discrimination enforcement and provide targeted training for migrant women to diversify employment beyond care and domestic work.
Many well-educated migrants work in low-skilled jobs due to lengthy, uncertain, and burdensome procedures to recognise foreign qualifications.	**Simplify and accelerate degree recognition through digitalisation, clear timelines, and increased staff capacity.**
Spain's seasonal GECCO and WAFIRA programmes offer benefits as legally recruiting workers, multiyear visas and support for circular mobility. They are regarded as successful circular migration programmes.	Explore expanding the seasonal GECCO programme to other countries and sectors.
Spain's ability to attract high-skilled talent remains limited and Spain ranks low on international talent attractiveness, while underusing EU-level mechanisms to attract talent.	Continue promoting the use of the EU Blue Card scheme, the EU Talent Partnerships and the forthcoming EU Talent Pool to address workforce demands.

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ESTRATEGIA
DE SOSTENIBILIDAD
AMBIENTAL
MADRID
360
LÍNEA CERO
CERO EMISIONES
CERO COSTE

4 Strengthening climate resilience and accelerating decarbonisation in Spain

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As one of the most climate-exposed countries in Europe, Spain faces growing risks from droughts, floods, and heatwaves. Spain must strengthen adaptation measures to manage these impacts. Scaling up investment in protective infrastructure and aligning water pricing with actual scarcity will be critical, especially in agriculture. Spain is a frontrunner in the expansion of renewable electricity generation, which accounted for over 50% of the mix in 2023, helping improve the economy's competitiveness. Despite recent measures, grid congestion and low but growing curtailment could slow further expansion. To boost gains from variable renewables, accelerating investment in grid infrastructure and enhancing system flexibility will be key. Increasing investment in low-carbon transport infrastructure and phasing out fossil fuel subsidies by aligning all fuel taxes with their carbon content is also needed to further decarbonize the economy.

4.1. Introduction

Spain faces a dual climate challenge: despite progress in recent years, it must intensify mitigation efforts to meet its greenhouse gas reduction targets and contribute to limit global warming, while also strengthening adaptation to intensifying climate impacts. Even with ambitious decarbonization, as one of the most climate exposed countries in Europe, climate risks such as prolonged droughts and heatwaves, floods and storms, and wildfires will intensify in the years ahead even if global pledges are fully met (OECD, 2024[1]). Addressing both dimensions is essential to safeguard economic stability and protect vulnerable regions and sectors. Well-designed adaptation cuts today's losses and preserves public support for ambitious decarbonisation, while least-cost mitigation tempers tomorrow's adaptation costs and eases fiscal pressure (OECD, 2021[2]).

This chapter reviews progress on adaptation and mitigation policies and sets out priorities to accelerate the green transition while building resilience to climate impacts. The first section diagnoses Spain's exposure and vulnerability to the five hazards that drive most climate-related damage—floods, storms, heatwaves, wildfires and droughts. It assesses existing planning, investment and insurance frameworks against emerging OECD practice. The second section presents the mitigation challenges. It reviews the cost-effectiveness of Spain's current decarbonization plans and identifies potential reforms.

4.2. Improving adaptation to climate change

Spain is among the European countries most exposed to the impacts of climate change, experiencing some of the most severe human and economic losses (Figure 4.1). Rising temperatures, declining rainfall and increasing frequency and intensity of extreme events and sea level rise pose serious threats to the economy, society and ecosystems. Average temperatures have risen notably, prolonging summers by nearly five weeks compared to the 1980s, with over 80% of the population regularly experiencing extreme heat events. Cropland soil moisture declined by an average of 1.4% between 2017 and 2021, exacerbating drought risks, especially in southern regions. Additionally, Spain faces significant coastal erosion due to rising sea levels, and over 60% of its forested areas are now at extreme wildfire risk (MITECO, 2021[3]). Four climate hazards, in particular, droughts, floods, heatwaves and wildfires, stand out both in their severity and frequency, with wide regional variation, exposure and vulnerability. Moreover, Spain's high share of arid and semi-arid land, extensive coastline, ageing population and reliance on climate-sensitive sectors such as agriculture and tourism magnify the country's vulnerability.

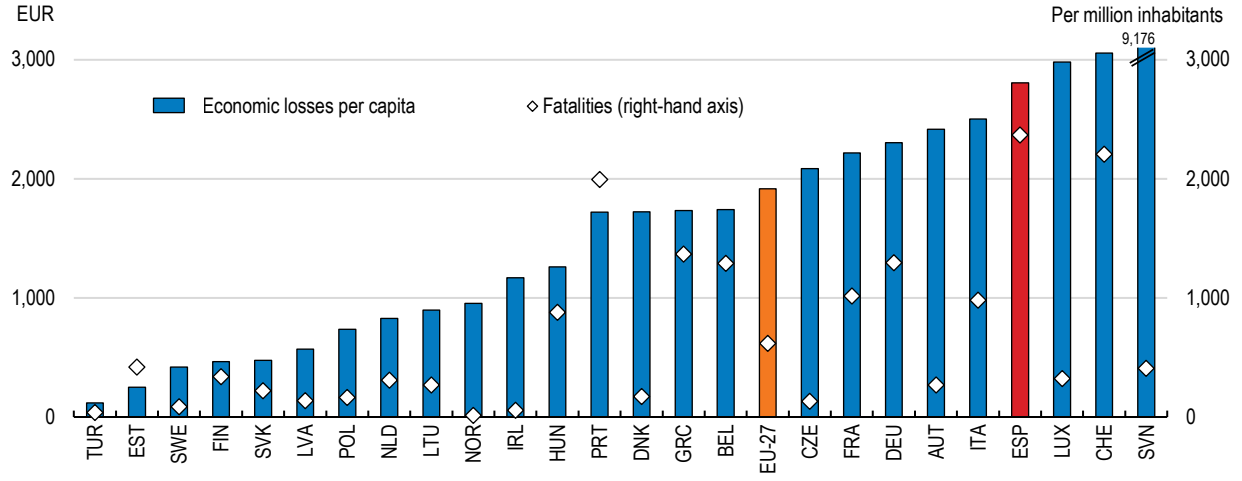
Adapting to these risks requires strengthening Spain's resilience to climate change. Spain was one of the first countries in the EU to recognize the urgency of climate adaptation, and it established a national framework to guide and prioritize efforts. Spain's adaptation policy, outlined in the National Plan for Adaptation to Climate Change, is well aligned with EU best practices and provides a solid strategic framework with broad sectoral coverage and clear risk identification (PNACC, Box 4.1). By fostering cross-sectoral coordination, research, and stakeholder engagement, the PNACC aims to mainstream adaptation policies across governance levels and mobilize resources to enhance resilience in the face of worsening climate impacts. However, its implementation remains uneven, particularly at the regional and local level, due to limited capacity, fragmented responsibilities, insufficient integration into sectoral policies and budgets, and losses that are not properly provisioned.

Losses from climate-related disasters in Spain are insufficiently provisioned, leading to considerable fiscal risks. Underinvestment in preventive measures exacerbates these vulnerabilities, despite strong evidence that adaptation investments offer high economic returns. Benefit-cost analyses of European disaster risk management projects frequently demonstrate ratios between two and ten, sometimes exceeding 20, underscoring significant potential savings in avoided damages and co-benefits (The World Bank, 2021[4]). Moreover, inequalities in adaptation capacity persist across regions, sectors, and populations, disproportionately affecting elderly and low-income groups.

Realizing the economic and social benefits of adaptation requires scaling up investments in resilience infrastructure, disaster preparedness, and nature-based solutions. Spain's National Adaptation Plan emphasizes integrating sector- and hazard-specific measures into urban planning, water resource management, and infrastructure resilience strategies. Effective coordination between national, regional, and municipal authorities is vital to align these adaptation measures with broader developmental and environmental goals (MITECO, 2021[3]). Enhanced investment and improved institutional coordination will enable Spain to build the resilience necessary to mitigate climate impacts, ensuring economic stability and social equity.

Figure 4.1. Climate related economic losses and fatalities are among the highest in Europe

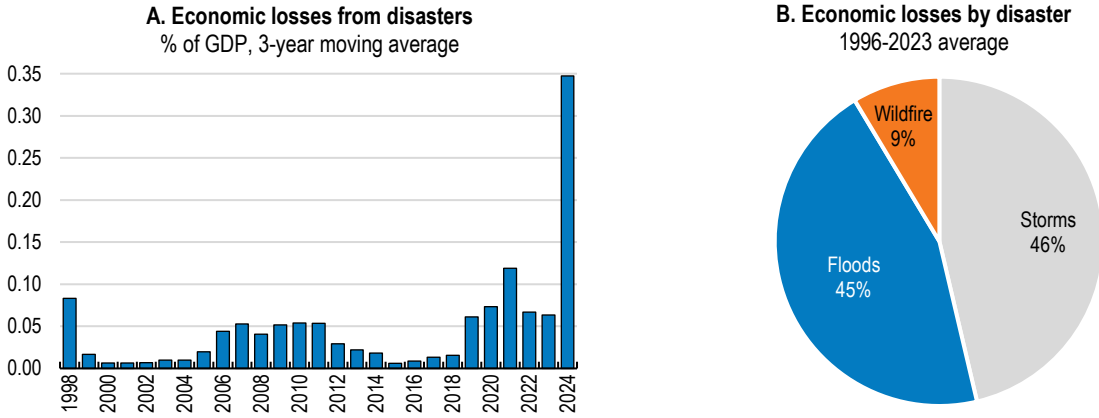
Economic losses per capita and fatalities per million inhabitants over the period 1980-2024



Note: EU-27 refers to a population-weighted average and excludes Malta. Economic losses presented in constant 2024 EUR.
Source: European Environmental Agency.

StatLink https://stat.link/x9jvm1

Figure 4.2. Disasters have become costlier in Spain



Note: Disasters exclude earthquakes. Panel A: The value for the year 2024 is an estimate. The economic losses refer to insured losses only. Droughts are excluded from the analysis yet are among the costliest disasters but whose effects are harder to quantify.
Source: OECD and Swiss Re, sigma database. All rights reserved.

StatLink https://stat.link/ufk157

Box 4.1. Spain's framework for climate resilience

The National Plan for Adaptation to Climate Change (*Plan Nacional de Adaptación al Cambio Climático*, PNACC) was first introduced in 2006 and has since been updated, with the latest version covering the period 2021-2030. The PNACC serves as the strategic framework for evaluating climate impacts, vulnerability, and adaptation actions across different sectors and governance levels. It provides guidance for national, regional, and local administrations to develop and implement adaptation measures that align with Spain's broader environmental and economic policies.

The plan sets three overarching goals:

1. Reducing Spain's vulnerability to climate risks,
2. Integrating adaptation into all relevant public policies, and
3. Enhancing knowledge, innovation, and public participation.

It operates through multi-level governance, with the central government coordinating efforts via the Spanish Office for Climate Change (OECC), while autonomous communities and municipalities design and implement region-specific adaptation strategies. Sectoral adaptation work programmes focus on key areas, including water resources, agriculture, forestry, biodiversity, coastal zones, infrastructure, health, and tourism.

To translate strategic goals into action, the PNACC is implemented through five-year work programmes, which outline specific actions, responsible institutions, and monitoring mechanisms. The plan also emphasizes climate data and risk assessment tools, such as the Spanish Climate Change Scenarios Platform, to support evidence-based policymaking. Recognizing the importance of local adaptation, Spain has developed guidelines for municipalities, encouraging cities to integrate climate resilience into urban planning, water management, and disaster risk reduction.

Source: Plan Nacional de Adaptación al Cambio Climático, PNACC.

4.2.1. Strengthening fiscal resilience to climate risks

The increasing frequency and severity of climate-related events poses risks to Spain's public finances. The costs of climate-related disasters have increased in the past two decades in Spain, as in the rest of the EU (European Environment Agency, 2024[5]). Droughts are among Spain's costliest natural hazards, but their slow-onset and diffuse impacts and across sectors make direct loss estimates notoriously difficult to pin down (OECD, 2025[6]). Floods and storms were the costliest disasters, they account together for around 80% of direct economic damages in the past 25 years. The October 2024 flood in Valencia was the costliest disaster in the past decades, causing 232 deaths, direct damages of around EUR 4.8 billion and total damages nearing EUR 17 billion (1.1% of GDP). Winter storms and floods have repeatedly caused losses exceeding EUR 0.85 billion yearly in the past two decades, based on OECD calculations using Swiss Re data. Compared to other EU countries, Spain ranks among the most affected in terms of economic losses per capita (Figure 4.2). Spain also has a high number of fatalities per million inhabitants. This underscores the need for stronger adaptation measures to mitigate both the human and economic toll of extreme weather events.

Spain's disaster financing framework is widely regarded as a best practice model internationally, thanks to the strong performance of the *Consorcio de Compensación de Seguros* (CCS). The central element of its disaster compensation framework is the public-private insurance system managed by the CCS, a state-owned insurer that guarantees coverage in situations where private insurability is limited, including extraordinary natural-disasters, and facilitates universal insurance for individuals, families, and businesses by substantially reducing insurance costs. It is funded through a mandatory surcharge on all property, life, and accident insurance policies issued by private insurers, which results in high coverage, with around 75% of Spanish property is

insured and therefore subject to the CCS surcharge, a high level of coverage compared to the OECD average. The system enables fast, automatic payouts and helps limit public liability for disaster recovery. The CCS's financial strength and operational readiness have proven effective in events such as the 2024 Valencia floods.

When disasters happen, the CCS can efficiently and quickly compensate losses using its accumulated reserves and this system has demonstrated resilience and sufficient capacity to cope with current climate risks. However, as disaster frequency and severity increase, maintaining the system's financial sustainability is essential. For major disasters, Spain relies heavily on ex-post public disaster financing, including emergency lines and ad hoc budget reallocations. Unlike pre-arranged instruments such as contingency reserves or catastrophe bonds, this approach creates fiscal uncertainty and weakens incentives for long term resilience. Strengthening risk financing frameworks would improve preparedness, reduce budgetary volatility, and protect fiscal space for adaptation.

Spain's risk insurance system ensures broad coverage. The catastrophic risk coverage system in Spain is developed on two levels within the same insurance policy. At the first level, it is the private insurance companies who carry out the risk selection and estimate the premium based on risk exposure. At a second level, the CCS covers through a uniform price per insured risk class, achieving a high penetration of catastrophic risk insurance and a high pooling across the Spanish territory. International experience shows that maintaining risk pooling and solidarity can be compatible with targeted pricing adjustments. As part of its catastrophic damage prevention efforts, the CCS is encouraged to carry out prevention promotion actions in the riskiest areas. Linking payouts or central-government grants to local risk-reduction efforts, as in some OECD countries such as Australia, Canada, France and the United States (OECD, 2023), could support resilience without undermining the system's core principles.

To strengthen fiscal preparedness for climate-related disasters, Spain would benefit from a more strategic and proactive financial approach. This includes establishing contingency funds explicitly earmarked for climate-related emergencies and exploring sovereign risk instruments such as catastrophe bonds to diversify sources of disaster financing. Consistent with forthcoming obligations under Directive 2024/1265/EU, embedding systematic assessments of climate-related macro-fiscal risks and contingent liabilities within the medium-term budgetary planning —and publishing the associated fiscal costs—would enhance transparency and fiscal preparedness. Contingency funds could be financed through a modest earmarked annual budget transfer. While earmarking fiscal resources requires careful design to avoid inefficiencies and trade-offs with other spending needs, doing so can enhance fiscal preparedness and speed of response. Integrating climate-related risks and contingent liabilities into medium-term budgetary frameworks, along with clear guidelines for climate resilient investment can improve fiscal predictability and support more efficient and timely responses to disasters. Additionally, developing clear guidelines for climate-resilient public investment planning, including systematic cost-benefit analyses that account for financial risks associated with disasters, would facilitate more informed investment decisions and efficient use of public resources.

Enhanced coordination mechanisms across levels of government should complement these fiscal instruments, clearly defining roles and responsibilities in disaster risk financing. Recent experiences have demonstrated that tensions between the central government, regions, and municipalities complicate rapid and effective responses during crises. Implementing ex-ante cost-sharing arrangements, increasingly common in OECD countries (OECD/The World Bank, 2019[7]), could facilitate a clearer allocation of responsibilities for rehabilitation and reconstruction of subnational public infrastructure. For example, in Canada and Mexico, ex-ante arrangements establish that the central government provides up to 50% (in Mexico) and between 50-90% (in Canada) of the costs of rehabilitation and reconstruction of sub nationally owned public infrastructure. In Australia, once state disaster costs exceed an agreed threshold, then federal funds are activated to cover 75% of eligible expenses. Moreover, providing technical assistance to municipalities to develop and finance local adaptation plans can enhance local capacity and improve the quality and feasibility of adaptation projects.

4.2.2. Floods and storms are a growing and costlier threat

Floods and storms are Spain's most destructive natural hazards (Figure 4.2)The country faces multiple types of flood risks, fluvial (river), pluvial (surface water) and coastal flooding, with significant regional variation in exposure. Extreme precipitation events often overwhelm urban drainages and river basins, resulting in flash floods and prolonged inundations. Five autonomous communities are particularly exposed to river flooding (Figure 4.3). Coastal provinces in the north and east face growing risks from storm surges (north) and inland flooding (east). Intense rainfall events, often concentrated in short periods, lead to flash floods, especially in the Mediterranean areas, while sea level rises, and storm surges are a growing threat to low-lying coastal zones. Urbanization of flood-prone areas has increased the exposure and the costs of floods.

Flood risks are expected to increase due to continued urbanization and more frequent extreme precipitation that comes with climate change. Climate projections suggest rising sea levels and shifting storm patterns could increase the frequency and intensity of coastal flooding (IPCC, 2022[8]). Shifting rainfall patterns combined with reduced soil moisture suggest a decreased ability for land to absorb heavy rainfall, thus increasing the frequency and severity of flooding.

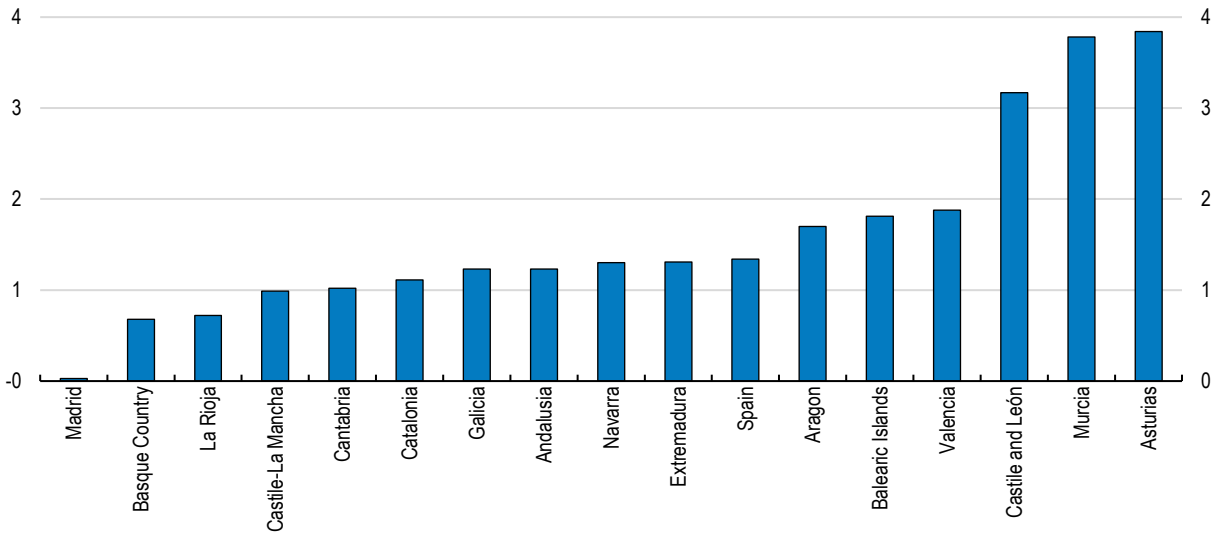
Spain has a well-developed framework to identify risks and prioritize policies and investments to mitigate the effect of floods. Governance of flood risk involves a broad range of stakeholders, notably the river basin authorities (Confederaciones Hidrográficas), regional governments and municipalities. Flood Risk Management Plans (FRMP), developed under the UE Floods Directive, provide a strong foundation for identifying high risk areas, prioritizing investment, and informing land use planning. These plans are grounded in robust risk assessment and cost-benefit analysis and coordination mechanisms. Early warning systems, such as the Automatic Hydrological Information System (SAIH) provide real-time flood risk updates and are coordinated among stakeholders. Systematically integrating high-resolution earth-observation data (e.g. Copernicus Sentinel imagery) into flood-hazard modelling and land-use planning—especially in catchments with sparse gauges—would further improve the evidence base for investment and zoning decisions (Alonso-Robisco et al., 2024[9]).

Despite this strong institutional architecture two key challenges undermine the effectiveness of Spain's flood risk strategy. First, implementation of planned investments is often delayed or deprioritised, particularly flood protection. In some cases, river basin authorities have selected flood protection measures through cost-benefit analyses, yet they face lengthy and complex procedures that slow delivery or impede starting works. In other cases, local environmental concerns contribute to reluctance to pursue infrastructure, despite an identified need of structural investments. Second, land-use incentives at the local level often run counter to national flood risks objectives. Risk signals in high-exposure areas may be muted due to national pooling of risks on largely uniform insurance pricing terms. A careful adjustment of insurance-premia to better reflect risk can reinforce prevention while preserving universality. Introducing local accountability mechanisms — such as risk-based insurance surcharges partly borne by municipalities that authorise construction in flood-prone zones— would help internalise these costs and discourage further exposure.

Adaptation to floods can be significantly improved through a balanced portfolio of investments combining structural measures, nature-based solutions, and improved governance incentives. Firstly, land-use planning could benefit from being more rigorously enforced, ensuring alignment of local development decisions with national and river-basin flood management strategies. Strengthening zoning regulations to prevent construction in vulnerable areas, complemented by financial penalties or reduced disaster aid for non-compliant municipalities, could curb risky developments. Calibrating insurance design can reinforce prevention while preserving solidarity: phase in more risk-reflective premiums, consider tighter limits for repeat-loss properties in high-hazard zones, and offer premium credits or co-financing for private flood-proofing. These adjustments would better align local development choices with national flood-risk objectives.

Figure 4.3. In Spain, some regions are particularly exposed to river flooding

Population exposure to river flooding in a 10-year return period, % of the population, 2020



Source: Ministerio para la transición ecológica y el reto demográfico.

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Secondly, investment in flood protection infrastructure is crucial. To further mitigate the effects of extreme precipitations, additional investments are needed in large-scale water retention and storage infrastructure selected by relevant authorities on a rigorous cost-benefit analysis that includes environmental effects. This includes dams, retention basins, and upgraded drainage systems. While dams can be a solution to increase water supply during dry spells, they are not an effective measure in a context of projected decrease in precipitation. Alternative approaches can also be explored, including investments in land restoration and protection to maintain and enhance natural groundwater storage. A dual strategy combining large infrastructure to manage extreme events with smaller, decentralized systems for regular flooding is recommended, as evidenced by successful international practices from the Netherlands and Australia (The World Bank, 2021[4]).

Public investment towards climate adaptation projects generates high returns, particularly when directed towards projects selected on a rigorous cost-benefit analysis. To fund further investments, revenues could be secured through a specific water tariff and, —subject to detailed feasibility, property tax surcharges (IBI) on developments in flood-prone regions. Given housing-market tensions, any IBI surcharge would undergo a rigorous impact assessment and, if affordability risks are material, alternatives—such as a flood-risk levy on water bills, risk-based developer contributions, or targeted budget transfers—should be preferred to finance adaptation without distorting the housing market. Many structural infrastructure projects such as dams and water retentions, identified as necessary in river basin plans, face long delays due to complex administrative procedures and slow environmental authorisation processes. This results in under-execution of investments that contribute to adaptation, even when cost-benefit analyses are favourable (Rodriguez, 2024[10]). Streamlining environmental and regulatory assessments could accelerate the implementation of priority infrastructure projects, addressing the current delays that compromise Spain's flood resilience.

4.2.3. Increasing droughts require stronger incentives for efficient water use

Spain is one of Europe's most exposed countries to chronic water stress (Figure 4.4, Panel A). Long-term trends show a significant decline in annual rainfall and snowpack, combined with rising temperatures and

evaporation rates (Jiménez-Donaire, Giráldez and Vanwalleghem, 2020[11]). Soil moisture in southern Spain has decreased significantly (Figure 4.5) intensifying water stress in agriculture. Water scarcity disproportionately impacts agriculture but also industry and tourism, and its geographical impacts are felt stronger in southern regions like Murcia, Andalusia, as well as Cataluña, with the latter recently facing severe drought stress. The gradual nature of droughts losses makes them less visible than abrupt events, but their cumulative effect reach EUR 1,5 billion annually in Spain (Cammalleri, 2020[12]).

Compounding water scarcity, desertification now affects around 74% of Spain's territory, generating considerable costs for households, businesses, and infrastructure (MITECO, 2022[13]). Desertification lowers agricultural productivity, raises wildfire risks, and worsens flooding through reduced soil absorption capacity. Water intensive sectors, such as agriculture, particularly in the south and southeast, are particularly vulnerable. Recent municipality-level evidence shows that a 1 % increase in aridity reduces bank lending to non-financial corporations by around 0.2 % over the medium term, with agriculture hardest hit (Broto and Hubert, 2025[14]).

Table 4.1. Past policy recommendations on water management

MAIN FINDINGS AND RECOMMENDATIONS	Actions taken since 2023
Improve the use of water price signals and water governance by widening participation of stakeholders in river basin authorities to include more scientists and improving the efficiency of water supply and treatment services by benchmarking regulation of water utilities.	No significant reforms were implemented to strengthen price signals or improve cost recovery.
Water quality is poor with toxic levels of nitrates concentration spreading because of intensive agriculture production. Securing water is also a worsening problem in parts of the country afflicted by persistent drought. Recommendation: Promote a more efficient use of fertilizers by increasing taxes or improving their regulation. Encourage a better use of water through more efficient irrigation, reusing and recycling water or increasing water pricing for irrigation.	Through the Recovery Plan and EU funds, 2.4 billion euros were committed to modernize irrigation systems, however, no action has been taken to strengthen economic instruments such as fertiliser taxes or irrigation water pricing. New regulation was approved in late 2022 (Real Decreto 1051/2022), to promote a more efficient use of fertilisers. Launch a study group on agricultural good-practice codes to reduce nitrate pollution.
Increase the share of R&D in water-related technologies.	No action taken.

Spain has significantly improved water management over recent decades and has a relatively advanced institutional framework for water management, in line with the EU Water Framework Directive. As a result, leakage rates have declined, though they remain above OECD averages (Figure 4.4, Panel B). Additionally, Spain has effectively developed alternative water sources, including widespread water recycling and extensive desalination facilities, reducing pressure on traditional freshwater resources and enhancing resilience during drought periods – with the notable example of the Murcia region where almost 90% of urban water is recycled for agricultural use. However, implementation challenges persist, and four key policy areas show room for improving water allocation and supply, in particular overextraction of water and unsustainable demand, fragmented governance, slow uptake of demand side solutions and unequal adaptation capacity.

Addressing overextraction and unsustainable water demand

Groundwater depletion is widespread, with many aquifers overexploited particularly in tourist and intensive-irrigation areas. Water pricing provides minimal incentives for users to reduce consumption. Despite growing scarcity, water pricing often fails to reflect water scarcity or environmental costs leading to inefficient use. Water tariffs across agriculture, industry, and households are systematically subsidized, rarely recovering even basic operational costs, let alone reflecting capital costs nor environmental scarcity costs (OECD, 2020[15]).

Agriculture, consuming around three-quarters of national water, is at the heart of the inefficiency. Farmers rely primarily on administrative water allocations rather than marginal pricing, facing virtually no incentives to optimize water use. In cases where marginal pricing exists, agricultural users face tariffs as low as EUR 0.005 per cubic meter—around half their marginal operational cost and approximately 400 times lower than urban water prices. Moreover, these marginal prices are two to three orders of magnitude below the shadow price,

highlighting a profound disconnect from the true economic value of water (Murillo, Gracia and Baccour, 2023[16]).

The absence of effective marginal pricing and tradability of water rights discourages a wider adoption of investments in water-efficient technologies such as drip irrigation, leading to excessive extraction and poor resource allocation (Gruère, Ashley and Cadilhon, 2018[17]). A key bottleneck to introducing marginal pricing is the lack of a metering infrastructure. While introducing metering in agriculture entails substantial upfront investment, evidence suggests Spanish farmers are willing to pay between EUR 0.16 and 0.18 per cubic meter for enhanced water security (Sala Garrido et al., 2020[18]). The installation of meters has been identified as a major necessity for improving resource use and has become a condition for newer irrigation modernization subsidies under the Spanish Recovery, Transformation and Resilience Plan. Moreover, implementing and expanding market-based mechanisms, such as tradable water rights or auctions, could encourage efficient water allocation and incentivize conservation. Successful international examples, notably from Australia and Israel (Box 4.2), show that economic incentives coupled with technological investments can significantly reduce water scarcity impacts (OECD, 2021[19]).

Urban water tariffs in Spain, although varying regionally, are also among Europe's lowest at approximately EUR 2 per cubic meter—substantially below the EU average (EUR 3.5) and neighbouring France (EUR 4), despite France experiencing lower water stress (EurEau, 2021[20]). Aligning tariffs closer to true costs would better reflect scarcity, promoting efficient water use and long-term sustainability.

Policy efforts have historically focused on increasing supply, via reservoirs, desalination and water transfers, more recently focusing on improving water efficiency and curbing demand. Recent investments in irrigation modernisation improved water use efficiency and enabled precise, plant level fertigation. Greater use of soil-moisture and water-quality monitoring is reducing water and fertiliser use, while nature-based measures (e.g. native vegetation for retention and erosion control) add further savings. Despite this progress, there is still insufficient uptake of water saving technologies, smart irrigation systems, and water reuse, particularly in small municipalities and among certain farmers.

Addressing fragmented governance

The distinct but interrelated roles between River Basin Authorities (RBA), autonomous communities and municipalities lead to a complex and fragmented governance that creates challenges for enforcement and monitoring of water usage. This is particularly the case for groundwater: there is an estimated 2 million wells in Spain, but only 1 million are registered, and they remain largely uncontrolled (Fornés, López-Gunn and Villarroya, 2021[21]). Spain's fragmented water governance could be leveraged positively, using it as an opportunity to experiment with diverse reforms, to test policies like increasing oversight of wells, metering, water pricing, and water trading rights. Different RBAs could test a range of different approaches depending on their local knowledge of the ones that would be a best fit. Institutional reforms can also have major effects on water usage. Strengthening the River Basin Authorities by improving water rights registries and groundwater monitoring systems and broadening stakeholder engagement beyond traditional agricultural users could lead to more inclusive, efficient governance and better-adapted water management (OECD, 2024[22]). While Spain already has a national coordination body, the Consejo Nacional del Agua (CAN), this role could be strengthened to support strategic guidance and investment planning across basins. Such central coordination would not diminish room for local experimentation by RBAs; rather, it would provide the strategic guidance, financing signals and enforcement capacity needed to scale successful basin-level innovations nationwide.

Financing water infrastructure and storage

The financing of water infrastructure remains dependent on public budgets, accounting for approximately 45% of total expenditures compared to the EU-28 average of 30%. Limited pricing mechanisms to cover capital and operational costs result in insufficient cost recovery (OECD, 2020[15]). Raising the share of revenue generated from tariffs, thereby directly linking water costs to consumption, would support investments in

infrastructure maintenance and advanced technologies, improving the long-term resilience of Spain's water systems and better aligning incentives with resource scarcity. Encouraging non-conventional water sources—recycling, reuse, and desalination—for urban and high-value economic activities offers additional resilience to drought conditions. Desalination technology can augment water availability, enhancing resilience to droughts in highly water-stressed regions, and is used successfully other countries (Box 4.2). However, widespread adoption requires higher water prices that reflect the true cost of supply and significant expansion requires careful consideration of energy use and environmental impact.

Spain's total water retention capacity has remained relatively stable at around 56 000 hm^3 over the past two decades, despite ongoing vulnerability to floods and severe drought cycles. While ecological concerns have led to the dismantling of numerous obsolete river barriers—primarily small structures with negligible national-scale impact on water retention—this has not significantly reduced overall storage capacity. Indeed, the recent entry into operation of two new reservoirs (Irueña and La Colada) in 2023–24, along with heightening and safety upgrades of a few older dams, marginally increased total registered capacity. Nevertheless, considering the increasing economic and environmental costs associated with both droughts and floods, the relative stagnation in total reservoir capacity highlights a missed opportunity. Strategic investments in additional, well-located reservoirs—designed with modern adaptive management, ecological compensation measures such as fish ladders, bypass channels, and upstream wetlands—would enhance water security without compromising environmental integrity, enabling a balanced approach between ecological restoration and water security.

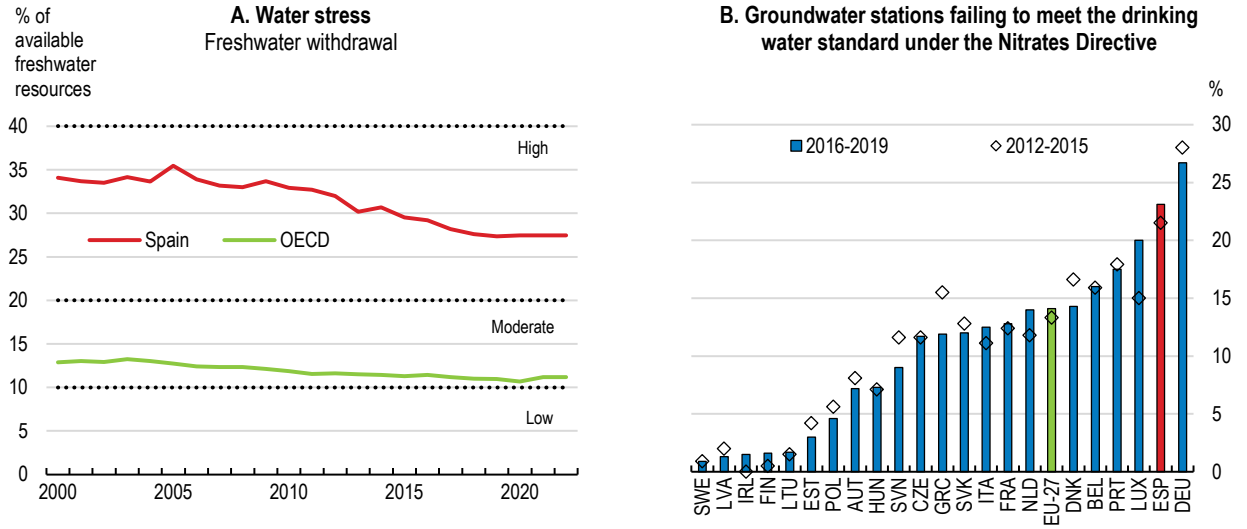
Strengthening financial supervision to address water-related risks is becoming increasingly important. Evidence is mounting that droughts, floods, and chronic water stress can erode asset values, weaken loan performance, and threaten financial stability. Only a handful of Spanish banks have started to systematically assess their water-related exposures. Integrating water risks into supervisory stress tests, credit-risk models, and mandatory disclosures—following guidance from the Network for Greening the Financial System (NGFS), a global coalition of central banks and supervisors, and the Taskforce on Nature-related Financial Disclosures—would improve the resilience of Spain's financial system and steer investment toward water-efficient infrastructure and technologies.

Improving water quality

Water quality remains a significant challenge as reported in the previous Economic Survey of Spain (OECD, 2023[23]), particularly due to nitrate pollution linked to intensive agricultural practices and livestock farming, notably pig production. Despite recent regulatory advances aimed at reducing fertilizer misuse, nitrate concentrations continue to exceed EU thresholds, affecting around one-quarter of Spain's surface and groundwater resources (Figure 4.4, Panel B). This not only threatens ecosystems and compliance with EU directives but also undermines Spain's climate resilience. Climate change is expected to aggravate water quality issues by reducing river flows and increasing pollutant concentrations during droughts. In this context, further tightening regulation of fertilizer application and livestock waste management, along with investment in advanced wastewater treatment, are essential adaptation measures. Recent actions, such as the National Plan for Purification, Sanitation and Reuse (DSEAR Plan), aim to enhance wastewater treatment coordination. However, progress remains limited. These actions will help secure water availability for multiple uses under increasing climate pressure, while delivering co-benefits for health and ecosystems.

Poor water quality can have direct economic costs. The 2015 harmful algal bloom in the Mar Menor lagoon led to a fall of 43 % in housing investment returns within the affected area over six years, eroding property wealth by more than €4 billion—roughly ten times the cumulative gains agriculture obtained from shifting to irrigation (Lamas Rodríguez et al., 2023[24]). This example shows that lax nutrient management can impose large, long-lasting costs on households and local economies, strengthening the case for tighter fertilizer and manure controls and accelerated investment in nutrient-reduction infrastructure.

Figure 4.4. Water stress and groundwater remain challenges

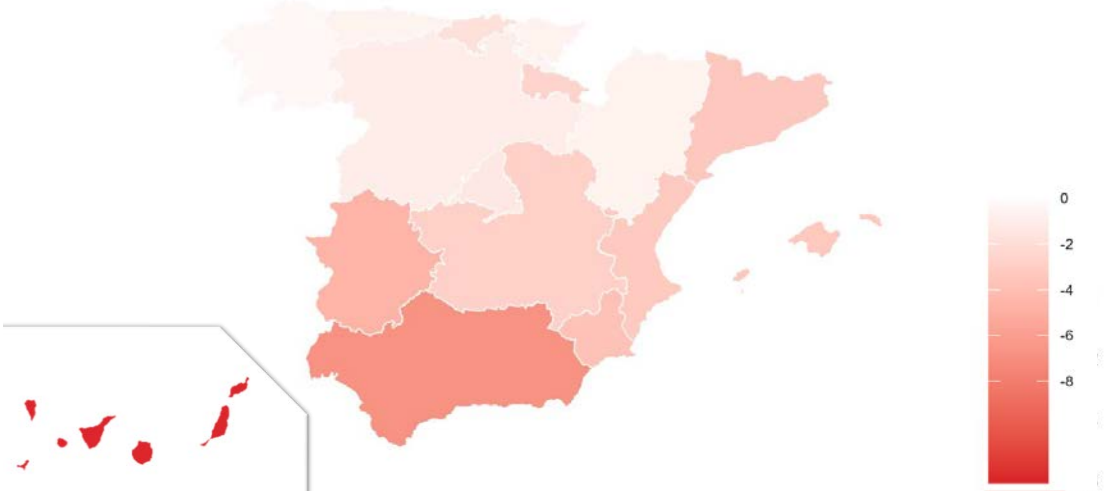


Source: OECD Green Growth Indicators; Waterbase, Water Quality, European Environment Agency (EEA).

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Figure 4.5. Soil moisture has significantly fallen, especially in Southern Spain

Change in soil moisture, 2019-2024 compared with 1981-2010, %



Note: Soil moisture is measured based on the volumetric water content of the topsoil layer.
Source: OECD IPAC Climate Action Dashboard, OECD.

StatLink https://stat.link/vl8xhj

Box 4.2. Making the most of water in arid climates: the cases of Israel and Australia

Israel effective use of water pricing

Israel is one of the most water-stressed countries in the world at the same time it is internationally recognized for its water pricing policies, designed to reflect true water scarcity and promote conservation. Water tariffs are set to fully recover operational, maintenance, and capital investment costs, incorporating environmental externalities and scarcity premiums (Marin et al., 2017[25]). This approach incentivizes users, particularly in agriculture, to optimize water usage and invest heavily in water-efficient technologies, such as drip irrigation, significantly reducing waste and enhancing productivity.

Israel's comprehensive pricing strategy is supplemented by substantial investment in desalination and wastewater recycling, enabling the country to sustainably manage limited freshwater resources. Approximately 85% of all effluent water is recycled and then used for agriculture, where marginal prices fully reflect costs. More than half of the water used for agriculture is recycled water. These combined measures have transformed Israel into a global leader in water efficiency, achieving remarkable productivity in agriculture despite severe water scarcity.

Gradual reforms, starting in the early 1990s, introduced a three-tiered block pricing for agriculture, gradually raising tariffs as use approached each quota threshold and thereby imposing an increasing marginal cost on excessive consumption. During the 2000s, two measures further solidified cost recovery principles: the government established a unified Water Authority to oversee all water planning and regulation, and an agreement with farmers tied tariffs to actual water production costs, including the higher expense of desalination. By the 2010s, block pricing gave way to a single uniform water tariff near marginal cost. Today, these successive reforms not only encourage more efficient water use but also help preserve ecosystems, demonstrating that strong governance and full-cost pricing are proper tools to reconcile agricultural needs and environmental sustainability.

Australia’s water allocation through market-based trading rights

Australia’s arid climate posed a major challenge from the 1980s onward, as the Murray-Darling Basin – home to half of the country’s agriculture production - began showing signs of severe water stress, including rising salinity and a declining river flow. To reverse this trend, state and federal governments together agreed on a reform process that led to capping surface diversions and ensuring sustainable use of the limited water resources.

Throughout the 1990s and 2000s, successive and gradual reforms introduced fully separating water rights from land ownership (“unbundling”) and allowing trading of water entitlements across regions. Under the 2004 National Water Initiative, states committed to defining clear water allocations, establishing water markets, and ensuring that environmental flows were protected. The 2007 Water Act then strengthened basin-wide coordination via a newly created Murray-Darling Basin Authority.

Today, Australia’s market-based approach is widely credited with making irrigation more flexible, resilient, and transparent. By empowering farmers to buy and sell water entitlements, the trading mechanism allows water to be dynamically reallocated from lower-value to higher-value uses, thus maximizing its productivity as well as the earnings of all parties. The system’s success lies in clear legal frameworks, well-defined property rights, and comprehensive monitoring and enforcement mechanisms. By establishing market incentives, Australian farmers are encouraged to adopt water-saving technologies and practices.

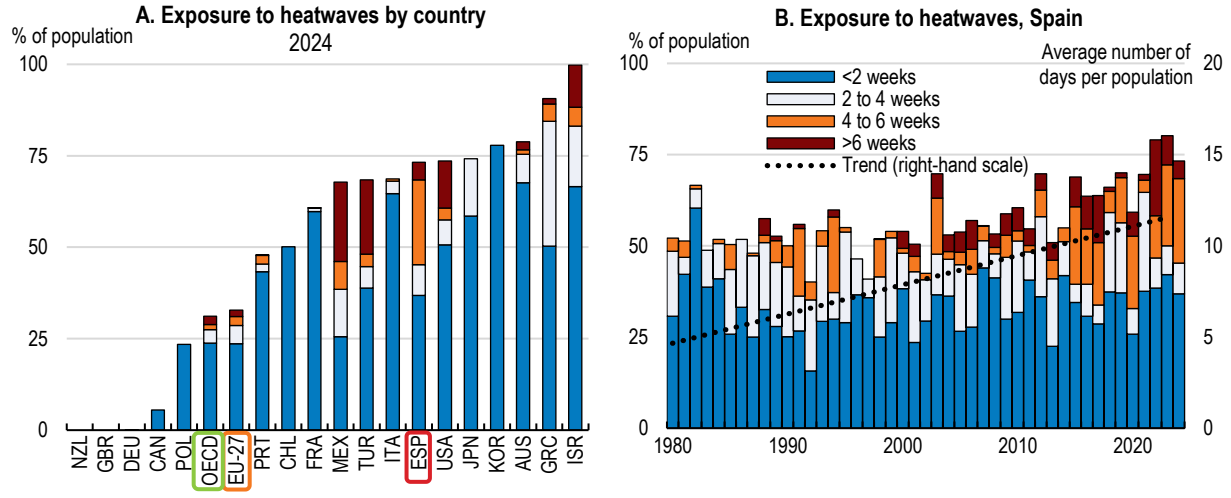
Source: (Siegel, 2016[26]) (Bismuth, Hansjürgens and Yaari, 2016[27]) (Gruère, Ashley and Cadilhon, 2018[17])

4.2.4. Tackling threats from heatwaves and wildfires

Spain is increasingly exposed to extreme heatwaves posing significant risks to public health and productivity. Around 74% of the population is already exposed to at least two weeks per year of extreme temperatures, up from 50% in 1990 (Figure 4.6). Projections indicate that heatwaves will become more frequent, intense, and longer-lasting (Calvin et al., 2023[28]), potentially causing fatalities to rise significantly without effective adaptation measures (Naumann, 2020[29]). The economic effects of heatwaves are equally rising, heat reduces productivity, particularly in outdoor and physically demanding sectors such as construction and agriculture, disproportionally affecting SMEs (Costa et al., 2024[30]).

Figure 4.6. Exposure to heatwaves is high

Exposure to days where the maximum daily temperature exceeds 35°C



Source: IEA, Climate Hazard Exposure Tracker.

StatLink https://stat.link/5zvig6

Spain has taken important steps to manage heat risks. The National Heatwave Plan, active between June to September coordinates early warning systems (EWS), risk communication strategies, and targeted support for vulnerable populations, such as the elderly and chronically ill across the country (Ministerio de Sanidad, 2022[31]). Surveillance systems monitor temperature-related mortality and morbidity in near-real-time, enhancing the government's responsiveness to emerging heat crises. Moreover, the Health and Safety Strategy 2023-27 (Ministerio de Sanidad, 2023[32]) promotes awareness among firms and workers most exposed to extreme heat, notably in construction and agriculture and aiming to improve the accuracy of reporting heat-related occupational incidents, many of which are classified incorrectly as cardiovascular incidents.

Despite this progress, opportunities exist to broaden and deepen adaptation measures, particularly in urban and occupational settings, which have been less systematically addressed. Urban areas in Spain remain vulnerable to severe urban heat island (UHI) effects, resulting from limited green spaces, dense infrastructure, and extensive impermeable surfaces. Studies highlight that mitigating urban heat island effects through green (increasing urban vegetation) and white (reflective surfaces) solutions can yield positive benefit-cost ratios between 0.82 and 1.79, with higher returns associated exclusively with green measures due to their multiple co-benefits, such as improved air quality and enhanced urban biodiversity (The World Bank, 2021[4]). International best practices, including EU-funded initiatives such as LifeMedGreenRoof and Urban GreenUP under Horizon 2020, provide valuable insights and can guide Spain in scaling up these nature-based solutions effectively. Urban planning tools and building codes do not yet fully integrate climate adaptation, limiting the capacity to manage heat risks locally. Revising building codes to mandate bioclimatic designs, such as light-

colored roofs and natural ventilation, tailored to regional climates, can significantly reduce urban heat stress while enhancing energy efficiency. Expanding urban planning tools, like Barcelona's superblock model and satellite heat mapping, can target heat hotspots and increase green spaces, yielding high benefit-cost ratios. National incentives, such as funding for compliant regions, can align local efforts with broader adaptation goals.

While Spain's early warning systems are functional, further investment is needed to improve local precision and responsiveness for extreme heat. Spain also uses timely public warnings and targeted assistance for vulnerable populations, as in France's national heatwave warning system, which bring high returns on investment (The World Bank, 2021[4]). Significantly improving data collection on heat-related occupational impacts and strengthening and better enforcing heat-related workplace protections across sectors, particularly in agriculture and construction where informal and seasonal workers face inconsistent enforcement, could reduce productivity losses and health risks. Emerging evidence also shows that wildfires tighten firms' access to bank credit—especially where local relationship-banks are absent—highlighting an additional economic vulnerability as fire risk rises with advancing desertification (Álvarez-Román et al., 2024[33]).

Increasing wildfires risks bring challenges

Wildfires are a natural part of Spain's ecosystem, providing ecological functions like nutrient recycling and growth stimulation. However, their increasing frequency and intensity pose substantial adaptation challenges. Since 1979, the number of fire-weather days—critical for wildfire conditions—has risen substantially, extending Spain's annual wildfire season by approximately 40 days. Together with Portugal and Greece, Spain experiences Europe's highest exposure to fire-weather days (Figure 4.7, Panel A). Extreme wildfires can cause irreversible biodiversity loss, leading to desertification rather than natural forest regeneration. Such fires are notoriously difficult to control, posing severe risks to human lives and physical assets. A less visible yet critical impact is the surge in respiratory illnesses linked to wildfire smoke, with post-fire analyses revealing elevated morbidity and excess mortality from such conditions (Linares et al., 2018[34]). The 2017 wildfires in Portugal and Spain caused more than 45 direct deaths and around 600 million euros in damages. The 2025 fire season has burnt nearly 400 thousand hectares of forest land, making it the worst fires in the last 30 years (EFFIs, 2025), and demonstrating the country's significant exposure. Wildfires also damaged and disrupt critical infrastructure such as high-speed rail and electricity lines.

Rural abandonment has significantly contributed to forest expansion and fuel accumulation. Approximately 84% of Spain's territory is now inhabited by only 16% of the population. The expansion of wildland-urban interfaces (WUI) covers 15-20% of the country's territory and up to 40% in certain regions such as northwestern Spain bordering Portugal, which further amplifies wildfire risks. These interfaces are particularly vulnerable during the peak summer tourist season when population densities temporarily surge.

Despite increased hazard exposure, Spain has managed to limit the loss of life and economic assets associated with higher settlement exposure at wildland-urban interfaces through prudent land-use policies and effective emergency preparedness measures (Figure 4.7, Panel B). The results are evidenced by Spain's capacity to maintain a relatively small burnt area per event despite a high number of fires each year. Historical data show a downward trend in the area burnt per fire event (Figure 4.8).

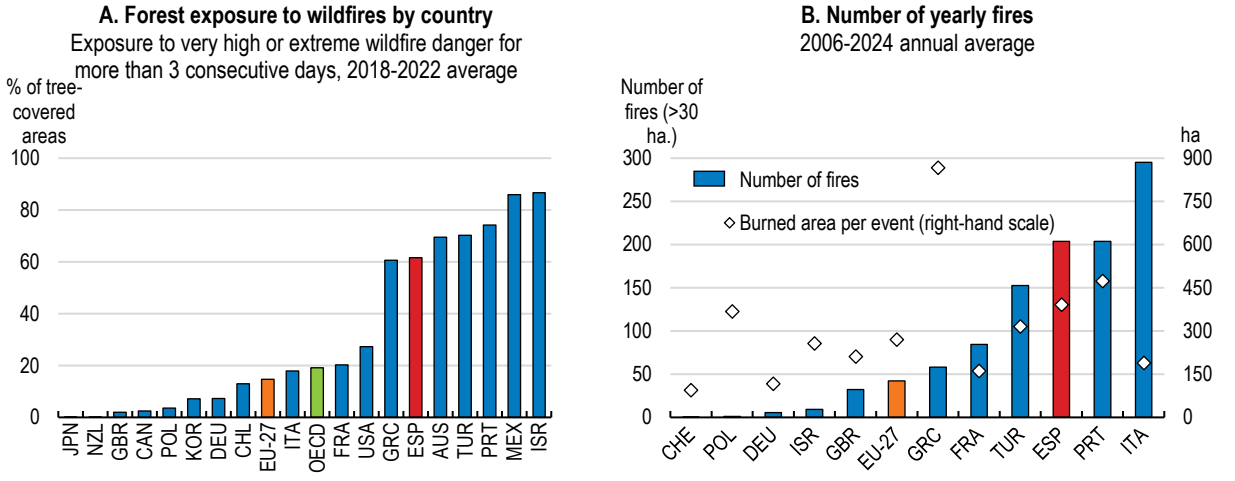
To limit the size of burnt area subsequent to fires, Spain has recognized the importance of wildfire prevention. Spain spends more on prevention per hectare of forest compared to France and Greece (OECD, 2023[35]). Investments in wildfire prevention yield high economic returns, with benefit-cost ratios (BCRs) ranging from 1.6 to 39, significantly higher compared to suppression efforts (The World Bank, 2021[4]), with preventive measures, such as fuel management and fire break creation showing high benefit cost ratios (12). Given the extent of Spain's surface susceptible to fires, these preventative efforts need to be continuously reinforced to limit future forest surface loss and to sustain natural forest regeneration capacities.

Addressing local implementation challenges in fire prevention

Despite effective national strategies, implementation challenges persist, particularly at the municipal level and regional level, where autonomous communities are responsible for designing and executing concrete wildfire prevention measures. Local governments often lack sufficient financial resources and human capacity to execute regional prevention strategies effectively, such as vegetation thinning, and maintenance of fire breaks. Spanish legislation sets identical technical prevention requirements for public and private forest land; however, afforestation programmes have unintentionally increased fuel connectivity, while the predominance of private land ownership—covering 72% of wildlands—poses significant management and coordination challenges. Spain's decentralized governance structure, granting regions significant autonomy in wildfire prevention and management, contributes to fragmented and heterogeneous wildfire strategies. This lack of uniformity hampers effective national coordination, particularly regarding buffer zones, where inconsistent enforcement and unclear land ownership complicate policy implementation. Consequently, targeted financial support, capacity-building initiatives, and improved national-regional coordination are essential to enhance policy effectiveness.

The anticipated increase in fire-weather days due to climate change poses ongoing adaptation challenges. Recommended future adaptation policies include further and continuous investment in vegetation thinning, strategic fire breaks, and improved fire monitoring systems. Real-time monitoring systems significantly enhance early warning capabilities and improve first-response effectiveness. Notably, the Air Now Fire and Smoke Map in the United States exemplifies best global practices by providing real-time, accessible information on current fire and smoke conditions, greatly aiding public preparedness and response efficiency. Importantly, sustainable forest management must prioritize wildfire-resistant forest structures and drought-tolerant tree species to ensure long-term ecosystem resilience and post-fire regeneration capacity.

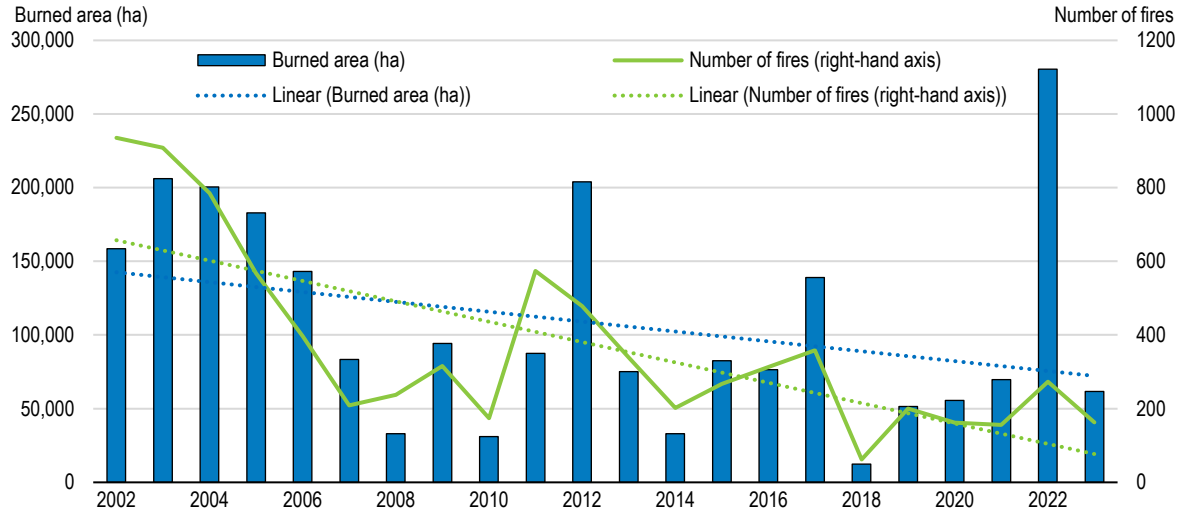
Figure 4.7. Spain is heavily exposed to wildfires



Source:: IEA and OECD (2024), Climate Hazard Exposure Tracker; Copernicus

StatLink https://stat.link/0tzo7f

Figure 4.8. Yearly burnt area has trended down



Source: Copernicus.

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4.3. Further decarbonizing the economy

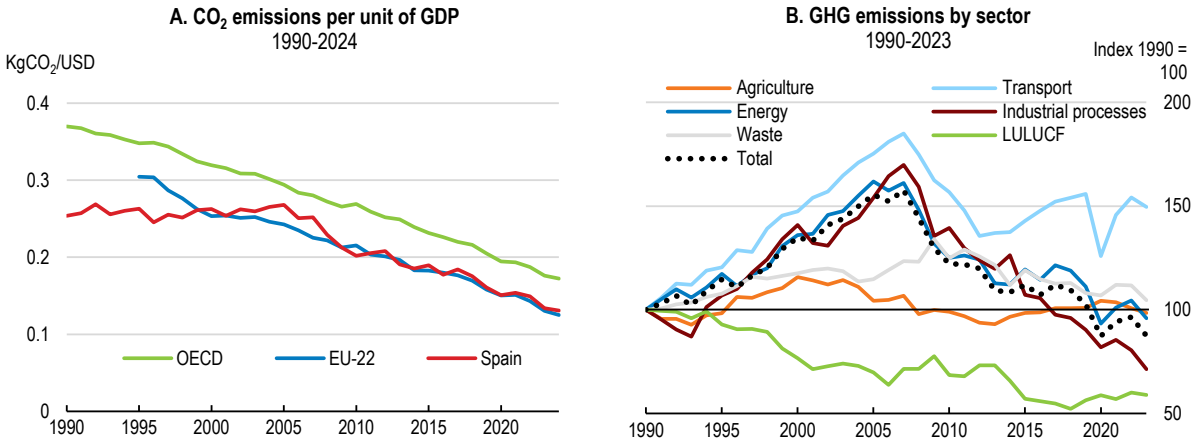
4.3.1. Spain has made significant progress in reducing GHG emissions

Spain has adopted ambitious decarbonization goals as part of its strategy to transition to a low-carbon, sustainable economy. The 2023-2030 Energy and Climate Plan (PNIEC) sets out goals to reduce greenhouse gas emissions by 32% by 2030 compared to 1990 levels, increase the share of renewables in final energy consumption to 48 %, and improve energy efficiency by at least 43%. Spain's legally binding commitment to climate neutrality by 2050 targets a 90% reduction in emissions from 1990 levels, with the remaining balance offset by land use, land-use change, and forestry (LULUCF). These commitments are aligned with the European Union Green Deal and the Fit for 55 initiatives.

The country has made significant progress in reducing greenhouse gas emissions (GHG) over the past decades. Between 2005 and 2023 total GHG emissions (excluding LULUCF) declined by around 38%, outpacing the EU average. Emissions per capita and per unit of GDP have both fallen faster than in most EU economies, reflecting substantial decoupling of emissions from economic growth (Figure 4.9, Panel A). The fall in emissions has been observed across all sectors, particularly energy (Figure 4.10, Panel A). Should emissions continue declining at the same pace, projections suggest Spain will meet its 2050 target (Figure 4.10, Panel B). This progress has been largely driven by the expansion of renewables and the phase out of coal in electricity generation (Figure 4.11). In 2024 renewables represented 26% of all energy sources due to the deployment of solar and wind power, placing Spain among EU leaders in renewable's share in electricity. Emissions reductions in transport and agriculture have proven more limited (Figure 4.9, Panel B), underscoring the need for stronger policy action beyond the electricity sector.

Achieving net-zero emissions by 2050 will require more coordinated and cross-sectoral efforts. This includes stronger carbon pricing, accelerated deployment of clean technologies, and greater investment in grid infrastructure, energy efficiency and sustainable mobility (Figure 4.11).

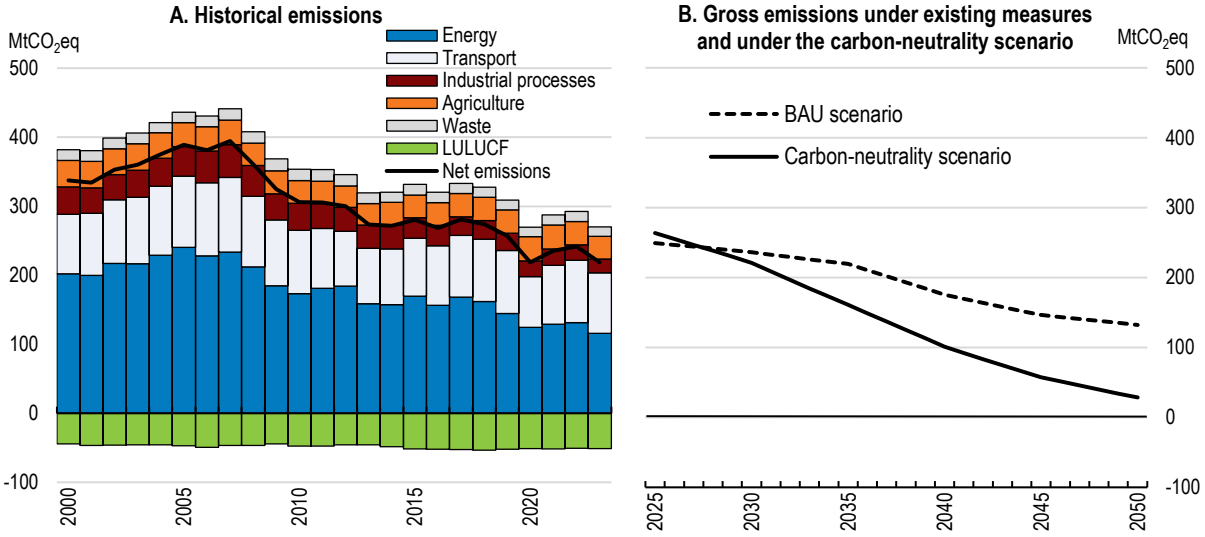
Figure 4.9. Emissions are falling steadily since peaking in 2007



Note: EU-22 refers to OECD EU countries. OECD and EU refer to GDP-weighted averages.
Source: International Energy Agency, OECD calculations; OECD Environment database.

StatLink https://stat.link/ioq5ad

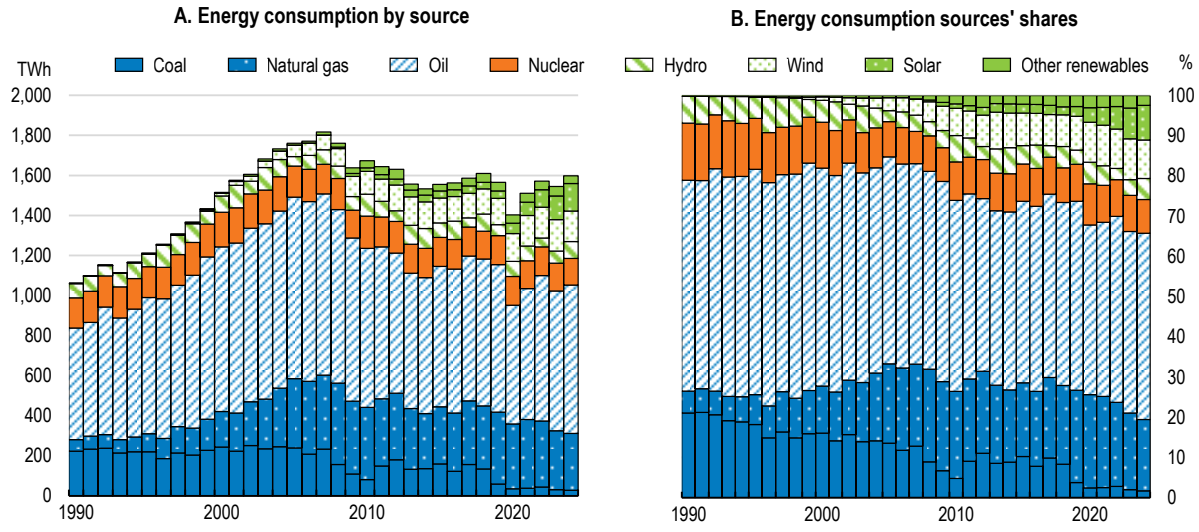
Figure 4.10. The fall in emissions is shared across sectors



Note: Energy includes UNFCCC reporting categories “Energy Industries”, “Manufacturing and construction (energy)”, "Residential and other sectors (energy)", and “Energy – Other”. BAU refers to “Business as usual” ; LULUCF refers to Land use and land change and forestry.
Source: OECD Environment database; MITECO (2020) *Estrategia de descarbonización a largo plazo 2050.*

StatLink https://stat.link/rhqgev

Figure 4.11. A successful phase out of coal combined with expansion of gas, solar and wind



Note: Other renewables include biofuels, geothermal, biomass, and waste energy.
Source: Energy Institute - Statistical Review of World Energy (2025) – with major processing by Our World in Data.

StatLink https://stat.link/26n98p

4.3.2. Greening the energy sector

Energy production remains a critical source of greenhouse gas emissions, accounting for about 45% of national emissions. While renewable electricity has expanded significantly, fossil fuels continue to play a key role in the energy mix, particularly in heating, industrial processes and backup power. To meet the 2030 and 2050 climate goals, Spain will need to continue reducing the carbon intensity of its energy use, including through realigning its tax and subsidy policies to better reflect the environmental and social costs.

Distortive fossil fuel subsidies are still high

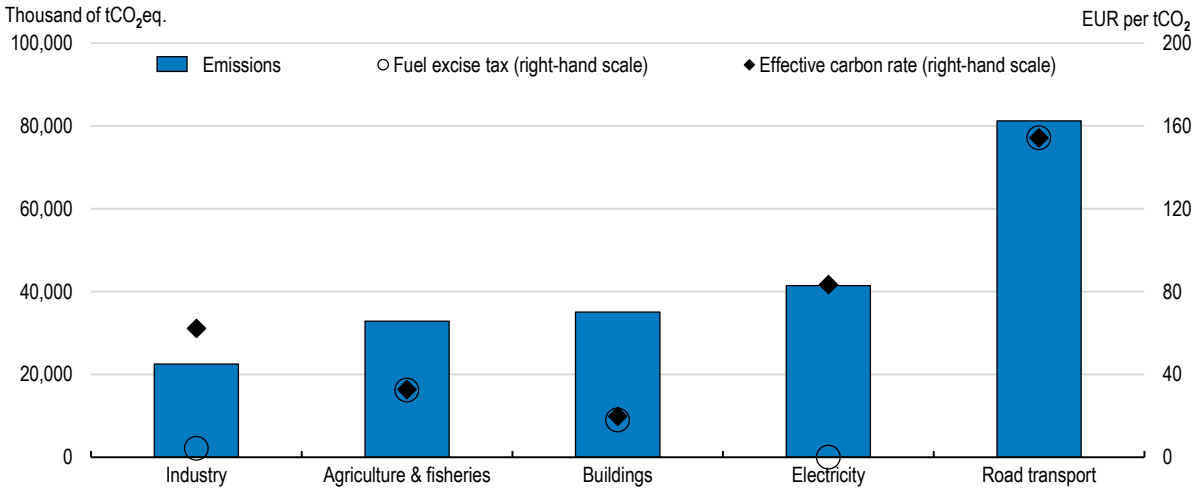
Spain continues to provide several implicit fossil fuel subsidies estimated at around 1.5% of GDP annually (Figure 4.12), mainly through tax exemptions and differentiated tax rates. Diesel is taxed at a lower rate than gasoline despite higher environmental costs, accounting for more than half of implicit subsidies. Refunds for professional diesel use by hauliers and farmers as well as reduced taxation on energy use in agriculture, also limit incentives for fuel efficiency and clean alternatives such as electrification and modal shifts. These measures, while partly motivated by competitiveness concerns, reduce the effectiveness of climate policy.

Addressing these pricing inconsistencies is essential. Gradually aligning diesel taxation with gasoline, phasing out professional use refunds and reviewing exemptions in line with environmental goals would help internalize environmental costs and incentivize cleaner freight and transport choices. The forthcoming expansion of EU carbon pricing (ETS2) to cover road transport and buildings will strengthen incentives in these sectors. Further measures will be needed to address emissions in agriculture, which remain outside of the ETS (see below). Although emissions from agriculture have stagnated over the past two decades, the increase in production implies that the emissions per output have declined markedly.

Temporary crisis related measures, such as reduce VAT on natural gas and the Iberian exception for wholesale electricity pricing, which capped the gas input price for electricity generation in Spain and Portugal, were designed to buffer households and firms from extreme price volatility during the 2022-2023 energy crisis.

These measures were withdrawn. Going forward policy should focus on durable, well targeted mechanisms that preserve price signals while protecting vulnerable consumers.

Figure 4.12. Effective carbon rates vary substantially between emission sources



Note: Emissions and rates refer to the year 2023. Tax rates relate to road transport while emissions relate to all types of transport.
Source: OECD Net effective carbon rates; OECD air emissions.

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Revenues from energy taxation reform could be recycled to support low-income households through targeted transfers and to fund clean energy investment. Estimates suggest that phasing-out fossil-fuel subsidies and raising effective carbon rates to levels consistent with a net-zero pathway would cut Spain's energy-related CO_2 emissions by about 15 % by 2030 and yield an additional 1-1.25% of GDP in fiscal revenue during 2026-30, declining thereafter as emissions fall (Guillemette and Château, 2023[36]). The same policy package is also estimated to prevent 1400 pollution related deaths annually (IMF, 2024[37]).

Further integrating renewables for a reliable and cost-effective energy transition

Spain has made remarkable progress in expanding renewable electricity, positioning itself among European leaders in solar and wind deployment. Between 2018 and 2023, installed solar photovoltaic capacity increased fivefold and by 2023, renewables accounted for over 50% of annual electricity generation. This transition has significantly reduced the carbon intensity of power generation and supports Spain's climate goals, while fostering the economy competitiveness, including a legally binding target of net-zero emissions by 2050. The updated National Energy and Climate Plan (PNIEC) sets even more ambitious targets for 2030, including 76 GW of solar PV and 62 GW of wind capacity.

Spain's electricity demand is projected to rise by more than 40% by 2030, driven by electrification of transport, industry, and heating, as well as a surge in data centre development and green hydrogen projects (McKinsey, 2024[38]). This growth reinforces the need for timely investments in grid infrastructure, storage, and system flexibility to ensure a reliable and affordable transition. The PNIEC estimates that the investments to achieve its objectives will amount to EUR 308 billion with 37% devoted to renewables, 28% to energy efficiency and savings, 17% to grids, 17% to electrification and 1% to others. The Government has presented a plan to invest EUR 13.6 billion in the transmission network by 2030, including upgrades to 21% of the grid and new transmission corridors, with the aim to integrate renewables and storage while limiting curtailment to 3.3% by the end of the decade. Demand for new renewable installations are aligned with the renewable targets set for 2030.

Permits have already been approved for 86 GW of new solar PV capacity and nearly 27 GW of wind power. The latest transmission network plan ensures that these renewable project requests are aligned with Spain's 2030 targets. However, maintaining the pace of renewable expansion is becoming more challenging. In January 2025, Spain has around 32 GW of installed capacity for each solar and wind, for a total of 85 GW of renewable installed capacity (Red Electrica Espanola, 2025[39]). The country is progressing well but must sustain its strong installation rates to meet the National Energy and Climate Plan (PNIEC) target of 160 GW of total installed renewable by the end of 2030. Spain needs to add about 75 GW of new renewable energy — averaging about 12.5 GW per year for the 2025-2030 period. Installed capacity is projected in the PNIEC to reach, in 2030, 62GW for wind and 76 GW for solar. To reach this objective, annual installation rates would need to increase to around 5 GW annually for wind and 7GW annually for solar. Permitting delays — particularly at the regional level could limit this expansion. Public opposition to large-scale projects, particularly in rural areas, has also intensified, highlighting the need for improved spatial planning and community engagement. Spain recently approved measures such as accelerated permitting for electricity storage including co-location in existing renewable plants. Although Spain managed until recently to combine high renewable shares with limited curtailment (International Energy Agency, 2024[40]), grid congestion and midday solar curtailment is rising in the second half of 2025, from levels around 2% to values above 10% (Red Electrica Espana, 2025[41]), especially in areas with high renewable potential.

From a system perspective, Spain faces growing issues around flexibility and balancing. The increasing share of solar and wind generation introduces greater variability in electricity supply. Without adequate investment in storage capacity and demand-side flexibility, this variability can heighten dependence on gas fired plants during periods of low renewable output. Spain has recently launched EUR 700 million in grants to boost large-scale energy storage with the potential to add up to 3.5 GW of new capacity, complementing more than 4 GW already awarded under the Recovery Transformation and Resilience Plan. Spain is introducing regulations to promote storage hybridization in existing plants and launching a public hydropower plan. While progress is underway, deployment of battery storage remains limited, and incentives for flexible consumption, such as time use pricing or load shifting, are still underdeveloped.

Electricity pricing structures also affect system efficiency. Flat retail tariffs and limited locational price signals reduce the economic incentives for consumers and producers to respond to system needs. In parallel, support schemes such as contracts-for-difference (CfDs) insulate some renewable producers from real-time market prices. While CfDs help reduce investor risk and financing costs, they may also limit responsiveness to supply–demand conditions, contributing to curtailment and placing fiscal pressure on support budgets. Paying for curtailed energy weakens incentives to locate projects in grid-constrained areas and increases system integration costs.

Estimates suggest that grid integration costs for variable renewables rise significantly as their share increases—starting around EUR 25–35 per MWh at low penetration levels and growing at higher shares (IEA, 2024[42]; Heptonstall and Gross, 2020[43]). Ensuring that producer incentives reflect the marginal system value of electricity—such as through more dynamic pricing or improved locational signals—can help mitigate these costs.

Spain's growing weather dependency in electricity production also requires enhanced system resilience. Wind and solar output can vary substantially within hours and across seasons. Spain has introduced a voluntary demand response mechanism (SRAD), which allows large electricity consumers to temporarily reduce their consumption when the electricity system is under stress. While promising, its uptake and role remains limited so far. Enhancing system flexibility, including through grid upgrades, storage, and demand-side management, will be essential to avoid similar challenges in the future. Ensuring effective coordination between the system operator (REE), MITERD, and the CNMC will also be key to managing supply risks and ensuring the system operators have access to appropriate tools and signals.

Following energy sector reforms in the early 2010s, Spain introduced limits on grid investment by transmission and distribution operators. While these measures addressed previous financial imbalances, the resulting caps

—fixed as a share of GDP— have not been adjusted to reflect growing electrification and integration needs. However, the grid owners have not reached the investment level cap in the last years according to the electricity regulator (CNMC). Over the past decade, grid expansion has not kept pace with the rapid deployment of renewable energy. As a consequence of the investment cap, Spain has the lowest ratio of grid spending to renewable investment in Europe: over 2010–2023, only about EUR 0.30 was invested in networks for every MWh invested in renewables, roughly half the ratio of EUR 0.70 seen in most European countries (Bloomberg NEF, 2025[44]). In several regions, connection bottlenecks and delayed project approvals have become a key constraint for both consumers and producers. Given these bottlenecks, investors now rate grid access risk in Spain as one of the highest in western Europe, which lifts the weighted-average cost of capital for clean-energy projects (McKinsey, 2024[38]). Strengthening the regulatory framework to enable forward-looking, needs-based investment — including anticipatory grid planning and improved coordination across governance levels — will be critical to support Spain's climate goals and energy security. The electricity regulator (CNMC) has recently proposed - currently under public consultation - an increase in the allowed financial rate of return. In parallel, MITERD has proposed a draft Royal Decree on grid investment, that maintains the GDP based caps but adds an annual increase for 2026-30.

Battery storage deployment in Spain has lagged peers due to relatively low price-volatility, regulatory barriers such as double grid charges, and the absence of long-term revenue mechanisms. While existing hydro already provides important flexibility, the system's growing need for short duration balancing and fast ramping suggests that storage will become increasingly valuable. Experiences from markets like California and Texas highlight different models — one regulatory, one market-driven — for fostering battery investment, though these approaches reflect different structural conditions. Spain can draw lessons while designing a framework suited to its own grid, market and policy goals.

Maintaining system reliability as renewable penetration increases will require adequate provision of all relevant grid services, including voltage control, frequency response and inertia which play a critical role in stabilising frequency and ensuring system resilience. In October 2025, the system operator *Red Electrica* requested the electricity regulator (CNMC) specific operational modifications aimed at mitigating sudden voltage fluctuations. The operator noted rapid voltage fluctuations across the Spanish mainland grid, attributing them to sudden changes in generation schedules—especially from self-consumption and the high concentration of renewable installations in certain areas, which can trigger swift and significant power swings—as well as to the response times of generators responsible for dynamic voltage control (CNMC, 2025[45]). Policy tools to effectively maintain system reliability and mitigate sudden voltage fluctuations include market-based mechanisms such as dedicated markets for system services (e.g. fast frequency response and system strength), as well as operational mandates with appropriate compensation. Countries such as Ireland and the United Kingdom have developed targeted frameworks to maintain grid stability alongside high shares of renewables. Ensuring that investment frameworks provide stable and predictable signals for firm and flexible capacity will also support long-term system adequacy. In this area, the Spanish regulator (CNMC) recently modified regulation PO 7.4 remunerating voltage control services provided by renewable sources like solar and wind, after testing the regulation in different sandboxes.

Improving cross-border interconnections, particularly with France, remains essential to increase system flexibility and integrate Spain's growing share of renewable electricity. Spain's current electricity interconnection capacity remains below the EU target of 15% of installed generation, limiting its ability to export surplus renewable power and access balancing capacity and grid services from neighbouring markets. Strengthening interconnection infrastructure would help reduce renewable curtailment, improve price convergence, and enhance energy security. Ongoing projects — including the Biscay Gulf subsea cable — are important steps, but permitting and cross-border coordination challenges have led to delays. Accelerating these investments will be important to support both Spain's national goals and broader EU market integration.

A more flexible and resilient system also requires better price signals. Gradually introducing more granular time-of-use tariffs and, eventually, real-time locational pricing would help align producers and consumers

behaviour with system needs. Locational pricing could reduce congestion and support renewable deployment in underutilised areas of the grid.

Addressing these system-wide issues is essential not only to maintain the environmental benefits of renewables, but also to ensure affordability and energy security. Spain's experience is similar to that of other high-renewables countries — such as Germany, Denmark and Ireland — where the next stage of the transition hinges less on capacity additions and more on integration, infrastructure, and flexibility.

Nuclear power can contribute to improving energy security, and nuclear electricity production is more stable over time compared to intermittent renewables while also being low-carbon, although concerns involve nuclear fuel availability and price, as well as high-impact negative risks in case of severe nuclear accidents, and the need to manage nuclear waste. It is important for nuclear projects, as well as any other energy project, to be underpinned by transparent and comprehensive life-cycle cost-benefit analyses that inter alia account for the cost of constructing power plants, storing nuclear waste, and decommissioning disused power plants. Such analysis must also consider the direct and indirect subsidies granted throughout the production cycle.

Spain's current strategy envisages a gradual phase-out of nuclear generation between 2027 and 2035. As this transition unfolds, ensuring system adequacy, affordability, and resilience through complementary investment in clean and flexible generation will be critical. This will depend on timely investments in clean dispatchable and flexible sources of electricity, as well as continued improvements in grid infrastructure and storage capacity. The withdrawal of around 7 GW of firm, low carbon capacity, will increase reliance on other sources, including on renewables and storage, while national estimates in the PNIEC suggest that natural gas use will be halved by 2030. According to Spain's energy plan and assessments by the electricity system operator, the country electricity supply is expected to remain secure even as nuclear power is phased out. A recent European study by ENTSO-E confirms that adequacy risk for Spain is lower than in most other EU countries in 2030 and 2035, even with the planned nuclear phase out (ENTSOE, 2024[46]).

Box 4.3. Managing gas supply risks in a changing geopolitical context

Following Russia's war of aggression against Ukraine, the EU has sought to reduce energy imports from Russia through the 2022 RePowerEU plan. With the drop in pipeline gas imports, EU imports of liquefied natural gas (LNG) from Russia increased – including in Spain. In 2024, Russia became the second-largest supplier of natural gas to Spain, accounting for 21% of its imports, while Algeria was the top supplier with 39%. In the first ten months of 2025 the share of Russian gas entering Spain went down to 11%, positioning that supplier behind Algeria (34%) and the United Sates (32%). In the same period, thanks to six regasification plants, Spain reexported 12% of its natural gas imports via pipeline to the rest of Europe and Morocco.

Source: Enagas, Boletín Estadístico del Gas en España.

4.3.3. The cost-effectiveness of decarbonising transport can still be improved

Transport remains one of the largest sources of greenhouse gas emissions in Spain, accounting for nearly 31% of total emissions, a share significantly above the OECD and EU average of 24%. Most of these emissions come from road transport, in particular private vehicles and freight. Total emissions from transport have declined significantly, by 16% since their peak in 2007, faster than the EU decline of 7%. The decline has been even steeper on a per capita basis and per kilometre travelled. However, some of the decline was compensated by higher travel demand per person, rising vehicle ownership, a rising and wealthier population and the continued expansion of tourism.

Spain's national energy and climate plan sets the target of reducing transport emissions by 42% by 2030 compared to 2005 levels, but current trends suggest that this will be difficult to achieve without more decisive action. A longer-term framework and a comprehensive strategy are needed to continue the decarbonisation

path. Given the sector's high dependence on fossil fuels, and slow speed of fleet renewal, it remains one where the decarbonization timeframe is set to take longer. A cost-effective transition will require a combination of near-term pricing reforms and long-term investment strategies supporting better spatial planning and sustained investments in structural low-carbon transport infrastructure.

Car use remains dominant for both passengers and freight, with a limited shift towards public transport or rail. At the same time Spain's vehicle fleet remains one of the oldest and most polluting in Europe, with nearly half of all cars (48.8%), exceeding 15 years old and diesel vehicles (which emit more) still dominating and accounting for 60% of the fleet. Spain's current freight rail freight share (4%) is among the lowest in Europe, and fragmented infrastructure and limited electrification hinder its competitiveness. A shift to interoperable and electrified rail freight is essential to reduce long haul emissions, improve energy efficiency and meet the EU modal shift targets. Addressing these gaps is key to decarbonising logistics and alleviating pressure on road networks.

Although effective carbon rates are the highest for the transport sector, emissions have not declined faster due to rising transport demand that partially compensated the efficiency gains in emissions per km travelled. While subsidies for electric vehicles have expanded, these co-exist with generous diesel rebates, sending contradictory signals to consumers and firms, making the shift towards cleaner transport less effective. Road freight continues to benefit from fuel tax exemptions, as discussed above, delaying the transition to rail and electrified logistics. Diesel remains taxed at a lower rate than petrol, as discussed before, despite its higher climate and air pollution costs. Fiscal incentives for clean vehicles coexist with large implicit subsidies for fossil fuel use, especially in freight. Spain applies a CO_2-based registration tax (IEDMT), levying higher rates (from 4.75% to 14.75%) on more polluting vehicles, while fully exempting battery-electric vehicles (BEVs).

Subsidies to public transport are one of the main tools for greening transport. Spain has recently increased its public subsidies, spending around EUR3.4 billion in fare subsidies between 2023 and 2024, cutting or eliminating ticket prices on suburban rail, regional services and many municipal networks. While these discounts yielded an immediate increase in public-transport use, some evidence suggests that long-run modal shift is driven more by service quality than by ticket cost: a recent European meta-study finds that increasing frequency raises ridership roughly twice as much as an equivalent fare cut (Brechan, 2017[47]). Supply-side grants begin to move in that direction but remain comparatively modest. The PATSYD programme has allocated €460 million (2022–24) for low-carbon logistics corridors, fleet renewal and digitalisation, and the rail-freight eco-incentive provides €75 million to reward shippers that switch from road to rail or short-sea routes.

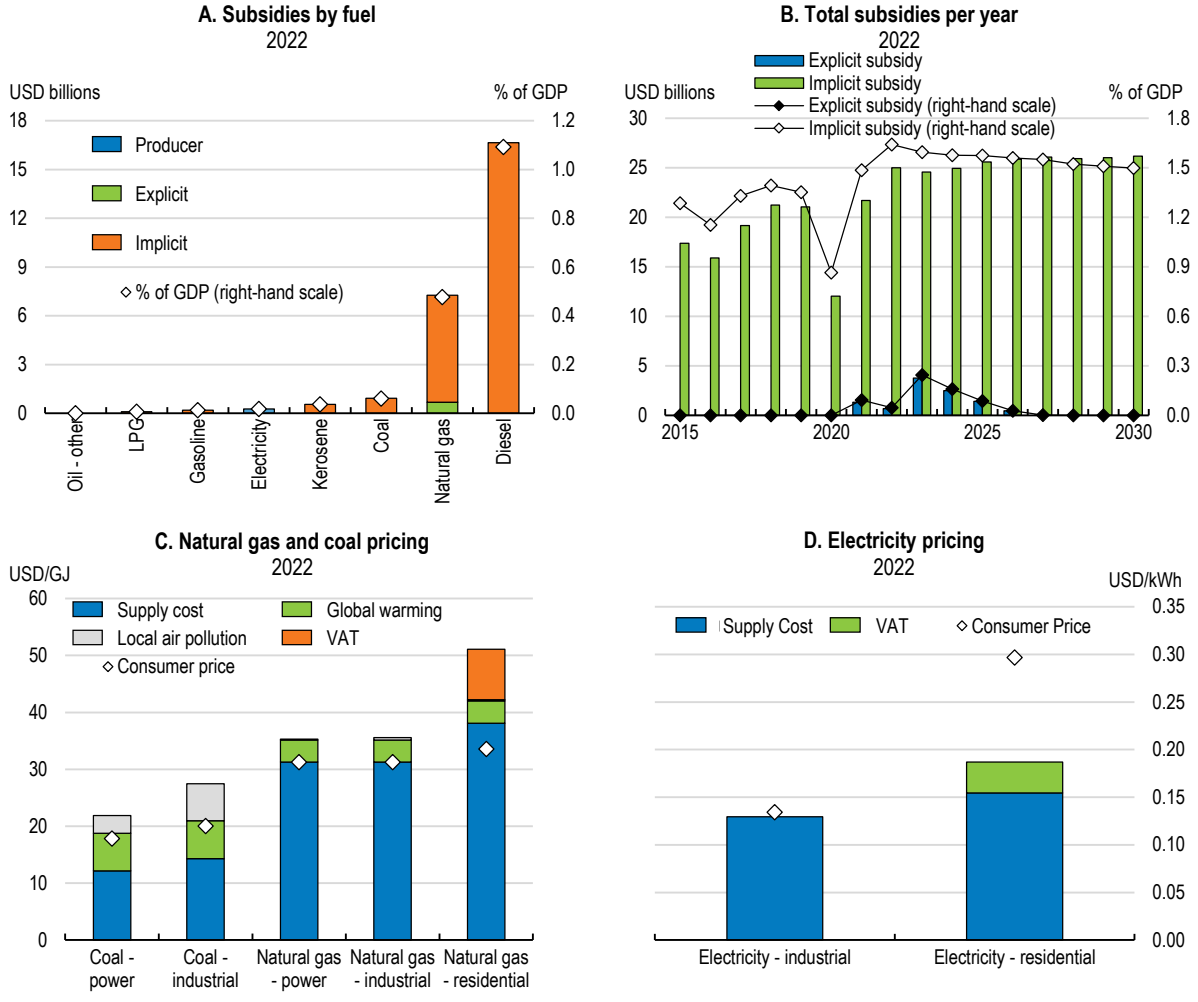
Spain's main policy instrument to promote low carbon private transport is a subsidy programme for EV purchases (MOVES III). The programme provides generous purchase subsidies (EUR 4,500–EUR 7,000 for private buyers and up to EUR 5,000 plus tax advantages for companies and private buyers) aiming to achieve a 40% EV share in new car sales by 2030, with a cost of 400 million euros annually. Given high reliance on passenger car transport, which is expected to remain the dominant transport mode over the following decades, accelerating fleet greening is key to cut transport emissions. Besides providing a dense charging infrastructure and strengthening incentives to phase-out internal combustion engine vehicles, e.g. through zero emission zones, EV subsidies are frequently used to accelerate fleet greening. However, EV subsidies are fiscally expensive, with evidence suggesting that they disproportionately benefit higher income households who may often choose to switch to EV cars also without subsidies. Still, despite a narrowing price gap, EVs remain more expensive compared to internal combustion engine cars, suggesting that high upfront costs remain an obstacle especially for lower income households. Targeting EV subsidies can improve their cost-effectiveness. Given high fiscal costs, subsidies should be regularly evaluated for their cost-efficiency. Moreover, the emission benefits of EV depend on the carbon intensity of electricity used for charging. Expanding the charging infrastructure for EVs will be key to boost uptake. Despite progress, Spain's charging infrastructure remains limited compared to other OECD countries, with only 1 charging point per 1000 registered cars in 2024 (Figure 4.13). Additional public support, such as targeted subsidies or tax incentives

and simplified permitting, could accelerate infrastructure rollout and ensure alignment with the pace of fleet electrification.

Accelerating the decarbonisation of transport will require a coherent and long-term strategy, including stepping up infrastructure investment for low-carbon transportation (Figure 4.14), the alignment of carbon taxes for fuels, expansion of charging infrastructure and stricter emission standards for vehicles. First, raising diesel excise duties and phasing out professional rebates would strengthen incentives for fleet removal and modal shift, as discussed above. Second, rather than continuing broad based EV subsidies a cost-efficient approach would rely on, emission-indexed fuel charges, distance-based road pricing and carbon pricing. These tools can deliver immediate behavioural responses and raise revenue to support complementary investments. Strengthening public transport will be key to reducing transport emissions by shifting transport off the road.

Beyond vehicle level policies, spatial planning is critical to reducing transport demand. In many cities, housing shortages lead workers into long commutes and car dependency. Integrating housing development with high-capacity public transport corridors would reduce car travel and lower emissions. Densifying around transit nodes and expanding cycling infrastructure offer high returns, both economically and environmentally.

Figure 4.13. Large implicit subsidies for oil and gas remain

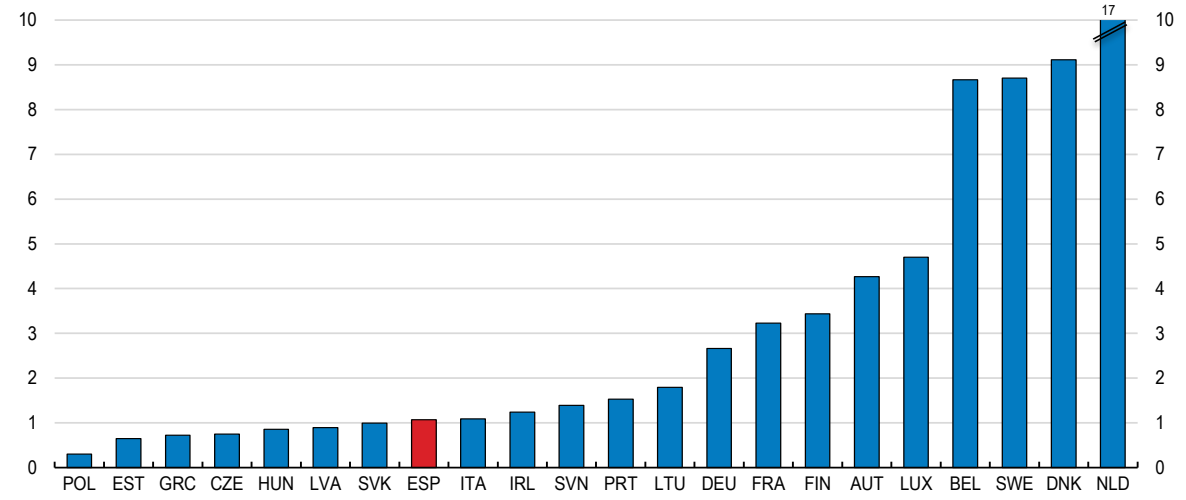


Note: Panel A: Explicit excludes the producer portion of explicit subsidies.
Source: (Black, Antung and Parry, 2023[48]).

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Figure 4.14. Electric vehicle charging infrastructure needs to be expanded

Number of recharging points per 1000 of registered passenger cars, 2024



Note: Data for recharging points refer to 2024Q1; data for registered passenger cars refer to 2023.
Source: OECD calculations based on Eurostat (2024) and EAFO (2024).

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Table 4.2. Ranking the cost-effectiveness of carbon abatement measures in transport

Policy Measure (details)	Cost-Effectiveness (EUR/t CO_2 abated)	CO_2 Abatement Potential	Co-Benefits
Carbon pricing (Fuel tax increase)	Negative cost (net revenue gain) highly cost-effective.	Moderate (several $MtCO_2$/year with modest tax hike; larger with higher price).	Generates fiscal revenue to fund green investments; reduces air pollution from fuel combustion.
Urban road pricing (congestion charges)	EUR 0 or negative (fees paid by users) – but could displace economic activity. Moderately cost-effective, depending on displacement.	Low to moderate (localized impact: cuts city traffic ~10–15%, yielding CO_2 reductions in urban areas), conditional on small displacement effect.	Less congestion (time savings, economic gains), improved urban air quality and noise, funds for transit.
Active mobility (cycling & walking)	Very low cost or negative (high return on investment: EUR 1.2 → EUR 7).	Low to moderate (feasible to replace ~5–10% of urban car trips with active modes).	Public health improvements (exercise, reduced healthcare costs), cleaner air, more liveable cities.
Public transit expansion (bus, rail) and expanding compact urban development.	High costs (EUR 200+ / tCO_2; infrastructure intensive).	High (can substantially shift travel from cars, especially in cities and intercity corridors).	Reduced congestion, social inclusion in mobility, improved air quality; supports long-term modal shift, raises productivity of the urban area.
Electrification of vehicles	Most expensive measure	Highest.	Reduced local emissions conditional on electricity being low carbon.

Source: OECD estimates based on related literature.

4.3.4. Reducing buildings' emissions requires a long-term strategy

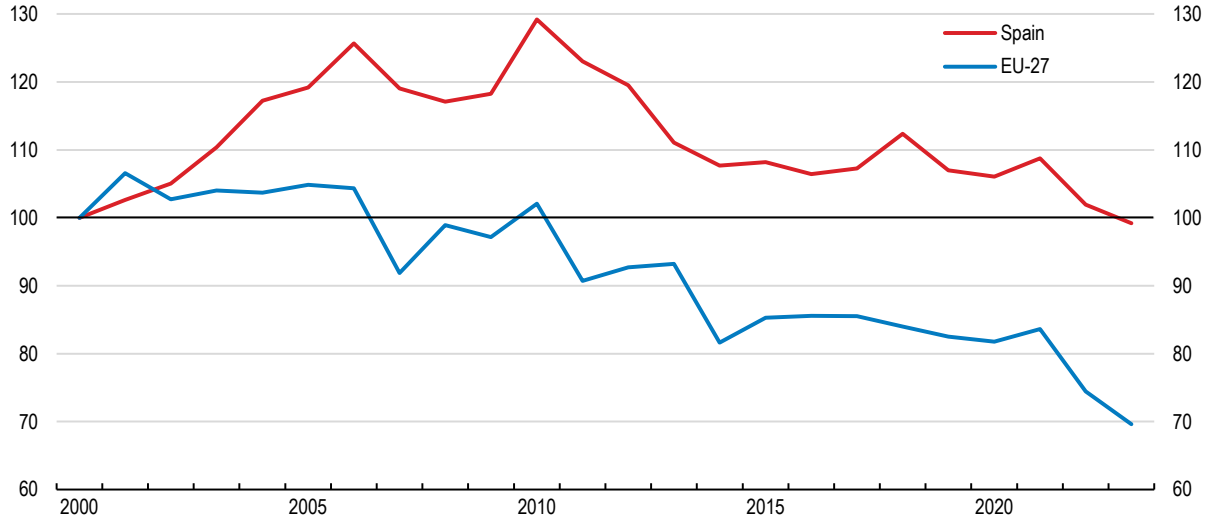
Energy-use in residential and service-sector buildings – mainly for space and water heating - account for roughly one-third of national CO_2 emissions. Emissions in buildings have decreased by almost 30% since their peak in 2010, a considerable decline given Spain's rising population (Figure 4.15). Spain has one of the lowest values of final energy consumption in households per square meter in the EU, only above Malta, Portugal and Cyprus (Eurostat). Heating accounts for about 42% of residential energy, while cooling needs are rising steadily. The energy demand is primarily met by natural gas, electricity, and biomass. Spain's climate provides opportunities to implement passive cooling strategies and electrification of heating, essential for a cost-effective decarbonisation pathway over the very long term. Spain seeks to abate building's emissions by

applying a full life-cycle approach. First, renovation of both buildings and their systems reduces energy needs and emissions at the same time, while integration of renewable energy through self-consumption and electrification, and the decarbonization of the electricity system completes emissions abatement. Additionally, using low-carbon footprint materials will be important in new buildings.

Several barriers complicate Spain's efforts to decarbonize its buildings sector. Older Spanish buildings typically have poor thermal efficiency and rely heavily on fossil fuels, requiring major technological shifts. If the current rate of reduction in primary energy consumption within the building sector is sustained, it would enable compliance with the 16% and 26% reduction targets established by the EU directives for 2030 and 2035, respectively. Nevertheless, achieving climate neutrality by 2050 will require a significant acceleration in the energy renovation of the existing building stock. Mobilising substantial upfront investments, addressing split incentives between landlords and tenants, and developing a skilled renovation workforce remain critical challenges. Additionally, fragmented ownership structures in buildings complicate the adoption of innovative decarbonisation measures.

Figure 4.15. Emissions in buildings are declining fast since their peak in 2010

Emissions from the residential sector, index 2000 = 100



Note: Data refer to the UNFCCC reporting category "Residential and other sectors (energy)".
Source: OECD Environment database.

StatLink https://stat.link/1nrzl9

Spain has implemented several important reforms aligned with EU directives, including strengthening the Technical Building Code in 2019 to enforce near-zero-energy standards for new constructions. The Long-Term Building Renovation Strategy (ERESEE) and National Energy and Climate Plan (NECP) prioritise efficiency improvements, supported by Spain's Recovery and Resilience Plan. To stimulate faster technological transitions, particularly regarding heating electrification, further policy measures could be considered. A comparative marginal abatement cost analysis suggests that electrifying heating via heat pumps and adopting passive cooling designs offer economically attractive decarbonisation pathways. By contrast, recent research indicates that traditional weatherisation and insulation interventions often fail to achieve anticipated energy savings.

Given a long-term perspective beyond 2100, Spain should prioritise establishing stringent, future-proof zero-carbon standards for all new buildings, ensuring new constructions have minimal operational and embodied emissions. Policy emphasis should shift significantly toward electrification of space and water heating, supported by incentives such as substantial rebates and preferential financing for heat pump adoption, particularly in areas heavily reliant on fossil fuels. Urban planning policies should also be leveraged by promoting higher-density, multi-family residential developments, as apartment buildings generally yield lower

per-capita emissions compared to detached homes, even considering that Spain is one of the countries of the EU with most people living in shared buildings. Market-based instruments, notably participation in the EU's buildings emissions trading scheme (ETS2), should direct revenue explicitly toward supporting heating electrification and urban densification.

4.3.5. Reducing emissions and enhancing carbon sinks in agriculture

Agriculture plays a dual role in Spain's climate agenda, acting both as a significant source of greenhouse gas emissions and a potential contributor to carbon sequestration through land use, land-use change and forestry (LULUCF). In 2023, the sector accounted for approximately 12.2% of total GHG emissions, resulting in a 2.1% reduction in emissions compared to 2022. These emissions are largely from methane released by livestock and nitrous oxide (N_20) emissions from fertilizer use and manure management.

At the same time, land use practices, particularly on cropland and marginal land, present a significant opportunity to strengthen carbon sinks. Spain's forest cover has increased over the past decades, contributing to a net improvement in emissions and land use, land-use change, and forestry (LULUCF) has become a growing net carbon sink. However, beyond forest areas, carbon sequestration on agricultural and marginal lands remains underused. Soil degradation and desertification trends in parts of the country are reducing the potential contribution of soils as a carbon sink. Since the 1980s, soil organic carbon (SOC) stocks have markedly declined due to a combination of climatic pressures—rising temperatures and recurrent droughts—and agricultural practices, including the type of farming practices and overgrazing (IPCC, 2019[49]). Declining carbon sink capacity in countries such as Finland, Slovenia and Croatia highlights the risk of relying on LULUCF. Spain may need to reduce emissions even more aggressively than the current 90% target for 2050. Studies suggest that SOC levels in agricultural lands, critical carbon sinks, have decreased by 17%, a reduction from historical peaks (Aguilera et al., 2018[50]). Desertification exacerbates this decline by eroding topsoil and reducing the land's capacity to sequester carbon, ultimately turning soils from carbon sinks into net sources of CO_2 emissions. Addressing soil carbon depletion is critical for Spain's climate mitigation objectives and its long-term agricultural productivity.

Desertification, affecting over 70% of Spanish territory to varying degree, further compounds the problem by degrading topsoil and reducing the land's ability to retain carbon. As desertification advances, previously carbon storing soils may become net sources of CO2. This trend underscores the urgency of adopting climate smart land management practices.

Several national and EU level instruments seek to address these challenges. Spain's national energy and climate plan (PNIEC) identifies soil conservation and land restoration as mitigation priorities. The EU Common Agricultural Policy (CAP) now aligned with the EU Green Deal, offers incentives for conservation, agriculture, organic farming, agroforestry and reduced fertilizer use. However, implementation varies across regions, with insufficient incentives to adopt sustainable practices widely, especially among smallholder farms. Spain's 2023-27 CAP strategic plan gives direct transfers to farmers that engage in no-till farming (*siembra directa*) and in cover cropping with the aim to further decarbonize agriculture.

To increase the contribution of agriculture to climate mitigation in a cost effective and balance way Spain could consider several additional options. First, reducing non-CO2 emissions by promoting improved manure and fertilizer management, optimizing livestock feed, and encouraging low emission farming techniques. Second, enhancing soil carbon sequestration through expanded adoption of no-till farming and extensive cover cropping. The 2023-27 CAP Strategic Plan channels 25 % of direct payments into eco-schemes such as *siembra directa* and winter cover vegetation, offering stable finance for these practices. These practices require minimal upfront investment, quickly improve soil health, and are cost-neutral or even profitable in the medium term (IPCC, 2022[51]). Third, rehabilitating degraded and abandoned land via afforestation, agricultural restauration. The 2022 Biogas Roadmap, backed by NextGenerationEU funds, supports farm-scale digesters that turn manure into renewable energy and nutrient-rich digestate for soil restoration. Fourth, improving measurement and monitoring systems for soil carbon and non-CO2 emissions to support results-

based payments and targeted policy action. On that front, the Ministry of Agriculture has begun a nationwide soil-carbon baseline survey to prepare a future certification scheme. Policy coordination at regional and national levels is crucial to ensure coherence and effectiveness of these measures. A recent example is the ECOGAN digital platform, adopted by 93% of animal census and two-thirds of poultry farms, which registers BAT implementation and has already delivered a 16.7% cut in ammonia in 2023—and associated nitrous-oxide—emissions, illustrating the value of robust, farm-level data systems.

Table 4.3. Policy recommendations

MAIN FINDINGS	RECOMMENDATIONS (Key recommendations in bold)
Improving adaptation to climate change	
Current water pricing does not reflect the true costs of water provision, scarcity, and the opportunity cost of use. Prices differ significantly between sectors. Agricultural users pay less, face low to zero marginal cost of usage, undermining incentives for efficient water usage.	**Align water prices across sectors to strengthen price signals to reflect scarcity, and for agriculture users, explore long-term marginal pricing and tradable water rights to allocate resources efficiently and reinforce demand-based measures, including water allocation reviews in the hydrological planning process.**
Floods are one of Spain's most damaging natural hazard, exacerbated by urbanization in high-risk areas. The disaster financing framework provides rapid, universal protection, through the *Consorcio de Compensación de Seguros* (CCS), but exposure and frequency of climate events is rising. Flood risk management plans are often delayed due to administrative complexity and reluctance toward structural solutions. Municipalities are incentivized to develop flood-prone areas due to implicit economic incentives.	**Improve the Risk-Adjusted Flood-Resilience Framework to (a) restrict new development in high-risk flood zones; (b) maintain the long-term financial sustainability of the CCS; and (c) accelerate permitting for cost effective structural flood defences**.
Rising sea levels and storms cause coastal flood and erosion, worsened by high exposure, limited uptake of existing adaptation plans, and infrastructure vulnerability. Nature-based solutions cannot contain extreme events. Despite positive cost-benefit ratios, water retention investments struggle to attract financing.	Implement a Coastal Resilience framework that mandates retreat from extreme-risk shorelines and facilitates structural defences, water-retention works and nature-based solutions as appropriate.
Wildfire risk will increase due to climate change, and risk is already high from rural abandonment and expanding wildland-urban interfaces. Local governments lack the resources to implement national and regional adaptation plans effectively, raising risks despite existing management efforts.	Enhance national-regional coordination to harmonize wildfire prevention policies, enhance regulation and monitoring of privately owned land. Reinforce municipal capacities to maintain strategic fire breaks, and real-*time* monitoring systems, prioritizing high-risk and densely populated zones.
More frequent and long heatwaves are raising health risks are reducing productivity, especially in cities, among vulnerable groups and outdoor workers. Current efforts are focused on health and lack enough coverage of urban exposure, occupational risks, and heat-related incident tracking.	**Integrate heat adaptation into urban planning and building codes, prioritising green solutions based on cost-benefit analysis.**
Further decarbonizing the economy	
Spain has significantly increased renewable electricity generation, which accounted for over 50% of the mix in 2023. To keep on track with renewable targets, measures are being implemented to face curtailment, grid congestion and delays in permitting.	**Continue streamlining permitting processes and accelerate investment in grid infrastructure, including interconnections, to address congestion and enable continued renewable deployment.**
The rising shares of variable renewables is increasing the need for system flexibility, but deployment of battery storage and demand responses remains limited.	Strengthen incentives for grid flexibility by supporting investment in storage and developing time-of-use and locational signals to encourage demand-side responses.
Adequate provision of all relevant grid services plays a critical role in stabilising frequency and ensuring system resilience.	Ensure the implementation of market-based mechanisms, such as dedicated markets for system services (e.g., fast frequency response and system strength), alongside operational mandates with appropriate compensation.
Transport is Spain's largest GHG-source. Despite a 16 % fall since 2007, rising mobility, an ageing diesel-dominated fleet and inconsistent price signals keep the sector off-track for the 2030 target. Diesel rebates undermine cost-effectiveness and delay the shift to cleaner modes. Insufficient investment in rapid chargers, rail freight and urban transit limits modal shift.	**Increase public spending on low-carbon transport infrastructure—rapid charging networks, interoperable and electrified rail freight corridors with enhanced rail-ports and logistic hubs connections, inter-city rail and urban mass transit, and simultaneously phase out diesel rebates by aligning all fuel taxes with their carbon content.**
Agriculture is a significant source of GHG emissions, particularly from methane (livestock) and nitrous oxide (fertilisers and manure) and emissions are declining. Soil carbon stocks are declining due to climate stress and unsustainable land practices, particularly in arid regions and desertification is limiting the land sector ability to act as a carbon sink.	Continue supporting the adoption of climate smart agricultural practices to reduce emissions and enhance soil carbon sinks.

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Spain's economy has grown steadily in the last years, surpassing European peers. Growth has been supported by strong investment, rising service exports, and an expanding labour force, and is set to stay robust but moderate amid global uncertainty in 2026–27. Public finances have improved, but long-term fiscal sustainability and sustained growth need rebalancing revenues toward less distortionary taxes, containing pension costs, and prioritising growth-enhancing spending. Achieving income convergence with peer OECD countries requires boosting productivity growth and facilitating SMEs scale-up by promoting market-based financing, easing regulatory burdens, and simplifying access to public R&D support. An ageing population and low employment among older workers present increasing challenges for the economy. Reforming the non-contributory unemployment assistance and scaling-up adult learning can strengthen incentives to remain in employment. It is also key to align better migration and skills policies with evolving labour market needs. Spain is highly exposed to extreme weather events, which require strengthening resilience via targeted investment, improved land-use planning, and stronger flood protection. To meet decarbonisation objectives, policies should continue to foster investment in low-carbon transportation, electricity grid infrastructure and storage.

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